

Global Economics Weekly

High oil, high rates, high tension

Soaring energy prices from the re-intensifying Iran conflict have contributed to rising bond yields and more rate hike expectations. After this week's ECB hike, we now expect at least one more. The US CPI print confirms our call for a Fed hike next week, along with a BoJ hike. The BoE likely holds.

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Global Synthesis

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US Outlook

The burden of proof has shifted. 12

Stronger-than-expected August inflation and labor market headlines came with important caveats. Even so, the incoming data since Jackson Hole have moved in Warsh's direction, shifting the burden of proof toward those favoring a hold and reinforcing our expectation of a 25bp FOMC rate hike.

Euro Area Outlook

Jamais deux sans trois. 21

The ECB delivered the widely expected 25bp rate hike in September. With the inflation outlook continuing to deteriorate and headline inflation risking approaching the 4% mark by year-end, we now think it will need to tighten policy further in December.

United Kingdom Outlook

Artificial intelligence, real growth. 33

Stronger-than-expected activity data in July has led us to revise up our 2026 GDP forecast by 0.1pp to 1.3% y/y. Recent moves in energy prices have led to a deterioration in the inflation outlook. We expect the BoE to hold Bank Rate at its September meeting, but strike a hawkish tone.

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Japan Outlook

Focus on pace-of-hike remarks and any dissents at BoJ meeting. 40

We expect the BoJ, nudged in part by market pricing, to hike to 1.25%, significantly accelerating the pace of hikes to once per three months. We focus on future-pace remarks and any dissents while continuing to forecast hikes in January and July following a move in September.

China Outlook

K-shaped economy remains intact. 47

China's recovery remains increasingly K-shaped. Exports showed no signs of slowing, driven by strong AI and green-tech demand, while domestic demand stayed subdued despite modest pickup in CPI. Policymakers continue to favour targeted support over broad stimulus, with delayed bank recapitalization.

Emerging Asia Outlook

Steady in the storm. 53

The AI-driven strength in exports will likely keep policymakers in Emerging Asia from sinking into excessive morosity over the re-escalation in the Middle East conflict – though it means inflation will remain a headache. We expect the CBC to hike rates next week.

EEMEA Outlook

Cautious holds. 60

The CBT and NBP kept rates unchanged, maintaining a cautious stance amid high energy prices. We expect a similarly cautious hold from the CNB next week, with policymakers likely to remain focused on energy-related inflation risks. We see risks to Senegal's debt rework programme.

Latin America Outlook

A perilous boy. 68

El Niño is expected to have an inflationary effect across most of the region mainly through food and electricity prices. Idiosyncratic factors will determine whether this shock will require a reaction from central banks.

Global Economics Weekly

Key Global Data. 79

A summary of forthcoming data releases and market-moving events, including Barclays forecasts.

Global Synthesis

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Soaring energy prices from the re-intensifying Iran conflict have contributed to rising bond yields and more rate hike expectations. After this week's ECB hike, we now expect at least one more. The US CPI print confirms our call for a Fed hike next week, along with a BoJ hike. The BoE likely holds.

When oil's not well, all's not well

Worsening dynamics on global energy markets

The re-intensifying military conflict with Iran has largely reduced any shipping through the Strait of Hormuz, while a parallel offensive by the Houthis in the Red Sea area has affected Saudi exports through the Bab-el-Mandeb strait. After multiple attacks on its East-West pipeline, Saudi Arabia reported on Friday that it had closed it. Amid this escalation, energy prices have soared, especially natural gas and distilled products such as diesel.

Crude oil is back above \$100, with Brent ending the week at \$105/bl. This is still lower than the peak of \$118/bl in March and April, but it brings the YTD average price to \$87, compared with an average of \$68/bl in 2025.

More pronounced than the increases in crude are those of natural gas. European natural gas (TTF) prices have more than doubled from an average price of 36EUR/MWh in 2025 to 80EUR/MWh currently. While they remain well below the peaks reached during the 2022 energy crisis, their sharp rise YTD poses a meaningful upside risk to European inflation.

Global diesel markets are under immense pressure as well. The Iran and the Ukraine wars have resulted in cutting the supply from refineries in the Gulf and Russia, making the US the crucial supplier of distilled petroleum products. This, in turn, has drained US domestic stockpiles, pushing diesel pump prices to \$6/gal. Given diesel's critical role in agriculture and the transportation supply chain, it will eventually add to consumer price pressures.

For the euro area, rising oil and gas prices, together with persistently elevated refining margins, are likely to push headline inflation close to 4% by December. Current risk looks to the upside, with a larger and more persistent energy shock possibly feeding more materially into food, goods and services prices through indirect and, potentially, second-round effects.

Similarly, for the UK, taken as a snapshot, current gas futures imply a roughly 15% q/q increase in the Q1 Ofgem price cap, which, together with higher oil prices, would mechanically lift our January inflation forecast 0.5pp, to 3.6% y/y.

Even if oil and gas prices remain below the extremes reached during the 2022-23 energy shocks, the balance of risks has shifted to the upside. Our oil analyst highlights that global oil inventories are very low and have resumed declining, even if at a slower seasonally adjusted

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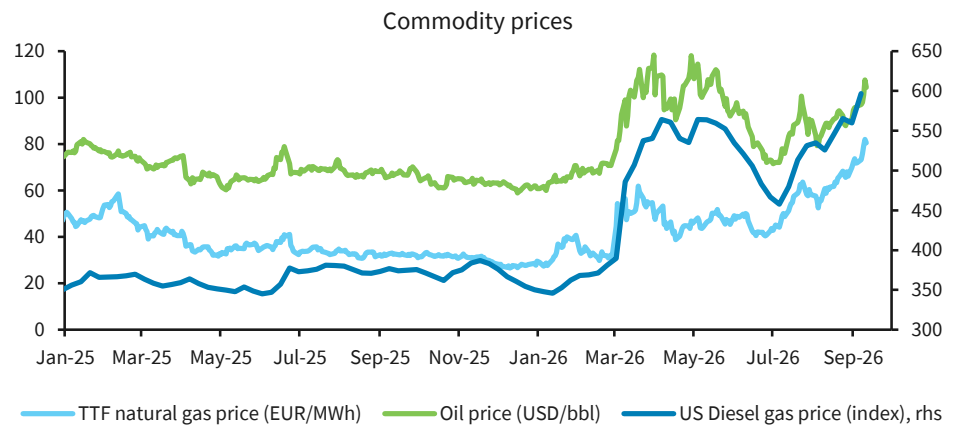
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pace than in the early stages of the war. At the same time, persistent disruptions to refined product flows and ongoing SPR releases suggest refining cracks will remain the key demand signal, with current trends likely to continue in the coming weeks.

FIGURE 1. Global energy prices have surged



Source: Bloomberg, Barclays Research

Relief from upcoming Iran-GCC meeting?

Against this worrying backdrop, the immediate focus is on the potential relief from the meeting between Iran and the six Gulf Cooperation Council (GCC) members in Oman this Monday. The talks are expected to focus on arrangements to restore and safeguard maritime navigation through the Strait of Hormuz. While for the GCC members securing the uninterrupted flow of oil and gas exports will be the primary objective, Iran will seek broader regional engagement on the future governance of the strait.¹

The meeting in itself represents a significant diplomatic effort, signaling growing desperation, as well as recognition among regional stakeholders that some cooperation is necessary. However, it seems hard to see that Iran would be willing to make any concession at this particular juncture. Although it is undoubtedly negatively affected by the US sanctions and the sea blockade, Iran may have a strong motivation to hold out to at least the US midterms. It may feel that it has the upper hand, as high pump prices may be hurting the US administration particularly hard in the remaining weeks before the midterms.

Central banks under pressure to hike

Family fights and dissents

Following the ECB's unanimous vote for a hike this week, next week's central bank meetings promise to be much more contentious. For the Fed, it seems that their previous communication, in combination with this week's CPI print, has set up Fed Chair Warsh and Fed Governor Waller for a hike and a hold, respectively. This will likely result in the unusual situation where a key Fed governor opposes the Chair's view. We think Fed Governor Bowman and Philadelphia Fed President Paulson could join Waller in dissenting from the expected hike decision. New York Fed President Williams had also communicated that he found policy rates currently 'in a good place' and thus might prefer a hold. However, given his role as the FOMC's vice chair, that would be highly unusual (making it a first for a New York Fed president since 1984).

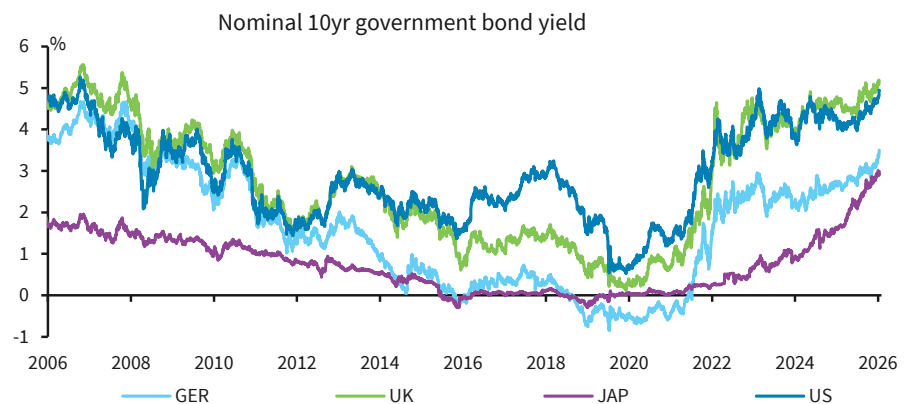
¹ Al Jazeera, 11 September 2026, "Iran says will discuss Strait of Hormuz with Gulf states on Monday"

In Japan, the BoJ dovish MPC members Asada and Sato might oppose a hike (resulting in a 7-2 vote). PM Takaichi has expressed her desire for an accommodative monetary policy, not dissimilar to President Trump's demands for the Fed, if in more moderate language and style. However, the outspokenness of US Treasury Secretary Bessent about the need for BoJ rate hikes and his involvement in JPY intervention has complicated the BoJ's situation.

In contrast to the Fed and BoJ, the BoE is very likely to hold next week. However, in light of the rising inflation risks from higher energy prices, it will likely have to strike a more hawkish tone. Moreover, the dissenters (for a hike) could increase by one (against our baseline of a 6-3 vote).

Overall, this growing dissent among rate-setters reflects how supply shock-driven inflation complicates monetary policy compared with that driven by demand cycles. As the trade-offs grow and the true culprit for price pressures – energy – remains outside their control, policy makers' views of how best to react are increasingly diverging. Next week is the Fed, BoJ and BoE, while the ECB has managed to portray a more harmonious picture. However, as the ECB moves into restrictive territory and as the upside growth surprises of recent months may fade, that harmony could be challenged as well.

FIGURE 2. Global bond yields have risen to multi-year highs



Source: Treasury, Bbk, BoE, MoFJ, Haver Analytics, Barclays Research

ECB: More to come after the September hike

This week, the ECB Governing Council (GC) unanimously voted to raise all three policy rates 25bp, bringing the deposit facility rate to 2.5%. At the press conference, President Lagarde left little doubt about the rationale for the move, describing the September hike as a "no-brainer," given the evolution of the inflation outlook and the risks surrounding it.

Our key takeaway is that the inflation outlook is deteriorating. With commodity prices having repriced significantly since the ECB projection cut-off date, the macroeconomic outlook is already drifting away from the updated baseline towards the adverse scenario. Headline inflation is projected to average 3.0% in 2026, 2.5% in 2027 and 2.1% in 2028, while core inflation is now forecast at 2.5%, 2.6% and 2.3%, respectively.

In view of the latest developments, maintaining policy at the upper end of the neutral range may prove insufficient to ensure a timely return of inflation to target, and we now expect a third 25bp hike to all the ECB's policy rates to be delivered at the December meeting, with the deposit facility rate then remaining on hold at 2.75% through end-2027.

While we think the GC will keep October as a live meeting, under current circumstances we see December as the more likely timing for the next rate adjustment. A majority around the GC table is likely to view the December meeting as the natural opportunity to reassess the outlook in light of a fresh round of Eurosystem staff projections. We think that accelerating the pace of policy tightening with a hike as soon as October would require a further deterioration in the energy outlook.

Euro area growth has shown to be resilient, with Q2 final GDP growth, released this week, coming in higher at 0.6% q/q, as expected (from 0.4% q/q previously). This was the strongest quarterly outturn in four years. The breakdown shows it was driven largely by exports. Hence, we also think that the longer the euro area's growth resilience persists, the lower the bar for additional tightening beyond what we currently expect. Next week, we watch for final HICP inflation for August and ECB's Consumer Expectations Survey.

Fed: Recalibrating higher

We expect the FOMC to raise rates 25bp, to 3.75-4.00%, next week, amid insufficient progress on inflation, in line with Chairman Warsh's Jackson Hole comments. Given our projection for the upcoming August PCE inflation print (core PCE at +0.25% m/m) after this week's inflation data, we expect a robust majority in support of a hike, but at least one dissent for a hold (Waller).

While the FOMC statement will likely remain broadly unchanged, we expect the new Summary of Economic Projections (SEP) to show a slight upward revision to headline inflation and a downward revision to core inflation that primarily reflects upcoming changes in BEA methodology, along with downward revisions to GDP growth and unemployment rate projections. We think the median dots will be revised up, showing one 25bp hike this year, no change in 2027, and 25bp cuts in 2028 and 2029. We expect the longer-run dot to remain at 3.1%.

In his press conference, we expect Warsh to mention that inflation is elevated and has not shown enough evidence that it is returning clearly and at sufficient speed toward the target, amid solid economic growth, the labor market near full employment and renewed energy price pressures. We expect him to reiterate the committee's commitment to price stability and explain that the majority of the committee supported raising rates to reduce the risks that inflation remains elevated for long.

Our Fed call is unchanged: we expect the FOMC to raise rates 25bp in both September and December amid insufficient progress on inflation, and then cut rates 25bp in December 2027, after inflation has moved down closer to the inflation target. We view risks as skewed toward a longer hold after this meeting. Our projected rate path differs from our expectation for median dots in the SEP.

BoJ: Future pace of hikes and dissenting votes in focus

Next week, we expect the BoJ to raise policy rates from 1.00% to 1.25%, sharply accelerating the pace of hikes from the previous one of roughly one hike every six months to about one every three months. At this meeting Governor Ueda's comments about the pace of future hikes and any dissenting votes will be in focus.

We expect Ueda to say that the timing and pace of rate hikes are not predetermined and that policy will respond flexibly and nimbly to economic and price developments. While avoiding any impression of a preset path, the BoJ may emphasise that every meeting is live. On voter dissents, we expect dovish members Asada and Sato to oppose the hike, resulting in a 7-2 vote, though uncertainty remains high, given competing pressures from the Takaichi administration and Treasury Secretary Bessent, making their votes a key focus. This week, BoJ Policy Board

member Masu's speech showed support for a September rate hike, but offered no guidance beyond that.

Inflation expectations have risen, with our composite measure exceeding 2% for the first time in Q2. If they continue to increase at this pace, the risk of underlying inflation overshooting the price stability target could materialize. We believe this is likely to be stressed first and foremost as the logic for accelerating the pace of hikes at this meeting. Moreover, core CPI excluding the government's energy subsidies is slightly above target and actual inflation is set to rise on higher oil prices and JPY depreciation. Next week, we expect core CPI to slow to 1.7% y/y in August from 1.8% in July, with softer imputed rent growth and subsidised electricity prices outweighing firmer Tokyo inflation.

We expect additional hikes in January and July next year, taking the policy rate to a terminal rate of 1.75%. A September hike would lift the policy rate to 1.25%, putting it clearly above the lower bound of the BoJ's estimated range for the nominal neutral rate for the first time and bringing the median into view. However, if depreciation pressure on the JPY re-emerges, taking USDJPY well above 160 again, the BoJ could be compelled to deliver further hikes, depending on pressure from the US side.

BoE: A divided hold under increasing pressure

We expect the MPC to hold the Bank Rate at 3.75% with a 6-3 vote, with risk of additional dissenters. We think there will be three dissenters (Greene, Mann and Pill) who would prefer a 25bp hike and two more (Lombardelli and Ramsden) who find the decision finely balanced.

We expect the minutes to highlight that risks around the inflation outlook have skewed further to the upside, driven largely by developments in the Middle East, but that this is mitigated partially by tightening financial conditions and a lack of evidence of second-round effects in the data flow. Guidance should remain noncommittal about future meetings, but reiterate that the committee stands ready to act if necessary.

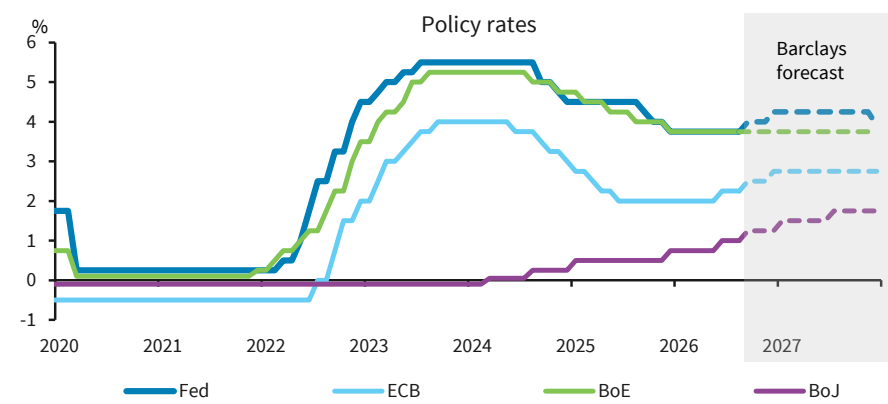
On QT, we expect the MPC to announce that it will continue to unwind its gilt holdings by £50bn. Our baseline is that the policy will continue to be skewed away from long-dated bonds, most likely using the 40:40:20 split of last year, but with a risk of stopping long-end sales altogether.

On the data front, this week BoE's one- and five-year ahead inflation expectations slowed, both to 3.2% y/y. However, a new survey provider may have increased the slowing in expectations, and the window closed on 7 August, not accounting for recent moves in energy prices. We think there will be more value in the Q4 number, due in December.

Next week, we closely watch inflation data for August: we expect the headline CPI to accelerate to 3.1% y/y (+0.2pp), driven primarily by auto fuels inflation; core inflation to hold steady at 2.6% y/y, with services inflation rising to 3.5% y/y (+0.1pp), due to some acceleration in transport and package holidays and hotels components; and core goods inflation to hold at 0.9% y/y. On the labour market, we expect the July unemployment rate to rise 0.1pp, to 5.0%, which would be consistent with payrolled employees data for July.

UK growth has shown resilience, with the monthly GDP print coming in at 0.4% m/m in July, greater than our above-consensus expectation. Services activity grew a robust 0.4% m/m, driven by the ICT and administrative services sectors. We revise up our Q3 GDP forecast 0.2pp, to 0.4% q/q, expecting technology-led investment momentum from Q2 to continue. We now expect growth to average 1.3% in 2026 (+0.1pp) and 1.3% in 2027 (+0.1pp).

FIGURE 3. We expect more hikes by the core central banks this year



Source: FRB, ECB, BoE, BoJ, Haver Analytics, Barclays Research

Global Forecasts

Data as of 11 September 2026

	Real GDP										Consumer prices							
	Weight [#]	% over previous period, saar						% annual change			% over a year ago					% annual change		
		1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027	2Q26	3Q26	4Q26	1Q27	2Q27	2025	2026	2027
Global*	100.0	3.7	3.1	2.9	3.4	2.7	2.0	3.4	3.2	3.1	3.0	2.8	3.0	3.3	2.6	2.3	2.8	2.4
Advanced	37.7	1.4	1.9	1.2	1.3	1.2	1.3	1.7	1.5	1.3	3.3	3.2	3.6	3.4	2.6	2.6	3.2	2.5
United States	17.8	2.1	1.5	2.0	2.0	1.5	1.5	2.1	2.0	1.7	3.9	3.4	3.8	↑ 3.4	↑ 2.3	↑ 2.7	3.4	2.5
Euro area	13.2	0.0	2.6	↑ 1.0	0.8	0.9	1.1	1.3	1.0	↑ 1.1	3.0	3.3	3.6	3.4	2.7	2.1	3.0	2.6
Germany	3.6	1.8	1.3	0.7	0.7	0.9	1.3	0.3	1.0	1.1	2.6	3.1	3.2	3.1	2.7	2.3	2.8	2.5
France	2.6	-0.7	0.1	0.8	0.8	0.6	0.8	0.9	0.5	0.8	2.4	2.7	3.1	3.0	2.0	0.9	2.4	2.0
Italy	2.2	1.3	0.7	0.3	0.4	0.5	0.6	0.7	0.8	0.5	3.0	3.4	4.1	3.6	2.5	1.6	2.9	2.4
Spain	1.6	2.5	2.8	1.6	1.9	1.8	1.9	2.8	2.5	1.9	3.6	4.4	4.7	4.2	3.5	2.7	3.9	3.2
Japan	4.1	1.9	1.4	-1.5	0.2	1.0	1.1	1.1	1.1	0.6	1.5	1.8	2.2	3.6	3.1	3.1	1.8	2.8
United Kingdom	2.6	2.5	1.7	1.6	↑ 0.7	1.6	1.1	1.3	1.3	1.3	2.8	3.1	3.2	3.0	2.6	3.4	3.0	2.5
Emerging*	62.3	5.1	3.8	3.8	4.6	4.2	2.7	4.5	4.2	4.0	2.5	2.2	2.3	3.1	2.6	1.8	2.3	2.2
EM ex China*	38.6	4.7	4.3	3.7	4.5	3.7	2.9	4.2	4.0	4.0	3.7	3.7	3.9	3.9	3.3	3.4	3.6	3.4
Emerging Asia	43.5	6.1	3.6	4.3	5.6	5.6	3.1	5.4	5.2	4.7	1.9	1.7	1.6	2.3	1.9	0.7	1.7	1.6
EM Asia ex China	19.7	6.6	4.2	4.5	6.5	5.8	4.1	5.9	6.0	5.4	3.3	3.6	3.9	3.4	2.8	1.8	3.3	3.1
China	23.8	5.6	3.1	4.1	4.9	5.3	2.0	5.0	4.5	4.0	1.1	0.6	0.4	1.3	1.2	0.1	0.7	0.8
India	9.9	7.3	4.7	5.4	9.7	9.0	5.1	7.5	7.0	6.9	3.9	4.7	5.6	5.0	5.0	2.2	4.4	4.7
Indonesia	2.9	6.0	4.4	4.5	5.7	5.7	6.1	5.1	5.3	5.3	2.9	3.1	3.0	3.2	2.6	1.9	3.2	2.6
Korea	2.0	7.1	2.5	0.9	-0.2	3.2	2.7	1.1	3.2	2.2	3.0	3.0	2.5	2.5	2.0	2.1	2.6	2.2
Thailand	1.1	2.3	-0.7	2.4	2.0	2.7	2.0	2.4	2.2	2.1	2.7	2.6	3.1	2.9	0.3	-0.1	2.0	1.2
Taiwan	1.2	10.9	5.9	6.8	1.4	-2.9	0.4	8.8	10.8	2.4	2.2	2.5	2.3	2.5	2.0	1.7	2.0	1.9
Malaysia	0.9	0.0	9.8	7.0	4.1	4.8	4.8	5.2	5.5	5.2	2.0	1.8	1.8	1.9	1.4	1.4	1.8	1.6
Philippines	0.8	3.7	2.3	3.2	5.7	5.3	5.3	4.4	3.0	5.0	6.8	6.3	6.6	5.7	2.8	1.7	5.6	3.9
Singapore	0.6	5.0	5.7	-0.8	-0.8	5.1	4.1	5.0	4.5	3.0	1.8	2.2	2.1	2.5	1.9	0.9	1.9	1.8
Hong Kong	0.3	12.2	-7.5	1.1	4.4	9.4	-2.7	3.6	3.3	2.5	1.8	2.3	2.1	1.7	1.6	1.4	2.0	1.6
Latin America*	7.2	2.0	3.3	1.7	1.2	2.8	1.2	2.2	2.0	2.0	4.4	4.0	4.4	4.4	3.9	4.3	4.2	4.1
Brazil	2.9	4.4	1.9	1.0	-0.4	2.9	0.3	2.3	2.0	1.4	4.6	4.3	4.7	4.9	3.9	5.0	4.4	4.3
Mexico	2.0	-1.4	5.8	0.4	1.6	2.5	1.2	0.5	1.5	2.0	3.9	3.3	3.8	3.8	4.1	3.8	3.8	4.2
Argentina	0.9	2.8	2.8	2.4	2.8	3.2	3.4	4.4	2.5	3.0	33	33	30	26	23	32	30	20
Colombia	0.7	2.4	2.2	2.5	2.5	2.5	2.5	2.6	2.3	2.6	5.9	5.9	5.8	5.2	4.5	5.1	5.7	4.5
Chile	0.4	-1.1	6.6	4.9	4.5	1.6	1.6	2.5	2.1	2.7	4.0	3.5	3.9	3.4	3.1	3.2	3.9	3.2
Peru	0.4	3.2	0.8	6.6	0.8	5.1	0.8	3.4	3.1	3.3	3.9	4.0	4.3	3.6	2.2	1.5	3.7	2.7
EEMEA*	11.6	3.2	5.0	3.4	2.9	1.7	2.7	2.6	1.8	2.8	3.7	3.6	3.7	4.0	3.4	5.3	3.6	3.1
Russia	4.2	-5.8	3.6	3.5	2.1	1.0	0.4	1.0	0.5	1.3	5.6	5.6	5.6	5.4	4.6	8.7	5.7	4.7
Turkiye	2.2	0.5	4.6	4.1	3.4	3.4	3.4	3.6	2.8	3.5	32.6	30.2	29.1	25.2	21.3	35.1	26.9	20.5
Poland	1.2	2.4	2.5	2.5	3.8	3.8	3.8	3.6	3.0	3.6	3.1	3.2	3.7	2.6	2.8	3.8	3.0	2.8
South Africa	0.6	2.2	-1.0	1.4	1.1	1.9	2.0	1.1	1.2	1.5	4.5	4.6	5.2	5.4	4.0	3.2	4.4	4.0
Hungary	0.3	3.2	3.7	2.2	2.9	2.2	2.2	0.4	2.3	2.5	2.0	2.7	3.5	3.6	3.9	4.4	2.4	3.5
Israel	0.3	-2.2	15.4	3.2	3.0	3.8	4.3	3.7	4.7	4.5	1.8	1.7	1.8	2.1	1.9	3.0	1.8	1.9
Saudi Arabia	1.6	32.6	9.7	2.6	4.5	-0.7	3.6	4.6	-1.1	4.8	1.6	0.9	0.6	0.7	0.3	2.0	1.2	0.9
Nigeria	1.3	3.0	7.1	5.1	2.9	1.8	7.1	4.0	4.4	4.3	15.8	15.8	15.5	14.2	11.8	23.0	15.6	12.4

Note: Arrows appear next to numbers if current forecasts differ from that of the previous week by 0.5pp or more for quarterly annualized GDP, by 0.2pp or more for annual GDP and by 0.2pp or more for Inflation. Weights used for real GDP are based on IMF PPP-based GDP (5y centred moving averages). Weights used for consumer prices are based on IMF nominal GDP (5y centred moving averages). # IMF PPP-based GDP weights for 2025. Nigeria growth figures are GVA. Russia GDP is using SA series by Haver Analytics. *Aggregates for CPI exclude Argentina, Turkiye & Nigeria inflation rates.
Source: Barclays Research

Global Data and Events

Week ahead

UNITED STATES		Period	Prev - 2	Prev - 1	Forecast	Consensus
16 Sep 13:30	Import prices, % m/m (y/y)	Aug	-0.3 (6.7)	-0.4 (5.9)	0.9 (7.0)	-
16 Sep 13:30	Retail sales, % m/m; to rebound, reflecting nominal gains in gasoline station sales, as petrol prices moved up notably.	Aug	0.2	-0.6	0.7	0.9
16 Sep 19:00	FOMC rate decision, %	16-Sep	3.50 - 3.75	3.50 - 3.75	3.75 -4.00	3.50 -3.75
16 Sep 19:30	Press Conference by Warsh – We expect the FOMC to raise rates 25bp to 3.75-4.00% next week amid insufficient progress on inflation, in line with Chairman Warsh's Jackson Hole comments. Given our projection for the upcoming PCE inflation print (core PCE at +0.25% m/m), we think there will be broad support for a hike. We expect little change to the FOMC statement and the vote to be met with at least one dovish dissent from Governor Waller.					
17 Sep 13:30	Housing starts, k saar; to rise, driven partly by solid building permits in Jul implying gains in construction activity in Aug.	Aug	1415	1239	1300	1315
18 Sep 14:15	IP, % m/m; to slow, largely driven by production deceleration in the manufacturing sector.	Aug	0.3	0.2	0.2	0.3
EURO AREA		Period	Prev - 2	Prev - 1	Forecast	Consensus
12 – 18 Sep	Events: ECB's Lagarde (Sat); ECB's Lagarde, Schnabel & Cipollone (Mon); ECB's Cipollone & Luxembourg CB Gov. Reinesch (Tue); ECB's Lagarde, Elderson & Vujčić (Wed); ECB's Lane & Finland CB Gov. Rehn (Thu); Eurogroup (Fri); ECB's Lagarde (Fri); ECOFIN (18-19 Sep)					
15 Sep 07:45	France: HICP, % m/m (y/y)	Aug F	0.63 (2.37)	0.80 (2.69) P	0.80 (2.69)	0.80 (2.70)
15 Sep 08:00	Spain: HICP, % m/m (y/y)	Aug F	-0.02 (3.90)	0.60 (4.49) P	0.62 (4.52)	(4.50)
15 Sep 10:00	EA21: Trade balance sa, € bn	Jul	-6.1	1.8	-	-
16 Sep 09:00	Italy: HICP, % m/m (y/y)	Aug F	-0.97 (2.91)	0.10 (3.22) P	0.10 (3.22)	0.10 (3.20)
16 Sep 10:00	EA21: IP, % m/m (y/y)	Jul	0.3 (-0.2)	0.0 (0.1)	-0.3	-0.5 (-0.3)
17 Sep 10:00	EA21: HICP, % m/m (y/y)	Aug F	0.21 (2.94)	0.45 (3.26) P	0.45 (3.26)	0.40 (3.30)
18 Sep 09:00	EA21: ECB 1 Yr. Inflation expectations, %	Aug	3.0	2.9	-	-
18 Sep 09:00	EA21: ECB 3 Yr. Inflation expectations, %	Aug	2.8	2.7	-	-
18 Sep 09:00	EA21: ECB publishes Consumer Expectations Survey results	Aug	-	-	-	-
UK		Period	Prev - 2	Prev - 1	Forecast	Consensus
15 Sep 07:00	Average weekly earnings, % 3m/y	Jul	4.4	4.1	4.0	3.9
15 Sep 07:00	Regular private sector average weekly earnings, % 3m/y	Jul	2.9	2.8	2.8	2.8
15 Sep 07:00	ILO unemployment rate, %	Jul	4.9	4.9	5.0	5.0
15 Sep 07:00	Change in HMRC payrolls, thous	Aug	-13.5	-12.9	-	-
16 Sep 07:00	CPI, % m/m (y/y); to accelerate driven mainly by pump prices while other major components broadly steady.	Aug	0.1 (2.6)	0.3 (2.9)	0.5 (3.1)	0.5 (3.1)
16 Sep 07:00	Services CPI, % y/y	Aug	3.6	3.4	3.5	3.6
17 Sep 12:00	BoE bank rate decision, %	Sep	3.75	3.75	3.75	3.75
17 Sep 12:00	BoE MPC Sep. meeting minutes – We expect the MPC to maintain Bank Rate at 3.75% at its September meeting, with a hawkish tone reflecting the increased risks from energy price moves since July. The annual announcement on QT should confirm a £50bn reduction in the gilt portfolio.					
18 Sep 00:01	GfK consumer confidence, index	Sep	-17	-14	-	-16
18 Sep 07:00	Retail sales, % m/m (y/y)	Aug	0.7 (3.8)	-0.5 (1.6)	-	-0.2 (1.9)
JAPAN		Period	Prev - 2	Prev - 1	Forecast	Consensus
15 Sep 05:30	Index of tertiary industry activity, % m/m	Jul	0.8	-0.2	-	0.4
16 Sep 00:50	Core machinery orders, % m/m; to turn back down in July	Jul	-12.4	9.7	-2.6	-1.0
16 Sep 00:50	Trade balance, nsa / sa, JPY bn; to be in deficit, as semiconductors & other electronic components show stronger y/y growth on both export & import sides	Aug	-412 / -927	-638 / -686	-1100 / -	-1053 / -984
18 Sep -	BoJ overnight call rate, %	Sep	1.00	1.00	1.25	1.25
18 Sep -	BoJ MPM – We expect the BoJ, nudged in part by market pricing, to hike to 1.25%, significantly accelerating the pace of hikes to once per three months. We focus on future-pace remarks and any dissents while continuing to forecast hikes in January and July following a move in September.					
18 Sep 00:50	Nationwide CPI excl. perishables, % y/y; to be lower as imputed rent tends to rise less nationwide.	Aug	1.6	1.8	1.7	1.8

CHINA		Period	Prev – 2	Prev – 1	Forecast	Consensus
15 Sep -	TSF stock, CNY trn; to grow 7.3% y/y, with strong government bond issuance only partly offsetting weak credit demand from the household and corporate sectors.	Aug	462.1	463.3	465.4	-
15 Sep 03:00	Retail sales, % y/y; to remain soft, reflecting a 10th consecutive monthly contraction in high-frequency auto sales volumes & continued weakness in the labour market.	Aug	1.0	0.6	0.8	0.8
15 Sep 03:00	IP, % y/y; to remain supported by high-tech & export-oriented manufacturing.	Aug	5.3	4.5	4.9	4.8
15 Sep 03:00	FAI, YTD % y/y; to post a double-digit contraction, as local governments prepare projects for later implementation & adverse weather disruptions weigh on activity.	Aug	-5.7	-6.7	-7.2	-7.1
REST OF THE WORLD		Period	Prev – 2	Prev – 1	Forecast	Consensus
14 Sep 11:30	India: CPI, % y/y; to accelerate, due to rise in food and core inflation.	Aug	4.4	4.4	4.9	4.9
16 Sep 22:30	Brazil: Selic overnight rate, %; BCB to reduce the Selic rate 25bp for a fifth consecutive meeting, to 13.75%.	Sep	14.25	14.00	13.75	13.75
16 Sep 23:45	New Zealand: GDP, % q/q (y/y)	Q2	0.5 (1.5)	0.8 (1.5)	-	0.1 (2.2)
17 Sep -	Taiwan: Benchmark interest rate, %; private consumption recovery, above-target inflation & expansion of M2 growth support a hike by the CBC in September.	Sep	2.000	2.000	2.125	2.000
17 Sep 13:30	Czechia: Policy rate, %; CNB to remain on hold as core CPI remains high and energy prices remain elevated	Sep	3.75	3.75	3.75	3.75

Note: For details, refer to corresponding Data Review and Preview sections. Events and speeches that do not show the time are in local timezone. Rest are reported in BST.
Consensus data are from Bloomberg.
Source: Barclays Research

US Outlook

The burden of proof has shifted

Stronger-than-expected August inflation and labor market headlines came with important caveats. Even so, the incoming data since Jackson Hole have moved in Warsh's direction, shifting the burden of proof toward those favoring a hold and reinforcing our expectation of a 25bp FOMC rate hike.

- August inflation came in unexpectedly firm, with core CPI rising 0.29% m/m and our translation pointing to core PCE price inflation of roughly 0.25% m/m. While idiosyncratic increases in communications services and lodging accounted for much of the surprise, core services inflation remains stubbornly elevated, reflecting upside surprises from a revolving cast of categories.
- Although Warsh has downplayed the usefulness of wage inflation as a guide to future consumer-price inflation, the broader FOMC is unlikely to find recent wage indicators reassuring on top of August's firm CPI report. The Atlanta Fed Wage Growth Tracker rebounded to 4.1% y/y in August, while our estimate of underlying wage growth rose to 0.27% m/m (3.3% saar).
- We continue to expect a 25bp FOMC rate hike next week. We anticipate a dovish dissent from Waller, and potentially another from Bowman, while the SEP is likely to show one hike this year, no change in 2027, and gradual easing thereafter. Lower unemployment projections and a higher policy path would reinforce the message that inflation risks remain tilted to the upside.

Firm inflation keeps the burden of proof on the doves

The [August CPI report](#) came in firmer than expected, with core CPI rising 0.29% m/m (Barclays: 0.23%; consensus: 0.2%). Combined with this week's producer-price data, our updated translation now points to core PCE price inflation of roughly 0.25% m/m in August. The %y/y pace edged down only modestly, to 2.4% from 2.5%, providing little evidence that inflation is returning to target clearly and at sufficient speed.

Much of the upside surprise reflected a handful of service-sector categories. Communications services contributed roughly 10bp to monthly core CPI inflation, with most of that increase stemming from wireless services prices. We suspect the move reflects forced migrations of legacy AT&T customers to newer plans, as we highlighted in our preview, and would not expect a repeat in September. Taken together, the volatile lodging-away-from-home and airfares categories contributed another 8bp to monthly core CPI inflation. [Figure 1](#) highlights the degree to which August's firmness was concentrated in a relatively small number of categories.

Taken individually, those developments would reasonably be viewed as idiosyncratic. The challenge for policymakers is that core services inflation has remained stubbornly elevated for

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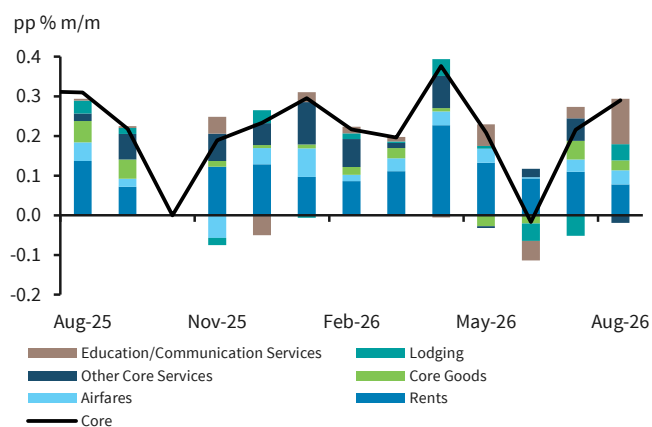
some time now, with a revolving cast of categories taking turns generating upside surprises. One month the surprise comes from transportation services, another from medical services, another from lodging or communications. While the identities of the strongest components continue to change, the persistence of elevated core services inflation makes it increasingly difficult to argue that the apparent firmness is entirely transitory.

The shelter data were somewhat more encouraging. August's OER estimate came in softer than we anticipated, helping offset some of the strength elsewhere in the report. However, [Figure 2](#) shows that much of the softness reflected a rent cohort that seems to be running soft relative to other groups. We therefore remain cautious about extrapolating August's result into a more durable slowing in shelter inflation.

More broadly, [Figure 3](#) updates the recent picture for core PCE price inflation, using our August translation of the PCE deflator before incorporating upcoming methodological changes. As one can see, the %3m saar pace remains considerably slower than earlier this year, though improvements still place inflation about 0.5pp above the target. Moreover, our estimates suggest that core PCE price inflation is likely to remain above 3% on both 6- and 12-month annualized bases. Although the latest data do not fundamentally alter the inflation outlook, they make it somewhat more difficult to argue that inflation is clearly converging toward the 2% target.

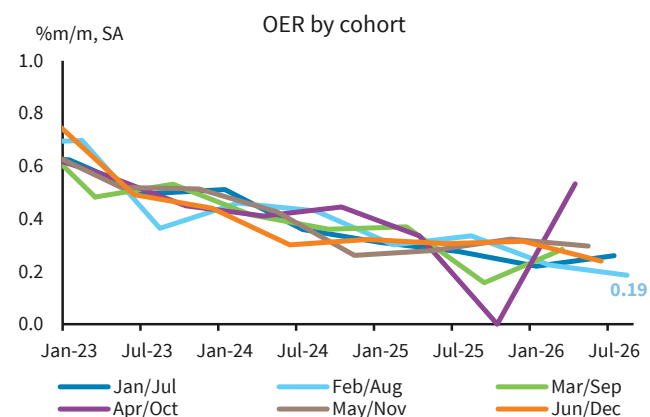
[Our preliminary forecasts](#) anticipate that the monthly pace of core CPI will slow to 0.20% m/m, still likely in a range that most on the FOMC will regard as unconvincing. Our outlook for core PCE price inflation in 2026 as a whole remains at 3.3% Q4/Q4, or 3.1% Q4/Q4 when we allow for [methodological changes](#) planned for the upcoming annual NIPA revisions.

FIGURE 1. Core CPI was unexpectedly firm, reflecting surprises in wireless services, lodging, and airfares



Source: BLS, Haver Analytics, Barclays Research

FIGURE 2. Rent readings came in unexpectedly soft following signs of firming



Source: BLS, Haver Analytics, Barclays Research

Wage indicators look less reassuring

Although Warsh has downplayed the usefulness of wage inflation as a guide to future consumer-price inflation, the broader FOMC is unlikely to find recent wage indicators reassuring on top of August's firm CPI report. The Atlanta Fed Wage Growth Tracker rebounded to 4.1% y/y in August after slowing sharply in July, while our state-space estimate of underlying wage growth increased to 0.27% m/m (3.3% saar). This follows firming of average hourly earnings to 0.3% m/m in August, and earlier estimates showing some reacceleration in the Employment Cost Index during Q2.

Figure 4 presents the latest estimates from our underlying wage-growth model. The recent readings provide more convincing evidence that wage inflation may be firming after several months of moderation. To be sure, wage growth has not been a particularly reliable guide to future inflation in recent years, a point emphasized by Warsh at Jackson Hole. Nevertheless, stronger wage growth removes one potential argument that underlying inflation pressures are easing decisively.

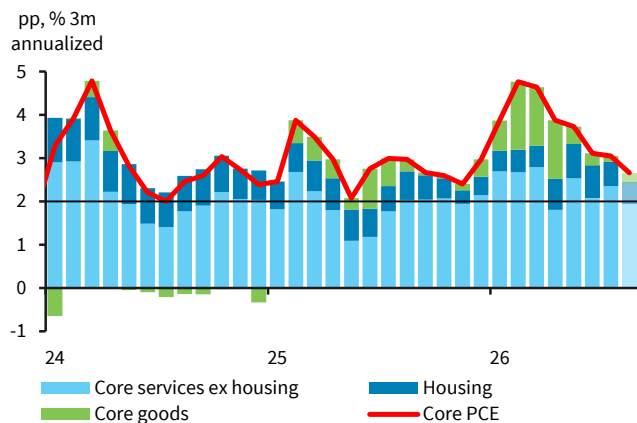
Taken together, the inflation and wage data have generally moved in the same direction since Jackson Hole. In isolation, neither development provides conclusive evidence that inflation is becoming re-entrenched. But taken together, they make it more difficult to argue that inflation is moving toward target clearly and at sufficient speed.

Activity remains resilient, with retail sales on tap

Incoming activity data this week provided relatively little new information about the broader economy. Existing home sales fell to 3.98mn SAAR (Barclays: 3.95mn; consensus: 3.98mn), while inventories and producer-price data were broadly in line with expectations. Our estimate of Q3 GDP growth has risen to 2.1% q/q saar, up from 1.7% last week and now broadly in line with our official forecast of 2.0% q/q saar.

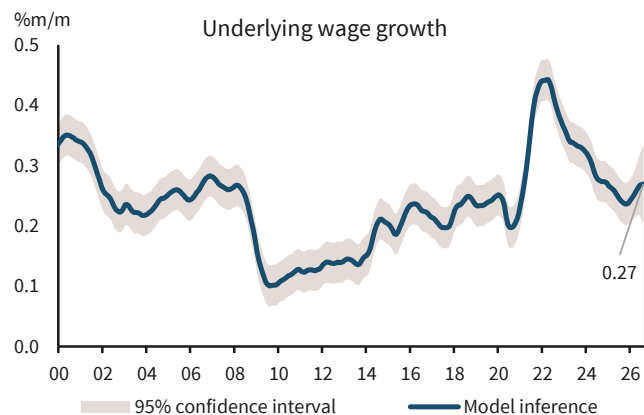
That increase did not stem directly from this week's releases, but from a materially firmer forecast for August retail sales, which now points to stronger consumer spending than we had previously anticipated. We expect headline retail sales to rise 0.7% m/m, with ex-auto sales increasing 0.6% m/m and the control group advancing 0.4% m/m. A portion of the headline strength reflects higher gasoline prices and a solid gain in motor vehicle sales. More importantly, we expect the retail control group to rebound from July's pothole, which appears to have reflected purchases being pulled forward into June by the earlier-than-normal Amazon Prime Day rather than a sharp deterioration in consumer momentum.

Next week's retail sales report should therefore provide an important read on the resilience of household demand amid renewed purchasing-power pressures from higher energy prices. We also expect industrial production to rise 0.2% m/m in August, with manufacturing output increasing 0.1% m/m after stronger gains in June and July. Meanwhile, housing starts are likely to rebound to 1.3mn SAAR, supported in part by the solid pace of permits in July. Taken together, next week's activity data should help clarify whether recent signs of firmer demand represent a temporary rebound following July's distortions or more durable momentum.

FIGURE 3. Our core PCE translation still implies gradual progress toward the 2% target

Notes: August data represents Barclays forecast. Above data represent current methodology and do not reflect upcoming methodology changes to PCE inflation calculations.

Source: BEA, Haver Analytics, Barclays Research

FIGURE 4. With August's wage estimates, our state-space model is more convinced of reacceleration

Source: Barclays Research

Recalibrating toward more convincing restraint

Next week's FOMC meeting will provide the first comprehensive test of the reaction function outlined by Warsh at Jackson Hole. Since that speech, incoming data have generally moved in his direction. Labor market headlines have surprised on the strong side, inflation has exceeded expectations, wage indicators have firmed, and oil prices have moved materially higher.

Admittedly, each development comes with caveats. August payroll growth appears to have been boosted by rebounds in leisure and hospitality employment, reversals in local government education payrolls, and favorable seasonal adjustments. Likewise, August inflation was heavily influenced by a relatively small number of service categories. Yet nearly every important data surprise since Jackson Hole has arrived in the same direction. As a result, the burden of proof has increasingly shifted toward those arguing against tightening.

We [continue to expect a 25bp rate hike](#) next week. We anticipate a dovish dissent from Waller, and potentially another from Bowman, highlighting the "family fight" over how much weight policymakers should place on recent monthly inflation readings versus the more elevated 6- and 12-month measures emphasized by Warsh. The updated SEP ([Figure 5](#)) is likely to show one hike this year, no change in 2027, and gradual easing thereafter. We also expect lower unemployment-rate projections and a somewhat higher policy path, reinforcing the message that labor-market conditions remain near full employment and inflation risks remain tilted to the upside.

The rise in oil prices further complicates the case for remaining on hold. WTI crude has moved back toward the \$100/bbl mark, while Brent has shown a similar increase. Fed funds futures now imply roughly 3½ hikes through the end of 2027, one more than a week ago. Much of that adjustment appears to reflect a belief that higher energy prices will persist for some time, requiring tighter monetary conditions to help forestall upward pressures on headline inflation.

We doubt the committee will respond directly to higher oil prices themselves. Instead, policymakers are likely to focus on whether persistently higher energy prices begin to affect broader inflation expectations and feed into underlying inflation dynamics. That risk remains difficult to quantify, but this is another reason why the incoming data have generally strengthened the case for tightening.

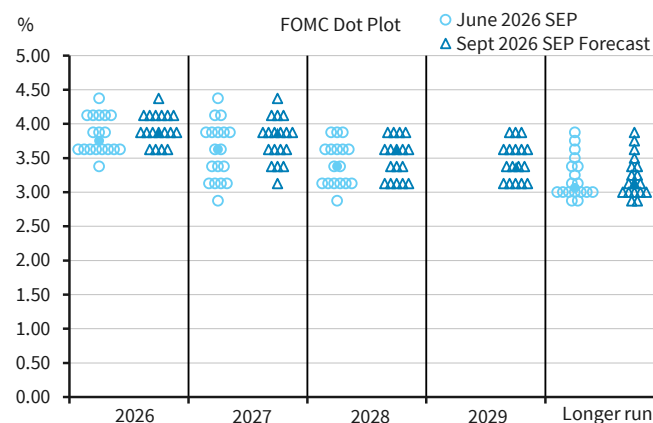
Overall, the incoming evidence has done little to ease the concerns that Warsh highlighted at Jackson Hole. Inflation still may be moving toward the objective, but the latest data instill less confidence that it is doing so clearly and at sufficient speed. That leaves us expecting a 25bp hike next week and a committee that remains reluctant to declare victory over inflation.

FIGURE 5. We expect the SEPs to highlight a resilient labor market and upside inflation risks...

September 2026 FOMC Summary of Economic Projections (vs. June 2026 projections)					
Q4/Q4 %chg (unless indicated)	2026	2027	2028	2029	Longer run
Change in real GDP	2.1	2.2	2.2	2.0	2.0
June projection	2.2	2.3	2.2		2.0
Unemployment rate (% Q4 avg)	4.1	4.1	4.1	4.2	4.2
June projection	4.3	4.3	4.2		4.2
PCE inflation	3.7	2.3	2.0	2.0	2.0
June projection	3.6	2.3	2.0		2.0
Core PCE inflation	3.2	2.4	2.1	2.0	
June projection	3.3	2.5	2.1		
Federal funds rate (Q4)	3.9	3.9	3.6	3.4	3.1
June projection	3.8	3.6	3.4		3.1

Source: Federal Reserve, Barclays Research

FIGURE 6. ...with the median dots projecting one hike in 2026 and a hold next year



Note: Light blue circles show June 2026 projections; dark blue circles show September 2026 projections. The medians are shown as filled circles.
 Source: Federal Reserve, Barclays Research

US Q3 GDP TRACKING AT 2.1%

Colin Johanson, BCI, US | Jonathan Millar, BCI, US

We began this week with the release of August PPI estimates, which left our GDP tracker unchanged at 1.7%, due to rounding, despite causing multiple component trackers to change. August estimates for existing home sales then came in close to expectations, which kept our tracker constant, as did the final estimate of July wholesale inventories. We then updated for August CPI data and our forecasts for next week, which combined to lift our GDP tracker by 0.4pp to 2.1% q/q saar. This was driven by a weaker translation of the control group price deflator for August and a stronger than previously expected forecast for August control group retail sales and utilities spending, which all together boosted our PCE tracker by 0.6pp to 2.5% q/q saar.

FIGURE 7. The effect of incoming data on our GDP tracking model

		Details of Q3 2026 GDP tracking estimate (% q/q saar, unless indicated)											
Date	Data release	GDP	Final sales	PCE	Res. inv.	Equip	Struct	IPP	Gov	Exports	Imports	Net exports (level)	CPI (level)
Sep-10	PPI	1.7	2.6	1.9	-0.3	15.8	4.9	9.0	-0.3	-0.7	9.0	-1173.5	-31.6
Sep-10	Existing Home Sales	1.7	2.6	1.9	-0.3	15.8	4.9	9.0	-0.3	-0.7	9.0	-1173.5	-31.6
Sep-10	Wholesale Inventories	1.7	2.6	1.9	-0.3	15.8	4.9	9.0	-0.3	-0.7	9.0	-1173.5	-31.9
Sep-11	CPI, Calibration	2.1	3.0	2.5	-2.4	15.8	4.9	9.0	-0.3	-0.7	9.0	-1173.5	-31.9
Current quarter tracking		2.1	3.0	2.5	-2.4	15.8	4.9	9.0	-0.3	-0.7	9.0	-1173.5	-31.9
<i>Contribution to GDP growth (pp)</i>			3.0	1.7	-0.1	0.9	0.1	0.5	-0.1			-1.3	0.4
Barclays official forecast		2.0	2.4	1.5	0.0	10.0	4.0	9.0	1.5	4.0	8.0	-1131.4	-40.6

Note: Our GDP tracking estimate is distinct from our official published GDP forecast. It reflects the mechanical aggregation of monthly activity data that feed directly into the BEA's GDP calculation. Where data releases have implications for the tracking components, cells have been bolded

Source: Barclays Research

US DATA REVIEW & PREVIEW

Marc Giannoni, BCI, US | Jonathan Millar, BCI, US | Pooja Sriram, BCI, US | Colin Johanson, BCI, US

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
NFIB small business optimism	Aug	99.8	-	98.7	The small business optimism index declined 1.1pts to 98.7 in August, but remained above its long-run average of 98.0. Weaker expectations for business conditions and deteriorating sales weighed on the index, while inflation and supply-chain concerns kept uncertainty elevated.
Initial jobless claims, k (4wma)	5-Sep	207 (208) R	210	206 (206)	Initial claims fell to 206k from an upwardly revised 207k, while continued claims declined to 1,774k from a downwardly revised 1,775k.
Insured unemployment (continued claims), k	29-Aug	1775 R	-	1774	
PPI, % m/m (y/y)	Aug	0.1 (4.8) R	0.4 (5.2)	0.4 (5.4)	August PPI was in line with expectations and lowers the core PCE estimate by 1bp, to 0.22% m/m. Under the new methodology, a softer translation of portfolio management services and declines in gaming software and hosting PPI could shave off another 1-2bp from core PCE.
Core PPI, % m/m (y/y)	Aug	0.3 (4.3) R	0.2 (4.5)	0.2 (4.6)	Existing home sales declined 2.0% m/m in August, to 3.98mn, on the heels of a similar decrease in July (-1.7% m/m). Sales continue to run below pre-pandemic trends, as mortgage rates and house prices are still limiting affordability in the housing market.
Existing home sales, mn saar	Aug	4.1	3.95	4	
Wholesale inventories-f, % m/m	Jul	1.3 P	1.3	1.3	Wholesale inventories increased 1.3% m/m in July, in line with expectations, while June's increase was revised up to 0.3% from 0.2%
CPI, % m/m sa (y/y)	Aug	0.1 (3.4)	0.39 (3.4)	0.4 (3.4)	August CPI surprised to the upside, rounding up to 0.3% m/m; our translation of core PCE inflation, at 0.25% m/m under the new methodology, also sits at the cusp of a 0.3%.
Core CPI, % m/m sa (y/y)	Aug	0.2 (2.5)	0.23 (2.4)	0.3 (2.4)	Although some of the August strength seems one-off, we think the data are supportive of a rate hike next week.
CPI, nsa index	Aug	333.918	334.941	334.98	
"Flash" U. of Michigan consumer sentiment, index	Sep	51.7	51.2	47.8	Consumer sentiment declined to 47.8 in September, marking a second consecutive monthly decrease, as the outlook for finances and business conditions weakened. One-year inflation expectations jumped to 4.6% from 4.0%, while long-run expectations edged up to 3.4% from 3.3%.
"Flash" U. of Michigan 1 Yr. inflation, %	Sep	4	-	4.6	
"Flash" U. of Michigan 5-10 Yr. inflation, %	Sep	3.3	-	3.4	
Treasury budget balance, \$ bn	Aug	-432.3	-	-166.8	The budget balance in August showed a slowdown in spending compared with the prior month.

Preview of upcoming data

Monday 14 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
No indicator release scheduled.							
Tuesday 15 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
08:30	Empire State mfg. index	Sep	5.7	15.6	20.6	-	14.1
Wednesday 16 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
08:30	Import prices, % m/m (y/y)	Aug	1.7 (6.8)	-0.3 (6.7)	-0.4 (5.9)	0.9 (7.0)	-
08:30	Non petroleum import prices, % m/m (y/y)	Aug	0.6 (3.9)	0.2 (4.3)	0.3 (4.5)	0.4 (4.8)	-
08:30	Retail sales, % m/m	Aug	0.9	0.2	-0.6	0.7	0.9
08:30	Retail sales ex autos, % m/m	Aug	0.9	-0.2	-0.3	0.6	0.5
08:30	Core retail sales, % m/m	Aug	0.6	0.4	-0.4	0.4	0.4

10:00	NAHB housing market index	Sep	36	34	35	-	34
10:00	Business inventories, % m/m	Jul	0.6	0.4	0	0.6	0.2
14:00	FOMC rate decision, %	16-Sep	3.50 - 3.75	3.50 - 3.75	3.50 - 3.75	3.75 - 4.00	3.50 - 3.75
14:30	Press Conference by Fed Chair Warsh (FOMC voter)						

16:00 Net long-term TIC flows, \$ bn Jul 105.3 231.2 172.7 - -

Retail sales: We expect retail sales to rebound from July's declines, with a 0.7% m/m gain in the headline more than reversing the prior month's 0.6% m/m plunge. A good portion of this strengthening reflects nominal gains in gasoline station sales, with petrol prices having moved up notably in August. Sales estimates already in hand point to a solid August gain in the motor vehicles component. We also expect the control group to rise 0.4% m/m following July's pothole from the pull-forward of sales from the earlier-than-normal Prime Day.

September FOMC meeting: We expect the FOMC to raise rates 25bp to 3.75-4.00% next week amid insufficient progress on inflation, in line with Chairman Warsh's Jackson Hole comments. Given our projection for the upcoming PCE inflation print (core PCE at +0.25% m/m), we think there will be broad support for a hike. We expect little change to the FOMC statement and the vote to be met with at least one dovish dissent from Governor Waller. The new Summary of Economic Projections (SEP) will likely show a slight upward revision to headline inflation, a downward revision to core inflation reflecting upcoming changes in BEA methodology, along with downward revisions to GDP growth and unemployment rate projections. We think the median dots will be revised up, showing one 25bp hike this year, no change in 2027, and a 25bp cut in both 2028 and in 2029. We expect the longer-run dot to remain at 3.1%. We keep our Fed call unchanged, expecting the FOMC to raise rates 25bp in both September and December, and then to cut rates 25bp in December 2027, after inflation has moved down closer to the target.

Thursday 17 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
08:30	Philadelphia Fed mfg. index	Sep	10.3	41.4	47.4	25	28.6
08:30	Initial jobless claims, k (4wma)	12-Sep	204 (206)	207 (208)	206 (206)	210	-
08:30	Insured unemployment (continued claims), k	5-Sep	1771	1775	1774	-	-
08:30	Housing starts, k saar	Aug	1182	1415	1239	1300	1315
08:30	Building permits, k saar	Aug P	1410	1374	1433	-	1410
10:00	Pending home sales, % m/m	Aug	3.5	-4.8	-2.3	-	-

Housing Starts: We expect housing starts in August to print at 1.300mn, which would represent a gain of 4.9% m/m following volatile moves in the prior five months. This would be driven partly by the solid level of building permits in July, implying gains in construction activity in August.

Friday 18 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
09:15	Industrial production, % m/m	Aug	0	0.3	0.2	0.2	0.3
09:15	IP: Manufacturing (SIC) production, % m/m	Aug	0	0.3	0.2	0.1	0.3
09:15	Capacity utilization, %	Aug	76.1	76.2	76.3	-	76.4
10:00	Conference Board leading economic index®, % m/m	Aug	0.2	-0.1	0.2	-	0.2

Industrial production: We look for industrial production to slow somewhat following solid reports in June and July, with the headline moving up 0.2% m/m. The slowing is driven largely by the manufacturing sector, where we expect production to decelerate from 0.3% m/m to 0.1% m/m, given available auto assembly schedules, hours worked in factories, and other indicators.

Note: Consensus data from Bloomberg.

Source: BEA, BLS, Bloomberg, Census Bureau, Federal Reserve, ISM, University of Michigan, S&P Global, Haver Analytics, Barclays

US SNAPSHOT

Marc Giannoni BCI, US | Jonathan Millar BCI, US | Pooja Sriram BCI, US | Colin Johanson BCI, US

	2025				2026				2027				Calendar year average		
% Change q/q saar	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	2025	2026	2027
Real GDP (% q/q saar)	-0.6	3.8	4.4	0.5	2.1	1.5	2.0	2.0	1.5	1.5	1.5	1.5	2.1	2.0	1.7
Real GDP (% y/y)	2.0	2.1	2.3	2.0	2.7	2.1	1.5	1.9	1.8	1.8	1.6	1.5	...	...	...
Private consumption	0.6	2.5	3.5	1.9	0.5	3.4	1.5	1.5	1.5	1.5	1.5	1.5	2.6	2.0	1.6
Public consump and invest	-1.0	-0.1	2.2	-5.6	4.4	-1.0	1.5	1.5	0.5	0.5	0.5	0.5	1.1	0.4	0.7
Gross private investment	23.3	-13.8	0.0	2.3	7.9	2.7	8.0	6.1	4.4	4.4	2.8	2.8	1.9	3.3	4.7
Residential investment	-1.0	-5.1	-7.1	-1.7	-7.8	1.3	0.0	0.0	0.0	0.0	0.0	0.0	-2.2	-3.3	0.1
Nonresidential investment	9.5	7.3	3.2	2.4	10.6	8.5	8.4	7.2	5.6	5.6	3.9	3.9	4.1	7.0	6.1
Equipment	21.4	8.5	5.2	4.3	15.8	13.6	10.0	9.0	6.0	6.0	4.0	4.0	8.3	10.2	7.1
Intellectual property	6.5	15.0	5.6	5.4	13.8	8.8	9.0	7.0	5.0	5.0	4.0	4.0	5.6	9.2	5.9
Structures	-3.1	-7.5	-5.0	-6.5	-4.7	-1.8	4.0	4.0	6.0	6.0	3.5	3.5	-5.3	-3.2	4.4
Ch. inventories (contr to GDP, pp)	2.6	-3.4	-0.1	0.1	0.2	-0.7	0.2	0.1	0.0	0.0	-0.1	-0.1	-0.1	-0.3	0.0
Net exports (contr to GDP, pp)	-4.7	4.8	1.6	-0.2	-0.4	-1.1	-0.6	-0.3	-0.3	-0.3	-0.1	-0.1	-0.2	0.0	-0.4
Exports	0.2	-1.8	9.6	-3.2	10.9	4.5	4.0	2.5	2.5	2.5	2.5	2.5	1.6	4.6	2.8
Imports	38.0	-29.3	-4.4	-1.0	11.8	12.5	8.0	4.5	4.5	4.5	2.5	2.5	2.7	3.3	5.0
Final sales to domestic purchasers	1.4	2.4	2.8	0.6	2.2	3.3	2.4	2.2	1.8	1.8	1.6	1.6	2.4	2.3	2.2
Industrial production (% y/y)	0.7	0.5	1.7	1.6	0.8	1.4	1.6	2.6	2.6	3.0	3.0	3.0	1.1	1.6	2.9
GDP price index	3.6	2.1	3.8	3.7	3.6	6.4	2.5	3.3	2.5	2.1	2.2	2.7	2.8	3.9	2.8
Nominal GDP	2.9	6.0	8.3	4.2	5.8	8.0	4.6	5.4	4.0	3.6	3.8	4.2	5.0	6.0	4.5
Employment (avg mthly chg, K)	20	34	23	-39	73	81	78	50	25	0	0	0	10	70	6
Unemployment rate (%)	4.1	4.2	4.3	4.5	4.3	4.3	4.1	4.0	4.0	4.0	4.0	4.0	4.3	4.2	4.0
CPI inflation (% y/y)	2.7	2.4	2.9	2.7	2.7	3.9	3.4	3.8	3.4	2.3	2.3	2.0	2.7	3.4	2.5
Core CPI inflation (% y/y)	3.1	2.8	3.1	2.7	2.5	2.7	2.5	2.7	2.6	2.5	2.5	2.4	2.9	2.6	2.5
PCE price index (% y/y)	2.6	2.4	2.7	2.8	3.1	3.9	3.8	3.8	3.3	2.4	2.3	2.1	2.6	3.6	2.5
Core PCE price index (% y/y)	2.8	2.7	2.9	2.9	3.1	3.4	3.4	3.3	2.8	2.5	2.4	2.3	2.8	3.3	2.5
Current account (% GDP)	-5.8	-3.3	-3.4	-2.8	-2.8	-3.3	-3.5	-3.6	-3.7	-3.9	-4.0	-4.1	-3.8	-3.3	-3.9
Federal budget bal. (\$bn)	...	...	...	...	...	...	...	...	...	...	...	...	-1,775	-2,054	-1,994
Federal budget bal. (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-5.8	-6.4	-5.9
Government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	125.2	124.5	126.8
Federal funds target range															
Upper bound (%)	4.50	4.50	4.25	3.75	3.75	3.75	4.00	4.25	4.25	4.25	4.25	4.00	...	...	...
Lower bound (%)	4.25	4.25	4.00	3.50	3.50	3.50	3.75	4.00	4.00	4.00	4.00	3.75	...	...	...

Note: % q/q saar unless indicated. The budget balance is fiscal year.

Source: BEA, BLS, FRB, US Treasury, Barclays Research

Euro Area Outlook

Jamais deux sans trois

The ECB delivered the widely expected 25bp rate hike in September. With the inflation outlook continuing to deteriorate and headline inflation risking approaching the 4% mark by year-end, we now think it will need to tighten policy further in December.

- Rising oil and gas prices, together with persistently elevated refining margins, are likely to push headline inflation close to 4% by December, with risks that a larger and more persistent energy shock starts feeding more materially into food, goods and services prices through indirect and, potentially, second-round effects.
- At its September meeting, the ECB delivered a second 25bp hike and made clear that the decision was supported across a range of scenarios. With the inflation outlook drifting away from the updated baseline projections and towards the adverse scenario, we now expect the ECB to raise further at the December meeting.
- We think the October meeting remains live, but it would likely take a further deterioration in the energy outlook from current levels for the ECB to accelerate the pace of policy tightening.

The ECB still has work to do

At its September meeting, [the Governing Council \(GC\) delivered the widely expected 25bp rate hike](#), bringing the deposit facility rate to 2.5%, the upper bound of the latest estimates of the nominal neutral range. President Lagarde framed the decision as robust across the baseline and alternative scenarios. During the press conference, she left little doubt about the rationale for the move, describing the September hike as a “no-brainer” in light of the inflation outlook and the balance of risks.

Updated projections, prepared using commodity price and yield curve assumptions from mid-August, took stock of the euro area's stronger-than-expected economic performance in recent months, with upward revisions to growth forecasts for 2026 (+0.1pp to 0.9%) and 2027 (+0.2pp to 1.4%). Revisions to the headline and core inflation profiles also pointed to more persistent inflationary pressures, with headline inflation projected to average 3.0% in 2026, 2.5% in 2027 and 2.1% in 2028, while core inflation was forecast at 2.5%, 2.6% and 2.3%, respectively. Yet in light of the latest energy market developments, the inflation outlook already appears to be drifting away from the baseline ([Figure 1](#)). With oil trading around \$105/bbl and gas prices having moved above €80/MWh, market pricing is increasingly moving closer to the assumptions underpinning the adverse scenario. For illustrative purposes, plugging in the latest energy curves into our latest inflation forecast (dated 21 August) while leaving all other components unchanged would bring headline inflation close to 4% by year-end ([Figure 2](#)).

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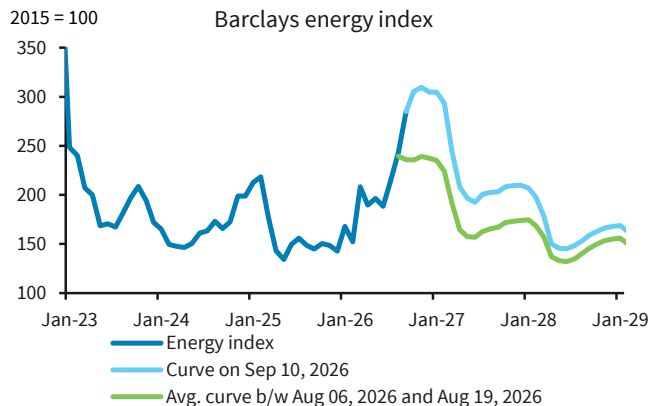
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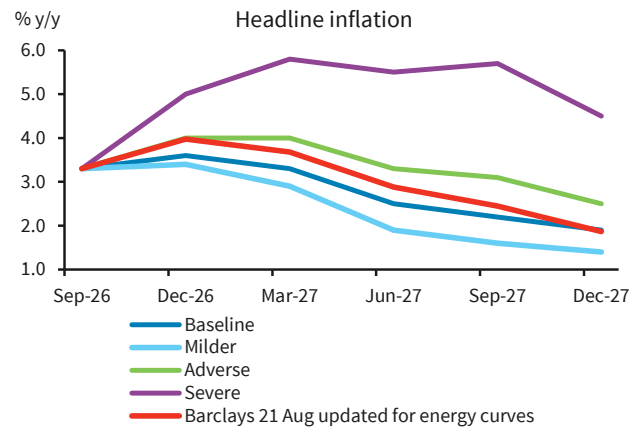
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FIGURE 1. The latest energy price moves have pushed up our synthetic index above the assumptions of the September baseline

Synthetic energy index of oil, gas and electricity prices. 6-19 August corresponds to the 10-day collection window preceding the 19 August cut-off date.

Source: Bloomberg, Haver Analytics, Barclays Research

FIGURE 2. By year-end, headline inflation could test 4%

Red line corresponds to Barclays' 21 August forecast, adjusted for the August flash release surprise and the latest moves in energy curves. This exercise does not incorporate any adjustment to our previous paths for food, core goods or services. Source: ECB, Barclays Research

To our eyes, with the baseline projection itself conditioned on a yield curve that, at the time of the cut-off date, was pricing a deposit rate close to 2.75% by March 2027, and with the energy outlook now moving above that baseline, we think the ECB will see the need to tighten policy further to stabilise inflation at target. As a result, we have revised our call and now expect the ECB to raise rates 25bp at the December meeting, with the deposit facility rate then remaining on hold at 2.75% through end-2027. While we think the Governing Council will keep October as a live meeting, under current circumstances, we see December as the more likely timing for the next rate adjustment. In fact, a majority around the GC table is likely to view the December meeting as the natural opportunity to reassess the outlook in light of a fresh round of Eurosystem staff projections. We think that accelerating the pace of policy tightening with a hike as soon as October would require a further deterioration in the energy outlook.

Beyond December, however, and given that President Lagarde refrained from pushing back against current market pricing, we think the risks to our revised ECB call remain tilted towards the need for further policy tightening should the energy outlook fail to normalise and/or should the ECB gain confidence that indirect and second-round effects are becoming more entrenched. In our view, the ECB's reaction function will also depend critically on growth developments. The longer the euro area's growth resilience persists, the lower the bar for additional tightening beyond what we currently expect. Conversely, should higher-for-longer energy prices begin to weigh more visibly on economic activity, the growth-inflation trade-off could become more salient, leading the Governing Council to adopt a more cautious approach to further tightening.

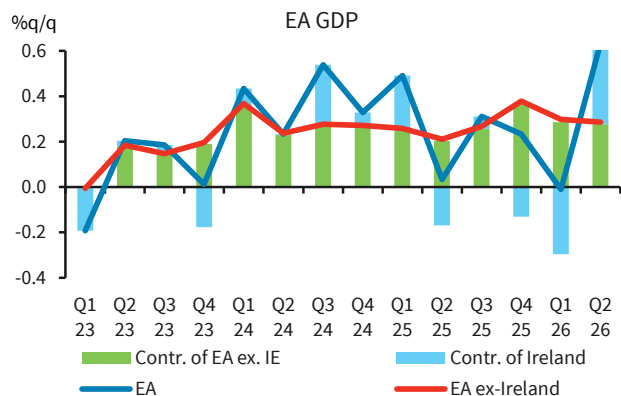
Q2 growth revised higher...

As we had expected, euro area growth was revised markedly higher in the final Q2 release, with real GDP expanding 0.6% q/q (from 0.4% q/q previously), the strongest quarterly outturn in four years. The revision was driven overwhelmingly by Ireland, where growth was revised up sharply, to 10.2% q/q from an initial estimate of 3.9% q/q. Excluding the volatile Irish reading, however, euro area GDP still expanded a resilient 0.3% q/q, broadly in line with the trend over the past two years (Figure 3).

The expenditure breakdown (Figure 4) shows that activity was driven primarily by net exports, which contributed 0.9pp to the headline reading. Developments within domestic demand were more mixed. On the one hand, private consumption grew a solid 0.4% q/q, with positive

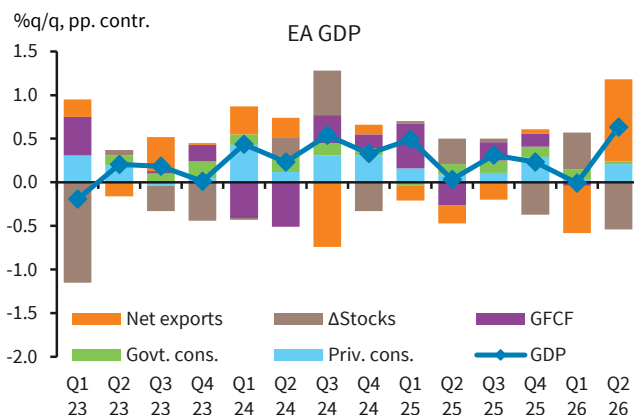
outturns across most major economies, Germany being the main exception. On the other hand, the final GDP release painted a more subdued picture for investment.

FIGURE 3. The euro area economy grew 0.6% q/q in Q2, but 0.3% q/q when excluding Ireland



Source: Eurostat, Haver Analytics, Barclays Research

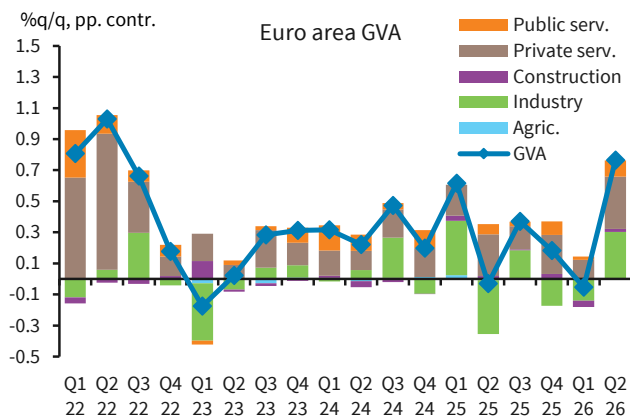
FIGURE 4. Net exports were the main driver of growth, but private consumption also showed signs of improvement



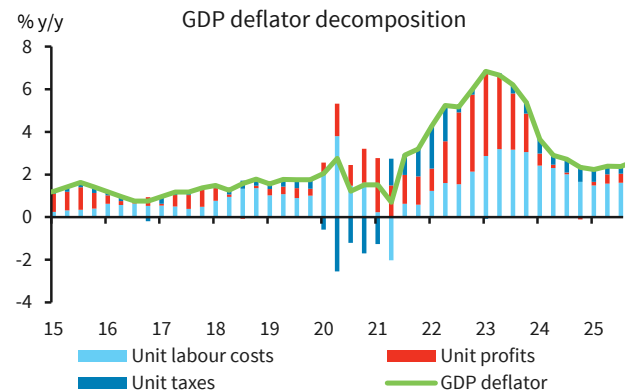
Source: Eurostat, Haver Analytics, Barclays Research

From a supply-side perspective (Figure 5), growth became more broad-based in Q2, with all major sectors recording positive contributions to euro area GVA. Most notably, manufacturing activity rebounded following a weak start to the year, making its largest contribution to growth since early 2025, when the sector was boosted by front-loading dynamics ahead of US tariffs. As we have previously highlighted, manufacturing activity appears to have been supported by a combination of stockpiling ahead of anticipated supply disruptions and price increases, higher defence spending, and spillovers from the global AI cycle, which seem to be benefiting a number of manufacturing subsectors.

Finally, and importantly from the perspective of monitoring domestic price pressures, the GDP deflator accelerated to 2.5% y/y (Figure 6), up 0.2pp from Q1. The increase was driven by stronger unit profits, which more than offset the continued moderation in unit labour costs. The latter was supported by slower growth in compensation per employee (-0.2pp, to 3.3% y/y) and an improvement in labour productivity growth (+0.7pp, to 0.7% y/y).

FIGURE 5. Manufacturing posted a strong positive contribution to Q2 GVA growth

Source: Eurostat, Haver Analytics, Barclays Research

FIGURE 6. Our decomposition of the GDP deflator showed a pickup in unit profits

Source: Eurostat, Haver Analytics, Barclays Research

...but mixed signals from incoming Q3 manufacturing hard data

Contrasting with the signal from the July PMIs, incoming industrial production data painted a more mixed picture for July. Output contracted in Germany and France (-1.5% m/m and -0.4% m/m, respectively), but rebounded in Italy and Spain (+0.7% m/m and +0.6% m/m, respectively). Taking stock of the country releases available to date, we estimate that euro area industrial production (release on Wednesday) declined 0.3% m/m in July. Excluding Ireland, however, the drop would likely be more pronounced, at about -0.5% m/m.

The week ahead

So far, the final August HICP reports have been published for a set of euro area countries, including Germany, where inflation was confirmed at 2.9% y/y. Next week will bring the final August HICP readings for France (Tuesday), Spain (Tuesday) and Italy (Wednesday), ahead of the euro area release (Thursday). On the inflation side, we will also be monitoring the ECB's Consumer Expectations Survey (Friday).

On the policy front, a busy line-up of ECB speakers is scheduled next week, including Executive Board member Cipollone (Monday and Tuesday), Executive board member Schnabel (Monday), ECB President Lagarde (Monday and Friday), Banque centrale du Luxembourg Governor Reinesch (Tuesday), Vice-President Vujčić (Wednesday), Executive Board member Elderson (Wednesday), Chief Economist Lane (Thursday), and Finnish Governor Rehn (Thursday). We will also be watching the latest ECB wage tracker release (Wednesday).

EURO AREA DATA REVIEW & PREVIEW

Silvia Ardagna, Barclays, UK | Saadalla Nadra-Yazji, BBI, Paris

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
Germany: Industrial production, % m/m (y/y)	Jul	0.0 (-0.4) R	0.4	-1.1 (-1.6)	Germany industrial production (excluding construction) fell by 1.5% m/m in July. The decline was driven primarily by the automotive sector, where output dropped by 9.2% m/m, reflecting production shutdowns that lasted several weeks.
France: Industrial production, % m/m (y/y)	Jul	-0.1 R (-0.1)	0.3	-0.4 (-0.5)	French industrial production (excluding construction) fell by 0.4% m/m in July. The declines were broad based across the major branches of manufacturing.
Spain: Industrial production, % m/m (y/y)	Jul	-0.7 (1.1)	-	0.6 (2.3)	Spanish industrial production excluding construction rose by 0.6% m/m in July, driven by strong manufacturing activity (+0.8% m/m). The increase was led by textiles, as well as coke and refined petroleum products and chemicals.
Italy: Industrial production, % m/m (y/y)	Jul	-1.1 R (-0.5)	0.3	0.7 (-0.1)	Italy industrial production grew by 0.7% m/m in July, up from -1.1% m/m in June. The strength was broad based across sectors and more than counterbalanced the weaknesses in the automotive and electricity production sector.
EA21: "Final" GDP, % q/q	Q2	0.4 S	0.6	0.6	Euro area real GDP growth was revised sharply higher in the final Q2 release to 0.6% q/q, up from 0.4% q/q previously. The upward revision was driven almost entirely by Ireland, where growth was revised to 10.2% q/q (from 3.9% q/q). Excluding Ireland, euro area GDP still grew by a solid 0.3% q/q. Growth was driven primarily by net exports, which contributed 0.9pp to headline GDP growth, while domestic demand remained mixed. Private consumption rose by a solid 0.4% q/q across most major economies, but investment continued to weigh on overall activity.
EA21: ECB Refinancing rate, %	Sep	2.40	2.65	2.65	As expected, the ECB Governing Council unanimously delivered a 25bp increase in all three policy rates, bringing the deposit facility rate to 2.5%. The decision was presented as robust across the range of published scenarios. President Lagarde strongly endorsed the move, describing the September hike as a "no-brainer" given the evolution of the inflation outlook and the associated balance of risks.
EA21: ECB Deposit rate, %	Sep	2.25	2.50	2.50	
Germany: "Final" HICP, % m/m (y/y)	Aug	0.16 (2.93) P	0.16 (2.93)	0.16 (2.93)	Germany final August HICP inflation was left unrevised at 2.9% y/y, up 0.1pp from July. The increase was driven by higher energy and core goods inflation, with energy inflation continuing to accelerate on the back of a further pickup in fuel prices. By contrast, services and food, alcohol and tobacco (FAT) inflation moderated somewhat, with the former reflecting softer price dynamics in volatile components such as transport, package holidays and accommodation.

Preview of upcoming data

Saturday 12 September		Period	Prev – 3	Prev – 2	Prev – 1	Forecast	Consensus
11:15	EA21: ECB President Lagarde delivers remarks Fête de la Pomme in Épreville-en-Lieuvin, France						
Monday 14 September		Period	Prev – 3	Prev – 2	Prev – 1	Forecast	Consensus
-	EA21: ECB President Lagarde speaks at event "Hofburg im Dialog – Economy, Europe, Resilience" in Vienna, Austria						
10:15	EA21: ECB Executive Board Member Schnabel delivers keynote speech at the Federal Ministry for Economic Affairs and Energy (BMWE) Symposium on European Competitiveness in Berlin, Germany						
14:00	EA21: ECB Executive Board Member Cipollone speaks at an event at House of the Euro in Brussels, Belgium						
06:00	Finland: "Final" HICP, % m/m (y/y)	Aug	-0.5 (2.7)	0.2 (2.6)	-0.4 (2.4) P	-	-
07:00	Sweden: "Final" CPI, % m/m (y/y)	Aug	0.4 (0.7)	-0.3 (0.2)	-0.3 (0.3) P	-	-0.3 (0.3)
07:00	Sweden: "Final" CPIX, % m/m (y/y)	Aug	0.3 (1.3)	-0.3 (0.7)	-0.3 (0.7) P	-	-0.3 (0.7)
07:00	Sweden: CPI, index level	Aug	125.1	125.6	125.2	-	124.8
Tuesday 15 September		Period	Prev – 3	Prev – 2	Prev – 1	Forecast	Consensus
-	Luxembourg: Banque centrale du Luxembourg Governor Reinesch speaks at OMFIF's European SSA Forum in Luxembourg City, Luxembourg						
15:00	EA21: ECB Executive Board Member Cipollone participates in panel discussion at conference organised by the Leibniz Institute for Financial Research SAFE and the Center for Advanced Studies on the Foundations of Law and Finance at Goethe University in Frankfurt, Germany						
07:45	France: "Final" CPI, % m/m (y/y)	Aug	-0.3 (1.8)	0.6 (2.1)	0.7 (2.4) P	-	0.7 (2.4)
07:45	France: "Final" HICP, % m/m (y/y)	Aug	-0.34 (2.02)	0.63 (2.37)	0.80 (2.69) P	0.80 (2.69)	0.80 (2.70)
07:45	France: CPI ex tobacco, index (2015 = 100)	Aug	102.37	102.09	102.67	103.58	-
08:00	Spain: "Final" CPI, % m/m (y/y)	Aug	0.6 (3.2)	0.2 (3.5)	0.7 (4.3) P	-	(4.3)
08:00	Spain: "Final" HICP, % m/m (y/y)	Aug	0.61 (3.57)	-0.02 (3.90)	0.62 (4.52) P	0.62 (4.52)	(4.50)
09:30	Italy: General govt. debt, € bn	Jul	3154.5	3181.1	3207.2	-	-
10:00	Germany: ZEW Economic expectations, % bal	Sep	10.5	26.3	34.2	-	40.2
10:00	EA21: ZEW Economic sentiment, % bal	Sep	9.5	23.4	31.4	-	-
10:00	EA21: Trade balance sa, € bn	Jul	-0.1	-6.1	1.8	-	-
Wednesday 16 September		Period	Prev – 3	Prev – 2	Prev – 1	Forecast	Consensus
13:15	EA21: ECB Vice President Vujčić chairs policy panel "Goeconomics and Trade: Risks, Resilience and Policy Responses" at ECB Annual Research Conference 2026 "Goeconomics and the International Trading System" in Frankfurt, Germany						
14:00	EA21: ECB Executive Board Member Elderson delivers opening keynote speech at Nature Finance and Resilience Day of Climate Finance Week Ireland in Dublin, Ireland						
18:00	EA21: ECB President Lagarde attends festive opening of Alte Oper season in Frankfurt, Germany						
07:00	Sweden: Unemployment rate (sa), %	Aug	8.8	8.9	8.6	-	-
09:00	Italy: "Final" CPI, % m/m (y/y)	Aug	0.0 (3.0)	0.3 (2.9)	0.5 (3.3) P	-	-
09:00	Italy: "Final" HICP, % m/m (y/y)	Aug	0.00 (2.98)	-0.97 (2.91)	0.10 (3.22) P	0.10 (3.22)	0.10 (3.20)
09:00	EA21: ECB publishes Wage Tracker	Aug	-	-	-	-	-
10:00	EA21: Industrial production, % m/m (y/y)	Jul	0.3 (0.5)	0.3 (-0.2)	0.0 (0.1)	-0.3	-0.5 (-0.3)
Thursday 17 September		Period	Prev – 3	Prev – 2	Prev – 1	Forecast	Consensus
08:00	EA21: ECB Chief Economist Lane chairs Jean Monnet lecture "Economic Size and Economic Power" delivered by Paul Krugman at ECB Annual Research Conference 2026 "Goeconomics and the International Trading System" in Frankfurt, Germany						
11:00	Finland: Bank of Finland Governor Rehn participates in discussion on the outlook for the European economy and monetary policy amid an evolving global landscape at OMFIF meeting held at Economic and Monetary Policy Institute in London, UK						
05:00	Sweden: Unemployment rate (PES), %	Aug	3.4	3.6	3.8	-	-
08:00	Austria: "Final" HICP, % m/m (y/y)	Aug	-0.2 (3.2)	-0.4 (2.7)	0.5 (2.9) P	-	-
08:00	Slovakia: HICP, % m/m (y/y)	Aug	0.4 (4.0)	-0.2 (3.5)	0.1 (3.2)	-	-
10:00	EA21: "Final" HICP, % m/m (y/y)	Aug	-0.11 (2.75)	0.21 (2.94)	0.45 (3.26) P	0.45 (3.26)	0.40 (3.30)
10:00	EA21: 'Eurostat' core (HICP x fd, alc, tob, ene), % m/m (y/y)	Aug	0.19 (2.36)	-0.03 (2.48)	0.22 (2.41) P	0.22 (2.41)	(2.40)
10:00	EA21: HICP ex tobacco, index (2015 = 100)	Aug	103.09	102.98	103.21	103.86	-
Friday 18 September		Period	Prev – 3	Prev – 2	Prev – 1	Forecast	Consensus
-	EA21: Eurogroup meeting in Dublin, Ireland						

-	EU27: Informal ECOFIN meeting in Dublin, Ireland (to 19/09)						
-	EA21: ECB President Lagarde and ECB Executive Board Member Cipollone participate in the Eurogroup and informal ECOFIN meetings in Dublin, Ireland						
11:30	EA21: ECB President Lagarde participates in the press conference following the Eurogroup and informal ECOFIN meetings in Dublin, Ireland						

07:00	Germany: PPI, % m/m (y/y)	Aug	0.3 (2.2)	-0.3 (1.8)	1.1 (3.0)	-	0.4 (3.8)
09:00	EA21: ECB publishes Consumer Expectations Survey results	Aug	-	-	-	-	-
09:00	EA21: ECB 1 Yr. Inflation expectations, %	Aug	3.5	3.0	2.9	-	-
09:00	EA21: ECB 3 Yr. Inflation expectations, %	Aug	2.9	2.8	2.7	-	-
09:00	EA21: ECB Current account sa, € bn	Jul	17.5	25.8	35.1	-	-
10:00	EA21: Construction output, % m/m (y/y)	Jul	-0.1 (0.0)	0.2 (0.7)	-1.3 (-0.7)	-	-

EU27 - Informal ECOFIN meeting: Ministers will discuss the European Commission's recently published report on the competitiveness of the banking sector, and its role in supporting growth, innovation, and investment across the Single Market. Working Session I will focus on the ways in which technological change and innovation are reshaping global finance. Working Session II will cover the economic impact of Artificial Intelligence in Europe, in particular, its impact on labour markets, the public sector, Europe's energy market, and the broader geopolitical landscape.

Note: All times reported are in BST. Consensus figures are taken from Bloomberg.
Source: Bloomberg, Haver Analytics, Barclays Research

EURO AREA SNAPSHOT

Silvia Ardagna Barclays, UK | Saadalla Nadra-Yazji BBI, Paris

	2025				2026				2027				Calendar year average		
% Change q/q	Q1	Q2	Q3	Q4	Q1	Q2	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q)	0.5	0.0	0.3	0.2	0.0	0.6	0.2	0.2	0.2	0.3	0.4	0.4	...	...	...
Real GDP (% q/q saar)	2.0	0.1	1.3	0.9	0.0	2.6	1.0	0.8	0.9	1.1	1.4	1.6	...	...	...
Real GDP (% y/y)	1.6	1.4	1.2	1.1	0.6	1.2	1.1	1.1	1.3	1.0	1.1	1.2	1.3	1.0	1.1
Private consumption	0.3	0.2	0.2	0.5	0.1	0.4	0.2	0.2	0.2	0.3	0.3	0.3	1.5	1.1	1.0
Public consumption	-0.2	0.6	0.7	0.5	0.5	0.2	0.3	0.3	0.3	0.2	0.3	0.3	1.5	1.8	1.0
Investment	2.4	-1.2	1.0	0.7	-0.2	-0.1	0.2	0.2	0.2	0.3	0.4	0.4	2.9	0.6	1.0
Inventories contribution (pp)	0.0	0.3	0.0	-0.4	0.4	-0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.2	-0.2	-0.1
Final dom. demand cont. (pp)	0.6	0.0	0.5	0.5	0.1	0.2	0.2	0.2	0.2	0.3	0.3	0.3	1.7	1.1	1.0
Net exports (contr to GDP, pp)	-0.2	-0.2	-0.2	0.1	-0.5	0.9	0.0	0.0	0.0	0.0	0.0	0.1	-0.6	0.1	0.3
Employment (% q/q)	0.2	0.1	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.2	0.2	0.7	0.5	0.5
Unemployment rate (%)	6.3	6.3	6.3	6.3	6.4	6.4	6.4	6.3	6.3	6.3	6.2	6.2	6.3	6.4	6.3
HICP inflation (% y/y)	2.3	2.0	2.1	2.1	2.0	3.0	3.3	3.6	3.4	2.7	2.2	2.0	2.1	3.0	2.6
Core HICP (ex food/energy) (% y/y)	2.6	2.4	2.3	2.4	2.3	2.4	2.5	2.6	2.7	2.6	2.5	2.4	2.4	2.5	2.6
Nominal GDP (% y/y)	...	...	...	...	...	...	...	...	...	...	...	...	3.8	3.6	3.8
Current account (% GDP)	1.9	2.0	1.3	1.5	2.0	1.5	1.4	1.6	1.7	1.7	1.7	1.8	1.7	1.6	1.7
General government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-2.9	-3.6	-3.5
General government primary balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-1.0	-1.5	-1.3
General government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	87.1	89.3	90.5
Refi rate (period end %)	2.65	2.15	2.15	2.15	2.15	2.40	2.65	2.90	2.90	2.90	2.90	2.90	2.15	2.90	2.90
Depo rate (period end%)	2.50	2.00	2.00	2.00	2.00	2.25	2.50	2.75	2.75	2.75	2.75	2.75	2.00	2.75	2.75

Note: All numbers expressed in % q/q swda unless otherwise specified. E = Forecast.

Source: Eurostat, Barclays Research

FRANCE SNAPSHOT

Silvia Ardagna Barclays, UK | Saadalla Nadra-Yazji BBI, Paris

	2025				2026				2027				Calendar year average		
% change q/q	Q1	Q2	Q3	Q4	Q1	Q2	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q)	0.2	0.2	0.4	0.3	-0.2	0.0	0.2	0.2	0.2	0.2	0.3	0.3	...	...	...
Real GDP (% q/q saar)	0.7	0.9	1.7	1.1	-0.7	0.1	0.8	0.8	0.6	0.8	1.1	1.3	...	...	...
Real GDP (% y/y)	0.8	0.8	0.8	1.1	0.7	0.5	0.3	0.2	0.6	0.8	0.8	1.0	0.9	0.5	0.8
Private consumption	-0.1	0.1	0.1	0.2	-0.3	0.3	0.2	0.2	0.1	0.2	0.2	0.3	0.5	0.3	0.8
Public consumption	-0.1	0.2	0.5	0.2	0.3	0.4	0.2	0.1	0.2	0.2	0.2	0.3	0.6	1.2	0.8
Investment	0.3	0.5	0.7	0.1	-0.8	-0.3	0.1	0.1	0.2	0.2	0.3	0.3	0.7	-0.3	0.6
Inventories contribution (pp)	0.6	0.4	-0.5	-0.5	0.9	-0.7	-0.1	0.0	0.0	0.0	0.0	0.0	0.5	-0.2	-0.2
Final dom. demand cont. (pp)	0.0	0.2	0.3	0.2	-0.3	0.2	0.2	0.2	0.2	0.2	0.2	0.3	0.6	0.4	0.7
Net exports (contr to GDP, pp)	-0.4	-0.3	0.6	0.5	-0.8	0.6	0.1	0.0	0.0	0.0	0.0	0.0	-0.1	0.3	0.3
Employment (% q/q)	0.0	0.1	-0.1	0.1	0.0	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.2	0.1	0.3
Unemployment rate (%)	7.5	7.6	7.8	8.0	8.2	8.3	8.3	8.3	8.4	8.3	8.3	8.3	7.7	8.3	8.3
HICP inflation (% y/y)	1.2	0.8	0.9	0.8	1.1	2.4	2.7	3.1	3.0	2.0	1.6	1.5	0.9	2.4	2.0
Core HICP (ex food/energy) (% y/y)	1.9	1.6	1.6	1.3	1.2	1.4	1.6	1.8	2.0	2.0	1.8	1.8	1.6	1.5	1.9
Nominal GDP (% y/y)	...	...	...	...	...	...	...	...	...	...	...	...	2.0	2.2	2.6
Current account (% GDP)	-0.3	-0.7	-0.5	0.3	-0.2	0.1	0.1	0.2	0.3	0.4	0.6	0.0	-0.3	0.0	0.5
General government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-5.1	-5.2	-5.3
General government primary balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-2.9	-2.6	-2.5
General government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	115.5	118.6	121.3

Note: All numbers expressed in % q/q swda unless otherwise specified. E = Forecast.

Source: Eurostat, INSEE, Barclays Research

GERMANY SNAPSHOT

Silvia Ardagna Barclays, UK | Saadalla Nadra-Yazji BBI, Paris

	2025				2026				2027				Calendar year average		
% change q/q	Q1	Q2	Q3	Q4	Q1	Q2	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q)	0.1	0.0	0.0	0.3	0.4	0.3	0.2	0.2	0.2	0.3	0.4	0.4	...	...	...
Real GDP (% q/q saar)	0.5	-0.1	-0.1	1.1	1.8	1.3	0.7	0.7	0.9	1.3	1.7	1.8	...	...	...
Real GDP (% y/y)	0.3	0.4	0.3	0.3	0.7	1.0	1.2	1.1	0.9	0.9	1.1	1.4	0.3	1.0	1.1
Private consumption	0.6	-0.1	-0.1	1.0	-0.6	0.1	0.1	0.2	0.2	0.4	0.4	0.4	1.4	0.2	1.0
Public consumption	-0.7	0.8	0.8	1.2	0.9	0.1	0.4	0.4	0.4	0.3	0.4	0.3	1.7	2.8	1.4
Investment	0.3	-1.1	0.2	1.2	-1.3	-0.2	0.1	0.2	0.3	0.4	0.5	0.5	-0.4	-0.7	1.1
Inventories contribution (pp)	-0.1	0.8	0.0	-0.5	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.7	0.0	0.0
Final dom. demand cont. (pp)	0.2	-0.1	0.2	1.0	-0.4	0.1	0.2	0.2	0.3	0.3	0.4	0.4	1.1	0.6	1.1
Net exports (contr to GDP, pp)	0.0	-0.7	-0.2	-0.2	0.8	0.2	0.0	-0.1	0.0	0.0	0.0	0.1	-1.4	0.4	0.0
Employment (% q/q)	0.0	-0.1	-0.1	-0.1	-0.1	-0.1	0.0	0.1	0.1	0.1	0.1	0.1	-0.2	-0.3	0.3
Unemployment rate (%)	3.6	3.7	3.8	3.9	3.9	3.9	4.1	4.0	4.0	3.9	3.9	3.8	3.7	4.0	3.9
HICP inflation (% y/y)	2.6	2.1	2.1	2.3	2.3	2.6	3.1	3.2	3.1	2.7	2.2	2.1	2.3	2.8	2.5
Core HICP (ex food/energy) (% y/y)	3.2	2.8	2.4	2.7	2.5	2.4	2.6	2.6	2.8	2.7	2.5	2.5	2.8	2.5	2.6
Nominal GDP (% y/y)	...	...	...	...	...	...	...	...	...	...	...	...	3.4	3.4	3.9
Current account (% GDP)	4.9	4.8	4.4	3.6	4.5	4.8	4.5	4.6	4.6	4.6	4.6	4.7	4.4	4.6	4.6
General government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-2.7	-4.0	-3.9
General government primary balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-1.6	-2.9	-2.7
General government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	63.4	66.3	68.4

Note: All numbers expressed in % q/q swda unless otherwise specified. E = Forecast.

Source: Eurostat, Destatis, Barclays Research

ITALY SNAPSHOT

Silvia Ardagna Barclays, UK | Saadalla Nadra-Yazji BBI, Paris

	2025				2026				2027				Calendar year average		
% change q/q	Q1	Q2	Q3	Q4	Q1	Q2	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q)	0.3	0.0	0.2	0.3	0.3	0.2	0.1	0.1	0.1	0.2	0.2	0.2	...	...	...
Real GDP (% q/q saar)	1.4	-0.1	0.8	1.4	1.3	0.7	0.3	0.4	0.5	0.6	0.8	0.8	...	...	...
Real GDP (% y/y)	0.7	0.5	0.7	0.9	0.8	1.0	0.9	0.7	0.5	0.4	0.6	0.7	0.7	0.8	0.5
Private consumption	0.1	0.3	0.3	0.1	0.5	0.4	0.2	0.2	0.1	0.2	0.2	0.1	1.1	1.3	0.7
Public consumption	-0.3	0.3	0.3	0.2	0.0	-0.1	0.2	0.2	0.1	-0.1	0.1	0.1	0.6	0.4	0.3
Investment	1.4	1.6	1.2	0.9	0.8	0.3	0.0	0.0	0.1	0.1	0.2	0.3	3.8	2.8	0.4
Inventories contribution (pp)	-0.2	0.0	-0.4	0.8	-0.9	0.2	0.0	0.0	0.0	0.0	0.0	0.0	-0.2	-0.4	0.0
Final dom. demand cont. (pp)	0.3	0.6	0.5	0.3	0.5	0.3	0.1	0.2	0.1	0.1	0.2	0.1	1.5	1.4	0.6
Net exports (contr to GDP, pp)	0.2	-0.5	0.1	-0.7	0.7	-0.2	-0.1	0.0	0.0	0.0	0.0	0.1	-0.6	-0.1	-0.1
Employment (% q/q)	0.6	0.0	0.2	0.4	0.5	0.3	0.1	0.1	0.1	0.1	0.1	0.1	1.1	1.3	0.6
Unemployment rate (%)	6.3	6.2	5.9	5.7	5.5	5.6	5.2	5.2	5.1	5.0	4.9	4.8	6.0	5.4	5.0
HICP inflation (% y/y)	1.8	1.8	1.7	1.2	1.4	3.0	3.4	4.1	3.6	2.5	2.0	1.7	1.6	2.9	2.4
Core HICP (ex food/energy) (% y/y)	1.7	2.0	2.0	1.9	2.1	1.8	2.0	2.2	2.2	2.4	2.2	2.1	1.9	2.0	2.2
Nominal GDP (% y/y)	...	...	...	...	...	...	...	...	...	...	...	...	2.7	2.5	2.8
Current account (% GDP)	0.8	1.5	1.5	0.8	1.9	1.3	1.0	1.2	1.2	1.2	1.2	1.2	1.1	1.3	1.2
General government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-3.1	-3.2	-3.0
General government primary balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	0.8	0.9	1.2
General government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	137.1	139.1	139.8

Note: All numbers expressed in % q/q swda unless otherwise specified. E = Forecast.

Source: Eurostat, Istat, Barclays Research

SPAIN SNAPSHOT

Silvia Ardagna Barclays, UK | Saadalla Nadra-Yazji BBI, Paris

	2025				2026				2027				Calendar year average		
% change q/q	Q1	Q2	Q3	Q4	Q1	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q)	0.5	0.7	0.6	0.8	0.6	0.7	0.4	0.5	0.4	0.5	0.5	0.5	...	...	...
Real GDP (% q/q saar)	2.2	2.9	2.4	3.1	2.5	2.8	1.6	1.9	1.8	1.9	1.9	1.9	...	...	...
Real GDP (% y/y)	3.1	2.9	2.7	2.7	2.7	2.7	2.5	2.2	2.0	1.8	1.8	1.9	2.8	2.5	1.9
Private consumption	0.5	0.8	0.9	0.9	0.7	0.7	0.4	0.5	0.5	0.4	0.5	0.5	3.4	2.9	1.9
Public consumption	0.6	0.2	1.4	0.2	0.6	0.3	0.3	0.3	0.3	0.4	0.3	0.3	2.4	2.1	1.3
Investment	1.0	0.8	2.1	2.1	0.3	0.4	0.5	0.5	0.4	0.5	0.5	0.4	5.8	3.9	1.9
Inventories contribution (pp)	-0.2	0.2	0.1	-0.1	-0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Final dom. demand cont. (pp)	0.6	0.6	1.2	1.0	0.6	0.6	0.4	0.4	0.4	0.4	0.4	0.4	3.5	2.8	1.7
Net exports (contr to GDP, pp)	0.1	-0.1	-0.7	-0.1	0.1	0.1	0.0	0.0	0.0	0.1	0.0	0.1	-0.7	-0.2	0.1
Employment (% q/q)	0.5	0.7	0.7	0.8	0.3	0.3	0.3	0.3	0.3	0.3	0.3	0.3	2.7	1.9	1.3
Unemployment rate (%)	10.8	10.6	10.5	10.2	10.3	10.3	10.3	10.2	10.2	10.2	10.2	10.2	10.5	10.3	10.2
HICP inflation (% y/y)	2.7	2.2	2.8	3.1	2.8	3.6	4.4	4.7	4.2	3.5	2.8	2.4	2.7	3.9	3.2
Core HICP (ex food/energy) (% y/y)	2.3	2.6	2.6	3.0	3.0	3.5	3.7	3.6	3.8	3.1	3.1	3.0	2.6	3.5	3.2
Nominal GDP (% y/y)	...	...	...	...	...	...	...	...	...	...	...	...	5.8	6.0	5.2
Current account (% GDP)	2.7	3.2	3.1	2.8	2.8	2.3	2.3	2.5	2.6	2.8	2.8	2.8	2.9	2.5	2.8
General government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-2.4	-2.3	-2.4
General government primary balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	0.0	0.1	0.1
General government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	100.7	99.1	98.5

Note: All numbers expressed in % q/q swda unless otherwise specified. E = Forecast.

Source: Eurostat, INE, Barclays Research

United Kingdom Outlook

Artificial intelligence, real growth

Stronger-than-expected activity data in July has led us to revise up our 2026 GDP forecast by 0.1pp to 1.3% y/y. Recent moves in energy prices have led to a deterioration in the inflation outlook. We expect the BoE to hold Bank Rate at its September meeting, but strike a hawkish tone.

- Economic activity expanded by 0.4% m/m in July, greater than our expectation (0.1%) and consensus (0%). Services activity grew a robust 0.4% m/m, driven by the ICT and administrative services sectors. We revise up our Q3 GDP forecast by 0.2pp to 0.4% q/q, expecting technology-led investment momentum from Q2 to continue. We now expect real GDP growth to average 1.3% in 2026 (+0.1pp) and 1.3% in 2027 (+0.1pp).
- We expect the labour market to continue showing signs of slack next week (15 Sep), with the unemployment rate increasing 0.1pp to 5.0% in July. We forecast regular private sector wage growth holding steady at 2.8% 3m/y, although momentum in the series should rise.
- Recent moves in energy markets increase upside risks to our inflation forecast. For the August data release next week (16 Sep), we track headline CPI accelerating by 0.2pp to 3.1% y/y, with core CPI holding steady at 2.6% y/y. Household inflation expectations slowed in Q3, with the one year-ahead inflation expectations at 3.2% y/y (-0.8pp), although the decline was likely exacerbated by technical factors.
- We expect the Bank of England to hold Bank Rate at 3.75% at their meeting next week (17 Sep). We expect the vote split to be 6-3, with three dissenters voting to hike Bank Rate by 25bp. Recent energy moves increase the risk that another dissenter joins the three members we forecast voting for a hike, and we expect the MPC to strike a hawkish tone at the meeting. We expect the MPC to continue to unwind its gilt holdings by £50bn.

GDP showed resilience in July. We revise up Q3 expectation

Monthly GDP printed at 0.4% m/m in July, above our above-consensus expectation. We [had flagged upside risk](#), given the strength in the hospitality and leisure sectors in our SpendTrends dataset. In the event, we saw consumer-facing services underperform, contracting 0.3% m/m, while non-consumer-facing services rose 0.7%. This in turn looks to have been driven by two sectors: administrative and support services and ICT. Within ICT, there was particular strength in computer programming, consultancy and advisory services, a category that includes, among other things, digital transformation projects ([Figure 1](#)). This would be consistent with a continuation of the technology-led growth we saw in Q2's preliminary GDP data, which we [flagged](#) as an upside risk to our Q3 forecast. Taking this week's data onboard, we revise up our forecast for Q3 by 0.2pp to 0.4% q/q, with the biggest increase in investment rather than consumption. A straight mark-to-market on this week's data would imply a higher 0.6% q/q, but a large part of that is driven by the monthly time profile, with strong months in June and July raising the average level in Q3 relative to Q2 even with no further growth within the quarter

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(Figure 2). However, these time profiles are subject to revision and do not always correlate well with the quarterly outturns. As such, we aim lower, at 0.4% q/q, incorporating data from our PMI and SpendTrends models. This raises our 2026 annual average growth by 0.1pp to 1.3%, and 2027 0.1pp to 1.3%. Looking beyond Q3, if current energy and financial conditions persist, there is a risk of lower growth in Q4 and the first half of 2027, which we intend to continue to monitor.

Labour market continues to show signs of slack

The KPMG/REC report on jobs for August showed permanent placements improving 0.5pt to 50.5, from 50 in July. This is a positive development, although it is still well below the pre-pandemic average. More generally, the survey continued to point to a mismatch between labour demand and labour supply. Demand for staff (vacancies) stayed in contractionary territory at 46.8, although private sector demand increased 1.2pt to a neutral 50, while public sector vacancies fell sharply, down to 39.5. Staff availability increased again in August, bringing the current period of growth to exactly three-and-a-half years. This combination reinforces our view that the labour market continues to be in a position of gradually increasing slack.

We receive July labour market data next week (15 Sep), where we expect the unemployment rate to rise 0.1pp to 5.0% 3mma, which would be consistent with payrolled employees data for July, which showed a contraction of 13k in the month. In recent releases the LFS unemployment data has shown some volatility across the waves of respondents. Digging into that, we can see that the waves that are to report this month had an average rate of 4.7% when they last reported in April, but that the wave 5 component (which is dropping off and being replaced this time) was particularly low, at 4.0% and likely to be replaced by a higher number. We judge this replacement effect, along with an increase in the rate on the other four waves, will deliver a single-month average of 5.0%, and a 3mma of 5.0%, up from 4.9% last month. This would make it likely that we would see a further increase in the 3mma in August as well. On wages, our tax-based leading indicator of private sector AWE growth points to regular private sector AWE growth of 0.4% m/m. This growth rate would lead the headline series to hold flat at 2.8% 3m/y, and momentum in the series to increase 0.6pp to 3.4% 3m/3m annualised.

Inflation risks rising ahead of next week's data

The inflation outlook has worsened over the course of the last week. Taken as a snapshot, current gas curves would, in our view, point to a Q1 Ofgem price cap increase of 15% q/q which, mechanically would raise our headline inflation profile by 0.5pp in January to 3.6% y/y, if we incorporate moves in oil prices as well (Figure 3). Current market moves have been volatile, and we are only a couple of weeks into the c.3 month window on which the Q1 cap is conditioned, and so for now, we acknowledge the risks and await next week's data for August (16 Sep). In that, we expect headline CPI to accelerate 0.2pp to 3.1% y/y. The acceleration in CPI is to be primarily driven by auto fuels inflation (7.1% m/m), as refined oil prices have moved higher in the last two months since the re-closure of the Strait of Hormuz. We expect core inflation to hold steady at 2.6% y/y, with services inflation up 0.1pp to 3.5% y/y, due to some acceleration in transport and package holidays and hotels components. We track core goods inflation holding at 0.9% y/y, with stronger electrical goods inflation being offset by weaker price growth in vehicles. We expect food, alcohol and tobacco inflation to remain at 1.6% y/y, although the BRC shop price index would indicate some upside risk to this expectation. For more details on the release, please see [August inflation preview](#), 7 September 2026.

BoE surveys and agents intelligence paint a cautiously benign picture

The BoE household inflation expectations showed all measures of future inflation expectations slowing in Q3, after the acceleration in Q2 after the initial increase in energy prices. The one-year-ahead expectation slowed 0.8pp to 3.2% y/y, while the long-term 5-year-ahead expectation slowed 0.9pp to 3.2% y/y. We think this is reassuring, especially when viewed alongside the DMP results released last week. However, there are two important caveats that limit the extent of the

signal in the release. First, the survey contains a structural break due to a change of provider. The old and new providers ran their surveys in parallel in Q2 and suggest a levels difference of 0.4-0.6pp. Adjusting for these still implies slowing expectations, but by more like 0.4pp in one-year ahead, 0.2pp in the two-year ahead and just 0.1pp in the longer-term measure (Figure 4). Second, the survey window was closed on 7 August, when energy prices were much lower than they are currently. It may therefore be seen as already out of date by some MPC members, and we think there will be more value in the Q4 number, due in December.

The updated Agents' Report also showed some positive signs for the inflation outlook. Although most respondents did not give estimates for 2027 pay settlements, those that did suggested these would be "broadly in line with, or only slightly lower than, 2026." This would be consistent with our interpretation of the DMP wage expectations survey. Given private sector wage growth is already running at rates at or below what the MPC has communicated it sees as consistent with 2% CPI inflation, this expectation from agents contacts reinforces our view of minimal inflationary pressure coming from the labour market in the next year.

BoE to hold, but hit hawkish as risks rise

Against this backdrop of rising inflation risks and resilient growth data, we expect the MPC to strike a hawkish tone at next week's meeting (17 Sep). While recent energy moves have not changed our baseline of a 6-3 vote, they do raise the risk that one more dissenter joins the hawks. Speaking at the TSC, DG Ramsden discussed at length upside risks, both from food and energy, but also said he took a "different perspective" on second round effects than his committee-mate Megan Greene, who dissented last time round. At the same hearing, Governor Bailey said that there were two elements to determining the monetary policy outlook: where energy prices were going and how large will be the second-round effects. This accords with our own analysis in [our BoE preview](#) that highlighted how much of the BoE's adverse scenario in July was the result of the assumption on second-round effects. While risks of the former element have clearly risen since July, the second remains contained, and we think will give the MPC enough space to hawkishly hold at this meeting. However, the market is now fully pricing a 25bp hike in November and without an easing of the energy outlook in the interim, we think it may be increasingly hard for the MPC to have sufficient conviction in its current stance to push back. Therefore, we intend to monitor both market developments and MPC communications closely over the next week.

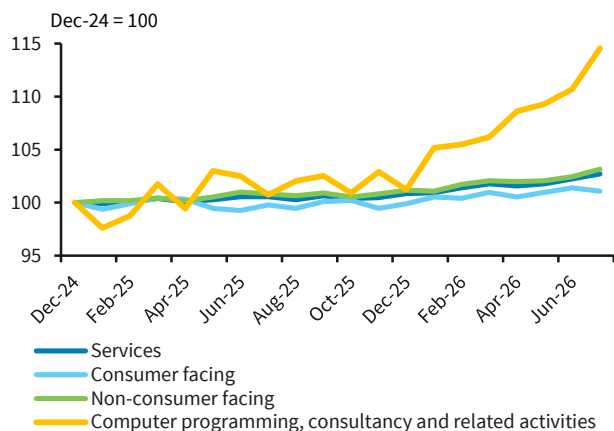
QT at 50

We also expect the MPC to announce it will continue to unwind its gilt holdings by £50bn at the September meeting. Our baseline is that the policy will continue to be skewed away from long-dated bonds, most likely using the 40:40:20 split seen last year, but with a risk of stopping long-end sales altogether. In our BoE preview, we discuss in more depth some of the fiscal consequences of these decisions (see, [Keep an eye on my QT, π](#), 8 September 2026).

Next week

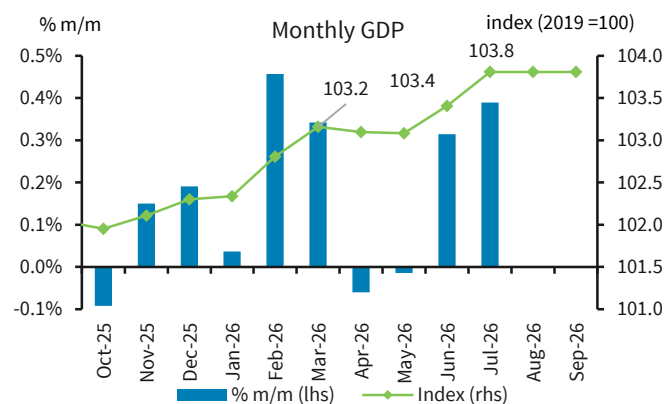
As well as the labour market and inflation data, next week we also get retail sales for August and GfK consumer confidence data for September (both 18 Sep).

FIGURE 1. GDP growth boosted by computer consultancy services



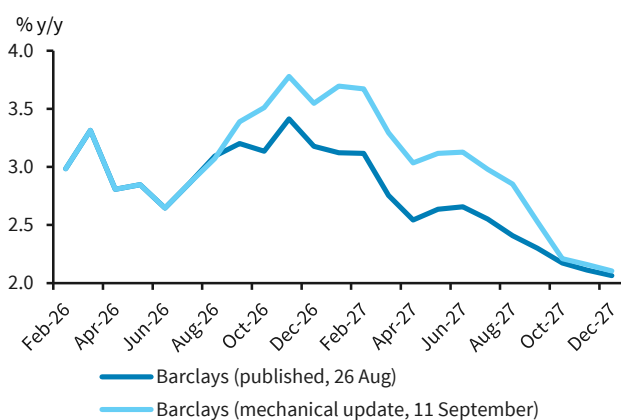
Source: ONS, Barclays Research

FIGURE 2. Monthly time profile creates big carryover in Q3



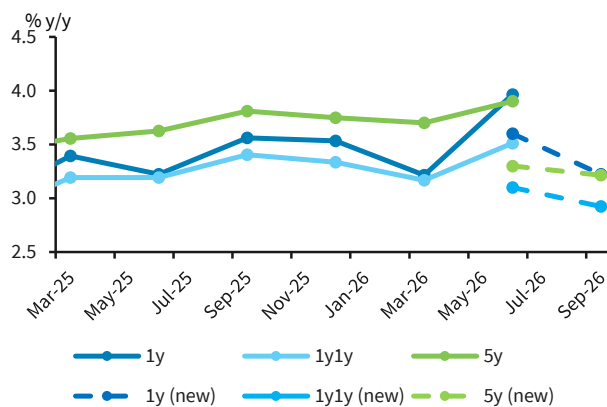
Note: index assuming flat growth in August and September
Source: ONS, Barclays Research

FIGURE 3. Illustrative CPI profile conditioned on most recent energy curves



The mechanical update takes account of our August nowcast, which differs to 2dp from our published forecast.
Source: Bloomberg, Barclays Research

FIGURE 4. Inflation expectations eased, even accounting for the structural break of a new survey provider



Note: Old survey run by Ipsos. New survey by Savanta.

Source: BoE, Barclays Research

UK DATA REVIEW & PREVIEW

Jack Meaning, Barclays, UK | Cian Hennigan, Barclays, UK

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
REC permanent staff placements, index	Aug	50.0	-	50.5	REC staff placements increased for the second consecutive month, accelerating to 50.5 in August from 50.0 in July, although the index remains below pre-pandemic averages. Permanent staff salaries increased by 0.8pt to 54.1 in August.
REC permanent staff salaries, index	Aug	53.3	-	54.1	
RICS house price balance, %	Aug	-29 R	-	-28	The August RICS house price balance improved by 1pp to -28%.
Monthly GDP, % m/m (y/y)	Jul	0.3 (1.1)	0.1	0.4 (1.6)	Monthly GDP expanded by 0.4% m/m in July, above our expectation (0.1%) and the consensus (0%).
Industrial output, % m/m (y/y)	Jul	-0.2 (-0.2)	-0.2	0.2 (0.6)	Industrial output expanded by 0.2% m/m, while services activity showed robust growth of 0.4% m/m.
Manufacturing output, % m/m (y/y)	Jul	-0.5 (0.5)	-	0.9 (2.6)	Within services, there was particular strength in computer programming, consultancy and advisory services, a category that includes, among other things, digital transformation projects.
Construction output, % m/m (y/y)	Jul	-0.1 (-2.3)	-	0.1 (-2.5)	The total trade deficit narrowed by £2bn to -£3.5bn in July.
Index of services, % m/m (y/y)	Jul	0.4 (1.6)	0.2	0.4 (2.1)	
Total trade balance, £ bn	Jul	-5.5	-	-3.5	
BoE/Savanta inflation expectations, 1y ahead	Q3	4.0	-	3.2	Household inflation expectations eased in Q3 26 across all horizons. One-year ahead expectations slowed 0.8pp to 3.2%, while long-term expectations (5y) slowed 0.7pp to 3.2%. However, the survey provider was changed in this release, which seems to have accelerated the slowing in expectations, compared to a test survey run in May.
BoE/ Savanta inflation expectations, 1y1y ahead	Q3	3.5	-	2.9	
BoE/Savanta inflation expectations, 5y ahead	Q3	3.9	-	3.2	

Preview of upcoming data

Monday 14 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
No data releases scheduled.							
Tuesday 15 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
07:00	Average weekly earnings, % 3m/y	Jul	4.4	4.4	4.1	4.0	3.9
07:00	Regular average weekly earnings, % 3m/y	Jul	3.4	3.4	3.5	3.5	3.5
07:00	Regular private sector average weekly earnings, % 3m/y	Jul	3.0	2.9	2.8	2.8	2.8
07:00	ILO unemployment rate, %	Jul	4.9	4.9	4.9	5.0	5.0
07:00	Change in HMRC payrolls, thous	Aug	-2.4	-13.5	-12.9	-	-
07:00	Jobless claims change, sa, k	Aug	1.3	-6.4	-11.0	-	-
07:00	Headline job vacancies, % 3m moving average	Aug	710	711	707	-	-
Wednesday 16 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
07:00	CPI, % m/m (y/y)	Aug	0.2 (2.8)	0.1 (2.6)	0.3 (2.9)	0.5 (3.1)	0.5 (3.1)
07:00	Core CPI, % m/m (y/y)	Aug	0.3 (2.6)	0.3 (2.6)	0.2 (2.6)	0.3 (2.6)	(2.7)
07:00	Services CPI, % y/y	Aug	3.7	3.6	3.4	3.5	3.6
07:00	Retail price index	Aug	415.3	416.5	419.1	421.7	421.9
07:00	RPI, % m/m (y/y)	Aug	0.2 (3.1)	0.3 (3.0)	0.6 (3.2)	0.6 (3.4)	0.7 (3.5)
Inflation report: We expect headline CPI inflation to accelerate by 0.2pp to 3.1% y/y, with core CPI holding at 2.6% y/y. Increased pump prices are the primary driver, with other major components broadly steady. We nowcast UK RPI at 421.7 (3.4% y/y).							
Thursday 17 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
12:00	BoE bank rate decision, %	Sep	3.75	3.75	3.75	3.75	3.75
12:00	BoE MPC meeting minutes	Sep	-	-	-	-	-

12:00	BoE MPC bank rate vote (+25/hold/-25, in bp)	Sep	1-8-0	2-7-0	3-6-0	3-6-0	-
BoE rate decision: We expect the MPC to maintain Bank Rate at 3.75% at its September meeting, with a hawkish tone reflecting the increased risks from energy price moves since July. The annual announcement on QT should confirm a £50bn reduction in the gilt portfolio.							

Friday 18 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
00:01	GfK consumer confidence, index	Sep	-23	-17	-14	-	-16
07:00	Retail sales, % m/m (y/y)	Aug	1.3 (3.4)	0.7 (3.8)	-0.5 (1.6)	-	-0.2 (1.9)

Note: All times reported are in BST. Consensus figures are taken as at 12:30 pm BST on Friday, 11 September 2026 from Bloomberg and hence, may be subject to significant change, given that the 'final cut' is 3pm London time of the same day.
Source: Haver Analytics, Bloomberg, Barclays Research

UK SNAPSHOTJack Meaning Barclays, UK | [Cian Hennigan](#) Barclays, UK

	2025				2026				2027				Calendar year average		
% Change q/q	Q1	Q2	Q3	Q4	Q1	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q)	0.6	0.2	0.1	0.1	0.6	0.4	0.4	0.2	0.4	0.3	0.4	0.4	...	...	...
Real GDP (% q/q saar)	2.3	0.6	0.3	0.2	2.5	1.7	1.6	0.7	1.6	1.1	1.6	1.6	...	...	...
Real GDP (% y/y)	1.8	1.3	1.2	0.9	0.9	1.2	1.5	1.6	1.4	1.3	1.3	1.5	1.3	1.3	1.3
Private consumption	0.2	0.2	0.1	0.1	0.6	0.3	0.2	0.2	0.3	0.3	0.4	0.4	1.1	1.1	1.1
Public consumption	-0.4	1.0	0.3	0.1	1.3	-0.3	0.4	0.3	0.4	0.4	0.4	0.4	1.7	1.8	1.3
Investment	2.6	0.1	1.2	-0.1	0.4	1.2	1.1	0.3	0.5	0.6	0.7	0.7	4.0	2.5	2.6
Final domestic demand	0.4	0.6	-0.2	0.2	1.0	0.4	0.4	0.2	0.4	0.3	0.4	0.4	2.0	1.7	1.4
Inventories contribution (pp)	-0.1	0.2	-0.6	0.1	0.4	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.2	0.3	0.0
Net exports (contr to GDP, pp)	0.1	-0.5	0.3	-0.1	-0.4	0.0	0.0	0.0	0.0	-0.1	0.0	0.0	-0.8	-0.5	-0.1
Employment (mn)	34.0	34.2	34.2	34.3	34.4	34.5	34.5	34.5	34.5	34.6	34.6	34.7	34.2	34.5	34.6
Unemployment rate (%)	4.6	4.7	5.0	5.2	5.0	4.9	5.1	5.4	5.5	5.5	5.4	5.4	4.9	5.1	5.4
CPI inflation (% y/y)	2.8	3.5	3.8	3.4	3.1	2.8	3.1	3.2	3.0	2.6	2.4	2.1	3.4	3.0	2.5
Core CPI inflation (% y/y)	3.6	3.7	3.6	3.3	3.2	2.5	2.6	2.8	2.5	2.4	2.4	2.2	3.5	2.8	2.4
Nominal GDP (% y/y)	6.0	5.3	4.5	4.1	4.4	4.1	4.3	4.6	4.0	3.5	3.6	3.6	5.0	4.4	3.7
Current account (% GDP)	-3.1	-3.2	-2.6	-3.5	-2.8	-2.8	-2.8	-2.9	-2.9	-2.9	-3.0	-3.0	-3.1	-2.8	-2.9
Government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-4.2	-3.8	-3.5
Government primary balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-1.3	-1.1	-0.8
Government debt % GDP (PSND)	...	...	...	...	...	...	...	...	...	...	...	...	93.1	94.1	95.5
Bank Rate (% EOP)	4.50	4.25	4.00	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

Note: Final domestic demand is the sum of private consumption, public consumption, investment and inventories. Government balance, primary balance, and government debt are fiscal year forecasts, eg, 2024 = FY 24/25. Government balance is defined as public sector net borrowing excluding financial interventions (PSNBex). Government debt is defined as public sector net debt (PSND). E = Forecast.

Source: ONS, Barclays Research

Japan Outlook

Focus on pace-of-hike remarks and any dissents at BoJ meeting

We expect the BoJ, nudged in part by market pricing, to hike to 1.25%, significantly accelerating the pace of hikes to once per three months. We focus on future-pace remarks and any dissents while continuing to forecast hikes in January and July following a move in September.

Focus on pace-of-hike remarks and any dissents at BoJ meeting

We expect the BoJ to raise policy rates from 1.00% to 1.25% at the 17-18 September monetary policy meeting (MPM), in line with OIS market pricing (discussed below). Given that it raised rates in June, such a move would represent a sharp acceleration from the previous pace of roughly one hike every six months to about one every three months. We expect the basic framework of the forward guidance to remain unchanged: “Given that underlying CPI inflation has been approaching 2 percent and financial conditions have been accommodative, the Bank will continue to raise the policy interest rate and adjust the degree of monetary accommodation, in response to developments in economic activity and prices as well as financial conditions.” However, we believe wording such as “nimble” could be added.

With a September hike now largely seen as a foregone conclusion, the focus at this meeting will be on Governor Ueda's comments about the pace of future hikes and any dissenting votes. On the former, we expect Ueda to say that the timing and pace of rate hikes are not predetermined and that policy will respond flexibly and nimbly to economic and price developments. While avoiding the impression of a preset path, the BoJ may seek to steer markets toward viewing every meeting as live depending on incoming data, partly to prevent renewed depreciation pressure on the JPY. In terms of the latter, we expect dovish Policy Board members Asada and Sato, both nominated under the Takaichi administration, to vote against the hike (resulting in a 7-2 vote), but uncertainty is elevated, especially around Sato, who has had few speaking engagements to date (discussed below). In any case, given that the two are caught between the rate-hike-cautious Takaichi administration and Treasury Secretary Bessent, who favors an early hike, their decisions will be a key point of interest.

Our estimate of underlying inflation has recently reached 2%

At its June meeting, the BoJ added to its statement for the first time the risk of “underlying CPI inflation deviating upward to a level above the price stability target of 2 percent.” At the July meeting, it strengthened this risk language, incorporated it into its forward guidance and also referred to the possibility of a faster pace of rate hikes. In fact, the inflation expectations that the BoJ emphasizes when assessing underlying inflation have risen markedly across a broad range of indicators. Based on these measures, [our estimate](#) of “composite inflation expectations” exceeded 2% for the first time in Q2 ([Figure 1](#)). If inflation expectations continue to rise at this pace, the risk of underlying inflation overshooting the price stability target could materialize. We

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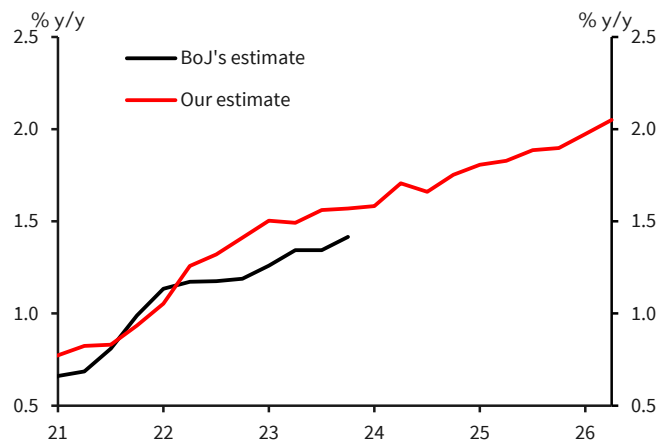
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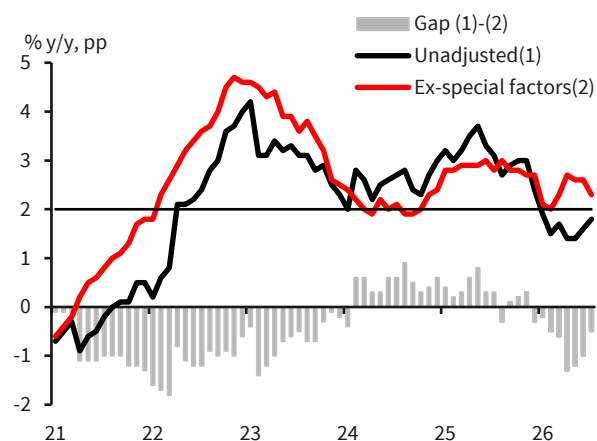
believe this is likely to be stressed first and foremost as the logic for accelerating the pace of hikes at this meeting.

FIGURE 1. Composite inflation expectations (5y)



Source: BoJ, Barclays Research

FIGURE 2. CPI inflation excluding perishables (core)

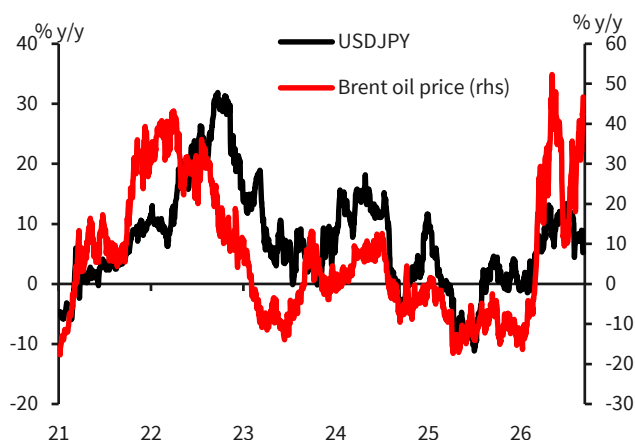


Source: MIC, BoJ, Barclays Research

Actual CPI inflation also set to rise on higher oil prices and JPY depreciation

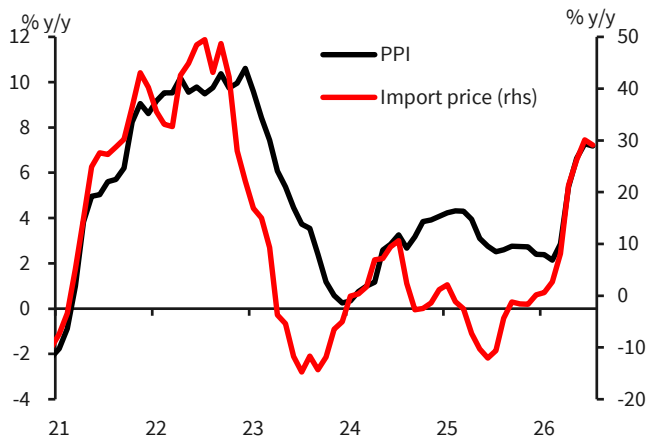
Looking at actual CPI inflation excluding perishables (core), we see that levels have remained below 2% since January 2026. However, when excluding special factors such as the government's energy subsidies, they are slightly above that threshold (Figure 2). Moreover, the surge in oil prices associated with worsening conditions in the Middle East and the existing JPY weakness have already sharply pushed up producer and import prices, and a fuller pass-through to CPI is only a matter of time (Figure 3, Figure 4). Consistent with the BoJ's previous assertions, our analysis indicates that the degree of pass-through from import prices to producer prices and CPI has increased since around 2021-22 (see [July PPI: Focus shifts to CPI pass-through](#), 13 August).

FIGURE 3. USDJPY and oil prices



Source: Bloomberg, Barclays Research

FIGURE 4. Producer and import prices



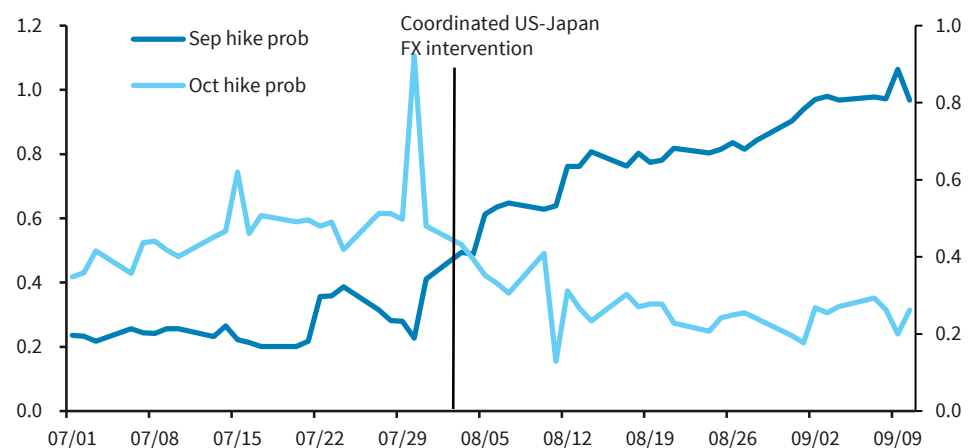
Source: BoJ, Barclays Research

Market pricing nudges a cautious BoJ

Meanwhile, in its July Outlook Report, the BoJ added that “the policy interest rate has risen” and that “it is also important to examine how financial conditions change under such circumstances.” Viewed solely from this perspective, it would appear appropriate to wait until

October to hike, as the BoJ would have access to the Tankan and reports from its branch managers' meeting at that time. Against this backdrop, the sharp rise in market pricing of a September rate hike is likely also prompting the normally cautious BoJ to substantially shorten the interval between rate hikes to just three months this time (Figure 4). Expectations for a frontloading of the next hike to September strengthened following the coordinated US-Japan intervention conducted immediately after the last BoJ meeting and a series of comments by Treasury Secretary Bessent. The BoJ has not issued an official view on these developments. However, on 5 August, NHK quoted a BoJ comment that: "There is no change in the stance that monetary policy will be decided on each occasion in light of economic and price conditions. However, with market expectations for a rate hike gradually increasing, it is necessary to consider how to interpret Treasury Secretary Bessent's remarks." We do not believe the BoJ would mechanically change policy in response to the joint intervention or Bessent's comments. Nevertheless, the effect of his remarks on market participants' rate-hike expectations appears to have become a factor that is difficult to ignore in policy management.

FIGURE 5. Rate-hike probability priced in the OIS market (assumes 25bp hikes)



Source: Bloomberg, Barclays Research

We expect two dissenting votes against the hike, but uncertainty is elevated

As noted above, we are also paying particular attention to whether there are any dissenting votes at this meeting. We expect dovish Policy Board members Asada and Sato, both nominated under the Takaichi administration, to vote against the hike (resulting in a 7-2 vote), but uncertainty is especially elevated around Sato. Asada was the sole dissenter against the June rate hike. In a Reuters interview on 7 July, he said that demand-driven inflation accompanied by wage growth would need to be confirmed before he could support another hike. Since then, key components of domestic demand, including consumption and capital expenditure, have weakened somewhat, so we do not expect him to have sufficient grounds to reverse his previous judgment. Sato, on the other hand, emphasizes the need to distinguish cost-push pressures stemming from import prices from sustained price increases driven by wages and inflation expectations, but has also said that the impact of the strengthening pass-through of exchange-rate movements to prices on underlying inflation warrants close attention. Given her limited track record of public remarks, the criteria under which she would support a rate hike remain unclear. As both Asada and Sato were nominated by PM Takaichi, who is keen to avoid rate hikes wherever possible, they could be resistant to a rapid pace of tightening; yet at the same time, their response to Treasury Secretary Bessent's call for an early rate hike will be a key point of interest.

We continue to expect further hikes in January and July after September

Following the September hike, we expect additional hikes in January and July next year, taking the policy rate to a terminal 1.75%. A September hike would lift the policy rate to 1.25%, putting it clearly above the lower bound of the BoJ's estimated range for the nominal neutral rate (1.07-2.53%) for the first time and bringing the median (1.64%) into view. As noted above, the BoJ stated in its July Outlook Report that financial conditions should be assessed carefully as the policy rate rises. Governor Ueda also said at a press conference after the G20 meeting of finance ministers and central bank governors, "We have raised rates about five times, and the effects are always emerging gradually and cumulatively, so we want to assess them carefully" (Bloomberg and Nikkei, 2 September). This implies little incentive to continue with the once-per-three-months pace beyond September. However, if expectations strengthen that the Fed will raise rates by year-end and depreciation pressure on the JPY re-emerges, taking USDJPY well above 160 again from its current level of around 153-154, the BoJ could be compelled to deliver further hikes depending on pressure from the US side.

BoJ Policy Board member Masu's speech supports a September rate hike but offers no guidance beyond that

BoJ Policy Board member Masu, who is regarded as neutral to slightly hawkish among board members, delivered a speech on 10 September. He somewhat strengthened his language on the risk of falling behind the curve compared with his previous speech in May, stating that "financial conditions in Japan remain accommodative [...so] if inflation accelerates here, there is a risk that the Bank might inevitably need to implement a rapid policy interest rate hike." In other respects, however, the tone was broadly unchanged from his previous speech. Indeed, in the Q&A, his comments actually suggested a cautious stance on rate hikes beyond September, including: "There are no data suggesting that inflation is about to rise sharply"; "We will have to wait and see whether monetary conditions would remain accommodative even if the policy rate were raised to 1.25%"; and "We will proceed cautiously while assessing where the neutral rate lies." Overall, Masu's remarks supported a September rate hike, but did not appear to call for maintaining a pace of one hike every three months thereafter.

This week's data

Wages remain strong, but pass-through to prices weak through July: Total cash earnings accelerated to +4.7% y/y in July from +4.0% in June, scheduled pay to +4.1% from +3.5% (the fastest since April 1992) and real wages to +2.4% from +2.2% (a seventh consecutive increase). Scheduled earnings growth also remains above the FY26 pace of 2.5% implied by the historical relationship with annual "shunto" base-pay increases. However, the common-establishments series was notably weaker, with total cash earnings slowing to +2.8% from +4.8% as special pay decelerated, while scheduled pay held at +3.0%. The persistent gap between the two series makes the underlying pace of wage growth harder to assess.

The key issue for the BoJ is whether stronger wages feed through to prices. Despite faster growth in scheduled pay since 2026, inflation in labor-intensive items has declined since peaking in May 2025, indicating weaker labor-cost pass-through. A time-varying parameter model likewise suggests that the response of core-core CPI inflation to growth in scheduled pay, although recovering somewhat from April to July 2026, remains below both its 2025 and January 2026 levels. This reduces the risk of the BoJ falling behind the curve, though the above-mentioned wage growth above the pace implied by shunto warrants close monitoring. See [full comment](#).

Q2 growth revised up in second estimate, but undershoots consensus; domestic demand notably weak, but overall growth remained above potential, suggesting no impediment to a BoJ rate hike in September; our GDP forecasts tweaked slightly higher for 2026, lower for 2027: Q2 real GDP growth was revised up to +1.4% q/q saar from +1.1%, although it

remained below consensus (+1.8%) and our forecast (+1.7%). The upgrade was driven mainly by capex, revised to -3.7% from -4.6%, while consumption edged up to 0.0% from -0.1% and government spending to +6.9% from +6.7%. Residential and public investment were revised lower, and the net-export contribution was unchanged at +1.8pp. Nominal GDP growth was raised more sharply to +5.5% from +4.8%, partly reflecting a higher GDP deflator. Overall, domestic demand remained weak, while the modest capex revision despite strong corporate survey data likely reflected statistical effects related to R&D services trade.

We raise our real GDP growth forecast for 2026 to +1.1% (from +1.0%) and cut 2027 to +0.6% (from +0.7%). Wage gains should support consumption, although renewed inflation and fading durable-goods demand are likely to keep near-term growth moderate, while labor-saving investment and strong earnings support capex. Net exports should contribute less in Q3 as the temporary R&D services boost fades and crude oil imports recover, while fiscal policy provides some support from H2 FY26. Despite the Q2 shortfall and weak domestic demand, growth remained above the estimated potential rate of 0.6-0.7%, so we see limited implications for the BoJ and continue to regard a 17-18 September rate hike as effectively a done deal. See [full report](#).

August import and PPI inflation remained elevated y/y but fell m/m, reinforcing signs of a peak. Lower FX and energy contributions drove the moderation in import prices, while AI-related inputs such as memory chips, copper and other nonferrous metals remained firm. Petroleum and chemical prices also showed signs of peaking, although some cost pressures continued to pass through to plastics and downstream products.

Supply-chain analysis suggests that crude oil pass-through has recently slowed at intermediate stages relative to 2022, despite somewhat stronger pressure at final demand, particularly from energy items. Looking ahead, renewed energy price increases and robust AI demand pose upside risks to inflation, while weaker wage-price pass-through and lower rice prices provide offsets. All considered, we expect core-core CPI inflation (excluding perishables and energy) to recover above 2% and peak near 2.4% before stabilizing around 2% from summer 2027. See [full report](#).

JAPAN DATA REVIEW & PREVIEW

Naohiko Baba BSJL, Japan | Takashi Onoda BSJL, Japan | James Barber, CFA BSJL, Japan

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
Labor cash earnings (% m/m)	Jul	4.0	3.8	4.7	Total and scheduled wages accelerated, with the latter at its strongest since 1992. Also, real wages increased for a seventh consecutive month. However, same-establishment growth was well below the official series, complicating the assessment of levels. Wage pass-through to prices has recovered somewhat, but remains weak.
Real GDP (% q/q saar), second estimate	Q2	1.1 (1st)	1.7 (2nd)	1.4 (2nd)	Real growth was revised up, but missed market expectations. The upgrade was driven mainly by capex, while consumption and government spending also edged up. Residential and public investment were revised lower, and the positive net-export contribution was unchanged. Nominal GDP growth was raised more sharply to +5.5% from +4.8%, partly reflecting a higher GDP deflator. Overall, domestic demand remained weak, while the modest capex revision despite strong corporate survey data likely reflected statistical effects related to R&D services trade.
BoP current account, nsa/sa (JPYbn)	Jul	-92/1397	3000/n.a.	2989/2523	The unadjusted current account surplus widened y/y with the primary income balance recovering as the previous month's drag from overseas dividend payments came to an end. The services account balance continued to trend sideways amid the offset between the travel account surplus and digital account deficit.
PPI (% y/y)	Aug	7.7	7.0	7.6	Import and PPI inflation stayed elevated y/y but fell m/m, suggesting a peak. Energy and FX contributions eased, while AI-linked inputs remained stable, and oil pass-through was slower than in 2022. Renewed energy price increases and AI demand pose upside CPI risk, while rice poses a downside risk. See August PPI: Peaked out for now, 11Sep

Preview of upcoming data

Wednesday, 16 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
8:50	Trade balance, nsa / sa, JPY bn	Aug	-395 / -218	-412 / -927	-638 / -686	-1100 / n.a.	-1053 / -984
8:50	Core machinery orders, % m/m	Jul	8.7	-12.4	9.7	-2.6	-1.0

Trade: We look for another deficit, with semiconductors and other electronic components showing stronger y/y growth on both export and import sides, while oil import values rise on higher volumes (alternative sourcing from US) and prices.

Machinery orders: We estimate that core orders, a leading capex indicator, turned back down in July (the June survey projected core orders would rise by 4.9% q/q in Q3). Machine tool orders for the same month continued to show strong growth, led by demand for data centers and chip-making machinery.

Friday, 18 September		Period	Prev - 3	Prev - 2	Prev - 1	Forecast	Consensus
8:30	CPI excl. perishables, % y/y	Aug	1.4	1.6	1.8	1.7	1.8
n.a.	BoJ overnight call rate, %	Sep	1.00	1.00	1.00	1.25	1.25

CPI: Inflation likely steady for core-core (ex-perishables and energy) and lower for core (ex-perishables) despite stronger Tokyo readings as imputed rent tends to rise less nationwide while subsidy-softened electricity rates are weighted more heavily.

BoJ: We expect the BoJ, nudged in part by market pricing, to hike to 1.25%, significantly accelerating the pace of hikes to once per three months. We focus on future-pace remarks and any dissents while continuing to forecast hikes in January and July following a move in September.

Source: Bloomberg (consensus figures), Barclays Research

JAPAN SNAPSHOT

Naohiko Baba BSJL, Japan | Takashi Onoda BSJL, Japan

	2025				2026				2027				Calendar year average		
% change q/q	Q1	Q2	Q3	Q4	Q1	Q2	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q)	0.5	0.1	-0.4	0.3	0.5	0.4	-0.4	0.1	0.2	0.3	0.3	0.3	...	...	...
Real GDP (% q/q saar)	2.0	0.5	-1.5	1.1	1.9	1.4	-1.5	0.2	1.0	1.1	1.1	1.1	...	...	...
Real GDP (% y/y)	1.6	2.0	0.6	0.4	0.6	0.9	0.7	0.5	0.3	0.2	0.8	1.1	1.1	1.1	0.6
Real GDP per capita (% y/y)	2.1	2.5	1.1	0.9	1.0	1.4	1.2	1.0	0.7	0.6	1.3	1.5	1.5	1.6	1.1
Private consumption	0.6	0.1	0.6	0.2	0.4	0.0	0.0	0.0	0.1	0.2	0.2	0.2	1.3	0.9	0.4
Public consumption	-0.2	0.5	0.2	0.4	0.4	1.7	0.1	0.1	0.2	0.2	0.2	0.2	1.0	2.2	1.0
Residential investment	-0.5	0.6	-7.9	5.0	0.9	-0.6	-0.1	0.0	0.0	0.0	0.0	0.0	1.3	0.9	0.4
Public investment	-0.8	0.9	-1.1	-0.5	1.4	-0.5	0.1	0.1	0.2	0.2	0.2	0.2	-0.4	0.7	0.4
Capital investment	1.2	1.3	-0.2	1.3	-1.0	-0.9	0.9	-0.1	0.6	0.6	0.6	0.6	2.1	2.0	1.6
Net exports (contr to GDP, pp)	-0.6	0.0	-0.2	0.1	0.3	0.5	-0.4	-0.1	0.0	0.0	0.0	0.0	-0.2	0.3	-0.2
Exports	-0.7	1.7	-1.4	0.1	1.7	0.4	-0.8	0.3	0.2	0.2	0.2	0.2	2.5	1.6	0.4
Imports	2.0	1.8	-0.6	-0.2	0.3	-1.7	1.8	0.8	0.1	0.2	0.2	0.1	3.8	0.2	1.4
Ch. Inventories (q/q cont.)	0.7	-0.3	-0.2	-0.4	0.0	0.3	-0.1	0.1	0.0	0.0	0.0	0.0	-0.3	-0.4	0.1
Nominal GDP	0.9	1.8	0.3	0.9	0.8	1.3	0.5	0.6	0.8	0.7	0.6	0.6	4.5	4.0	2.8
Industrial output	0.0	-0.5	-1.0	0.2	2.5	0.3	0.1	0.1	0.1	0.1	0.1	0.1	0.1	2.3	0.4
Employment (% q/q)	0.2	0.1	0.1	0.2	-0.4	0.7	-0.1	-0.1	-0.1	0.0	0.0	0.0	0.7	0.4	0.0
Unemployment rate (%)	2.5	2.5	2.5	2.6	2.7	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5	2.5
CPI ex perishables (% y/y)	3.1	3.5	2.9	2.7	1.7	1.5	1.8	2.2	3.6	3.1	2.5	2.1	3.1	1.8	2.8
CPI ex perishables/energy (% y/y)	2.7	3.3	3.2	3.0	2.5	1.8	2.0	2.3	2.3	2.3	2.0	2.0	3.0	2.2	2.1
Current account (% GDP)	4.6	4.4	5.3	4.9	5.8	5.0	3.3	3.4	3.3	3.2	3.2	3.1	4.8	4.4	3.2
Government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-1.1	-2.0	-2.4
Government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	206.5	234.0	234.0
Net government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	136.5	134.3	130.1
Overnight call rate (% EOP)	0.50	0.50	0.50	0.75	0.75	1.00	1.25	1.25	1.50	1.50	1.75	1.75	0.75	1.25	1.75

Note: Central bank rates are for end of period, %.

Source: BoJ, Cabinet Office, METI, MIC, MoF, Barclays Research

China Outlook

K-shaped economy remains intact

China's recovery remains increasingly K-shaped. Exports showed no signs of slowing, driven by strong AI and green-tech demand, while domestic demand stayed subdued despite modest pickup in CPI. Policymakers continue to favour targeted support over broad stimulus, with delayed bank recapitalization.

The August trade, inflation and high frequency data showed that China's economy continues to exhibit a two-speed recovery. On the external side, exports remained a major source of growth support in August, with shipments rising 25% y/y for the third consecutive month of above-20% growth. Demand linked to the global AI investment cycle and energy transition remained particularly strong, with AI-related and green-tech products now accounting for roughly 40% of total exports. We expect exports to remain resilient through H2, supported by continued global spending on semiconductors, data-centre infrastructure, power equipment and green-tech related demand, helping to cushion the drag from weak domestic demand.

Domestic demand, however, remains soft. The uptick in headline inflation was largely driven by higher energy and commodity prices rather than stronger consumption, while weak auto sales, falling home sales and ongoing consumer goods deflation point to no recovery in underlying demand. Against this backdrop, policymakers continue to favour targeted support over broad-based stimulus. The latest CNY360bn recapitalisation of major banks is best viewed as an implementation step rather than a new stimulus measure, but it highlights a growing policy focus on strengthening financial institutions' capacity to support strategic sectors, exports and broader national priorities.

AI and green-tech support another month of strong exports print

Export growth remained strong in August, rising by 25% y/y in August from 23.9% in July and extending its run of above-20% growth to a third consecutive month, although coming in slightly below consensus forecast of 25.9%. The robust reading came despite weather-related disruptions at major ports that extended into the month, underscoring the resilience of export activity amid shipping delays and logistical constraints. While imports also accelerated, continued export strength kept China's trade surplus elevated at USD119bn. We expect the trade surplus to exceed USD1.2tn in 2026, remaining near record levels.

The print was underpinned by strong demand for AI-related (~25% of total exports) and green-tech exports (~15% of total exports), which collectively accounted for ~40% of China's total exports. In particular, semiconductor exports recorded a fourth consecutive month of triple-digit growth, rising 130% y/y, while exports of servers and other automatic data-processing equipment surged 76.5% y/y in August, the second-highest growth rate on record and the strongest since January-February 2021.

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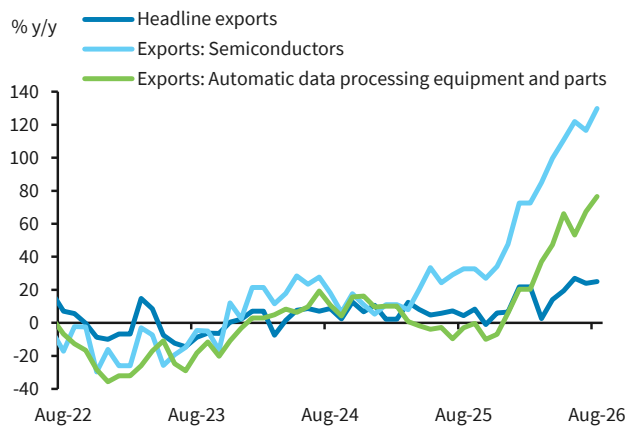
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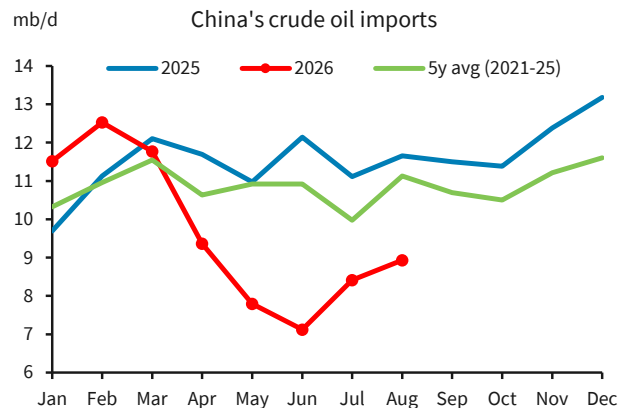
We continue to expect exports to remain a key growth support in H2, with full-year export growth likely to reach around 20%, up from 17.6% in H1, helping to partially offset weak domestic demand. We think external demand will continue to benefit from the global AI investment cycle and energy transition, supporting sectors such as EVs, power equipment, robotics, and data-centre-related infrastructure (see: [China: Strong but K-shaped exports](#), 7 August 2026). While AI-related trade frictions may intensify, including reports that the Trump administration is considering restrictions on select Chinese data-centre components², we believe the impact on China's overall exports would remain limited given the small export share of the targeted products and the increasing diversification of Chinese exporters into other fast-growing markets.

FIGURE 1. AI-related and green-tech exports continued taking the lead



Source: Wind, Barclays Research

FIGURE 2. Crude imports improved sequentially, but still fell short of pre-Middle East conflict levels



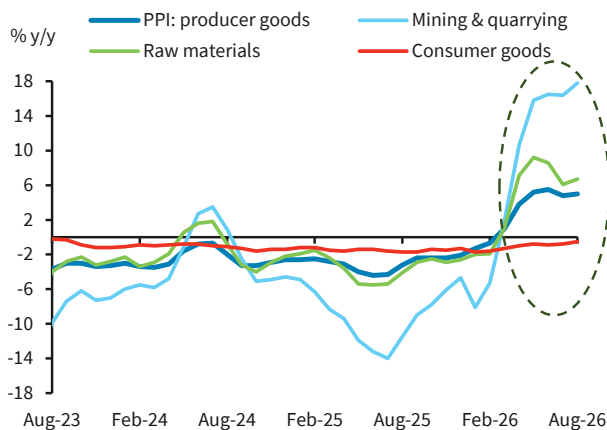
Source: Wind, Barclays Research

A modest recovery in headline CPI inflation masks still soft demand

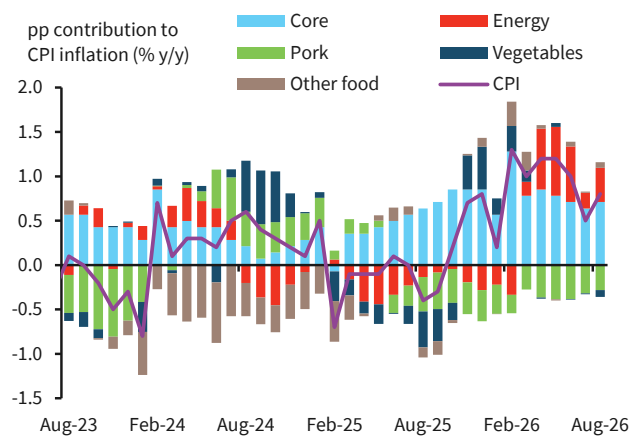
Inflation data showed a modest recovery in August, driven primarily by higher energy and commodity prices. PPI inflation rose to 3.8% y/y, reversing July's moderation, as higher crude oil and non-ferrous metal prices lifted upstream sectors, while AI-related manufacturing industries continued to benefit from the global AI investment cycle and recorded further price rises. On a m/m basis, PPI returned to positive territory (+0.4% m/m) after two consecutive months of declines. Within CPI, the contribution from energy increased by 0.24pp from July, accounting for most of the higher increase in the headline reading (Aug: 0.8%, Jul: 0.5%).

Despite the rebound in the inflation measures, underlying demand conditions remain subdued. Within PPI, the divergence between producer and consumer goods prices persisted, with producer goods inflation accelerating to around 5.0% y/y while consumer goods prices remained in deflation at -0.5%, suggesting that upstream price increases have yet to fully transmit downstream. Within CPI, food prices remained in deflation for a fifth consecutive month, while both core and services inflation rose only modestly. That is consistent with our high-frequency indicators, which continue to point to weak consumption and property activity levels. Auto sales volumes contracted 19% y/y in August, marking a tenth month of declines, while new home sales in 30 major cities fell 6.3% y/y, reversing July's growth and reflecting broad-based weakness in lower-tier cities.

² "Trump administration drafting ban on Chinese data center devices, sources say", Reuters, 4 August 2026

FIGURE 3. PPI rose along with prices in upstream sectors

Source: Wind, Barclays Research

FIGURE 4. Energy contribution to CPI increased visibly, while core CPI picked up only modestly

Source: Wind, Barclays Research

Recapitalization plan enters the implementation phase

Eight major Chinese financial institutions covering commercial banks, policy-based institutions and state-owned insurers unveiled coordinated plans to raise or receive a combined CNY360bn to replenish their core Tier 1 capital³. In principle, stronger capital positions should enhance these institutions' capacity to expand lending and absorb losses while maintaining regulatory capital requirements. The funding is structured through a mix of direct MoF injections and private placements. Among them, the two largest commercial banks, ICBC and Agricultural Bank of China (ABC), accounted for roughly 72% of the total funds, and their core Tier-1 adequacy ratio is expected to increase to 13.5% and 11.1%, respectively from previous 13.2% and 10.8%.

We do not view the announcement as a policy surprise. The March NPC had already approved CNY300bn of special treasury bonds to recapitalize major state-owned financial institutions, and the latest capital injections appear to be the implementation of that plan rather than a new policy initiative. What is more notable is the timing and breadth of the institutions involved. Coming after a record near-CNY1trn of capital issuance by banks in Q2⁴, the move highlights growing focus on capital replenishment amid pressure on margin and internal capital generation. The inclusion of policy institutions and insurers also suggests objectives beyond financial stability, potentially expanding the capacity of key financial institutions to support exports, strategic sectors, overseas investment, and broader policy priorities.

The following week, August credit and activity data will be in focus.

- **Credit (12-15 September):** We expect credit stock to be at CNY465.4trn, indicating y/y growth falling to a new record low of 7.3% y/y in August from 7.4% previously, with strong government bond issuance only partly offsetting weak credit demand from the household and corporate sectors.
- **August activity data (15 September):** We expect retail sales growth to remain subdued at 0.8% y/y in August, reflecting a tenth consecutive monthly decline in high-frequency auto sales volumes and continued softness in the labour market. We expect industrial production (IP) to remain supported by high-tech and export-oriented manufacturing, although weak

³ "Major Chinese financial enterprises announce plans to boost core capital", Xinhua, 7 September 2026

⁴ "Banks ramp up bond issuance in Q2 to shore up capital", China Daily, 30 June 2026

domestic demand is likely to exert increasing pressure on overall IP growth. We forecast fixed asset investment (FAI) to post another month of double-digit contraction, as local governments prepare projects for implementation later in the year and adverse weather disruptions weigh on activity, pushing year-to-date growth further down to -7.2%.

CHINA DATA REVIEW & PREVIEW

Jian Chang, Barclays Bank, Hong Kong | Yingke Zhou, Barclays Bank, Hong Kong | Ying Zhang, Barclays Bank, Hong Kong

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
China: Foreign reserves, USD bn	Aug	3418.8	3425.0	3438.3	Rise in FX reserves
China: Trade balance, USD bn	Aug	112.3	129.7	119.1	
China: Exports, % y/y	Aug	23.9	28.0	25.0	AI and green-tech drive exports
China: Imports, % y/y	Aug	27.6	33.0	28.2	
China: PPI, % y/y	Aug	3.5	3.9	3.8	Commodity-led inflation rebound, demand still soft
China: CPI, % y/y	Aug	0.5	0.9	0.8	

Preview of upcoming data

Tuesday, 15 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
-	China: M2 growth, % y/y	Aug	8.6	8.0	7.7	7.7	7.6
-	China: Aggregate financing stock, CNY trn	Aug	458.8	462.1	463.3	465.4	-
-	China: New loans, CNY bn	Aug	520.0	1610.0	-340.0	400.0	-
10:00	China: Retail sales, % y/y	Aug	-0.6	1.0	0.6	0.8	0.8
10:00	China: Industrial production, % y/y	Aug	4.5	5.3	4.5	4.9	4.8
10:00	China: Fixed asset investments, YTD % y/y	Aug	-4.1	-5.7	-6.7	-7.2	-7.1

China: We expect the credit stock to total CNY465.4trn, implying growth of 7.3% y/y in August, with strong government bond issuance only partly offsetting weak credit demand from the household and corporate sectors. We expect retail sales growth to remain soft at 0.8% y/y in August, reflecting a tenth consecutive monthly contraction in high-frequency auto sales volumes and continued weakness in the labour market. We expect IP to remain supported by high-tech and export-oriented manufacturing, although soft domestic demand is likely to weigh increasingly on overall IP growth. We expect FAI to post another month of double-digit contraction, as local governments prepare projects for later implementation and adverse weather disruptions weigh on activity, pushing YTD growth further down to -7.2%.

Note: Bloomberg consensus forecasts and release dates are subject to change.

Source: Bloomberg, Barclays Research

CHINA SNAPSHOT

Jian Chang Barclays Bank, Hong Kong | Yingke Zhou Barclays Bank, Hong Kong | Ying Zhang Barclays Bank, Hong Kong

	2025				2026				2027				Calendar year average		
% change y/y	Q1	Q2	Q3	Q4	Q1	Q2	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% y/y)	5.4	5.2	4.8	4.5	5.0	4.3	4.3	4.4	4.0	4.1	4.1	4.1	5.0	4.5	4.0
Real GDP (% q/q saar)	4.3	5.0	4.2	4.6	5.6	3.1	4.1	4.9	5.3	2.0	4.1	4.9	...	...	...
Real GDP (% y/y YTD)	5.4	5.3	5.2	5.0	5.0	4.7	4.5	4.5	4.0	4.0	4.0	4.0	...	...	...
Real GDP per capita (% y/y)	...	...	...	...	...	...	...	...	...	...	...	...	...	...	...
Consumption (pp)	2.7	2.7	2.7	2.6	2.3	2.2	2.0	2.0	2.0	2.0	2.0	2.0	2.6	2.0	2.0
Investment (pp)	0.3	0.8	0.8	0.8	1.9	1.7	1.3	1.2	1.0	1.0	1.0	1.0	0.8	1.2	1.0
Net exports (pp)	2.4	1.9	1.7	1.6	0.8	0.8	1.2	1.3	1.0	1.0	1.0	1.0	1.6	1.3	1.0
Industrial production (% y/y)	6.5	6.2	5.8	5.0	6.1	4.6	4.9	4.8	4.2	4.4	4.6	4.7	5.9	5.2	4.5
Nominal GDP (% y/y)	4.6	3.9	3.7	3.9	4.9	5.9	5.0	4.9	4.3	4.5	4.7	4.7	4.0	5.2	4.6
CPI inflation (% y/y)	-0.1	0.0	-0.2	0.6	0.9	1.1	0.6	0.4	1.3	1.2	0.8	0.0	0.1	0.7	0.8
Surveyed unemployment rate (%)	5.2	5.0	5.2	5.1	5.4	5.0	5.1	5.1	5.2	5.1	5.2	5.1	5.1	5.1	5.1
Current account (% GDP)	3.8	2.7	4.0	4.5	3.8	3.7	4.0	4.0	4.0	4.0	4.0	4.0	3.7	4.0	4.0
Government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-4.0	-4.0	-4.0
Central government debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	29.1	32.8	36.5
7d OMO rate (%)	1.50	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40

Note: All numbers are expressed in y/y % change unless otherwise specified. Contributions by GDP expenditure components are all reported as "year to date" numbers officially.

Source: Barclays Research

Emerging Asia Outlook

Steady in the storm

The AI-driven strength in exports will likely keep policymakers in Emerging Asia from sinking into excessive morosity over the re-escalation in the Middle East conflict – though it means inflation will remain a headache. We expect the CBC to hike rates next week.

The latest available trade data for Emerging Asia – which tends to be more timely than in other parts of the world – suggest the region's export cycle remains broadly stable and may be still edging higher from already elevated levels. With August trade data now trickling in (for China, Korea, Taiwan and Vietnam) and all the major jurisdictions in Emerging Asia having finally reported their July figures, our Barclays EM Asia Export Cycle Tracker appears to have risen slightly from relatively elevated levels. The AI boom remains a significant driver of this strength, with most major nodes in the region's tech supply chain still enjoying a visible lift to electronics exports, with perhaps India somewhat lagging behind (as tech manufacturing in the subcontinent is relatively more focused on smartphones than semiconductors or electronic components).

That AI-driven strength in exports will likely keep policymakers in Emerging Asia from sinking into excessive morosity over the re-escalation in the Middle East conflict – though it means inflation will remain a headache. Despite the resurgence in global crude oil prices, we sense policymakers in Emerging Asia may be growing more comfortable with the risk of physical shortages, which did not materialise in a significant manner earlier this year when the conflict broke out – though not inflation, which will likely encourage a more hawkish tilt in the region's monetary policy. That comfort with the negative growth risks was especially clear in Bank Negara Malaysia's (BNM) 3 September monetary policy statement that specifically highlighted that "going forward, while uncertainties surrounding the Middle East conflict will continue to weigh on global growth amid continued inflationary pressures, the impact is expected to be cushioned by sustained tech-related spending" – a comment that we view as signalling the central bank's comfort to finally proceed with a 25bp rate hike in November (see [Malaysia: BNM – A rate hike is \(finally\) coming](#), 3 September 2026).

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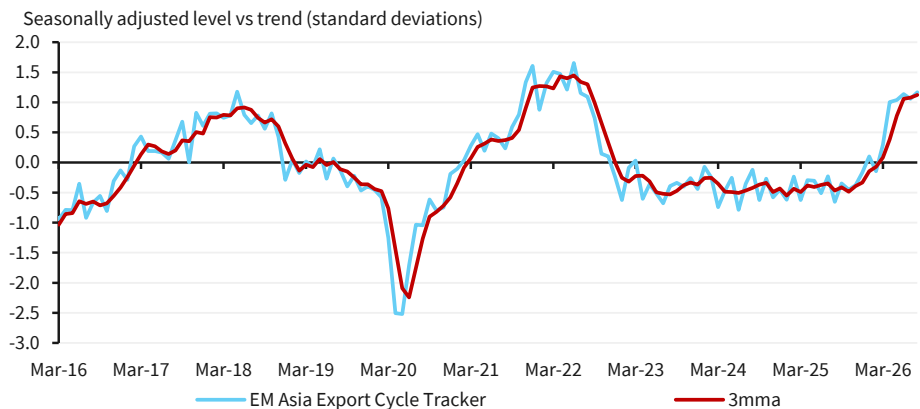
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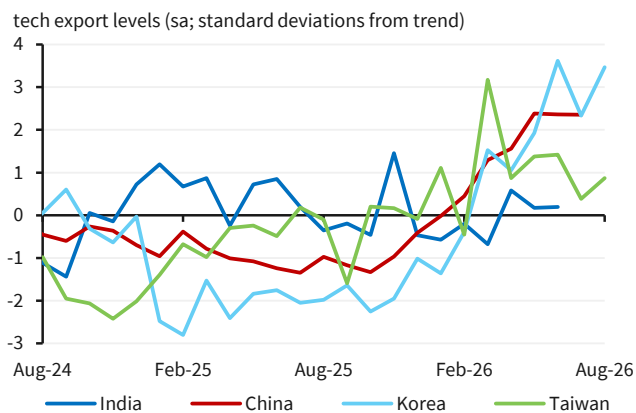
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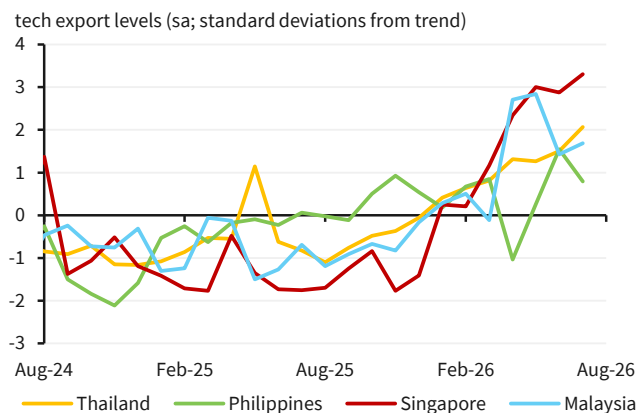
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FIGURE 1. Barclays EM Asia Export Cycle Tracker

Source: Haver Analytics, S&P Global Market Intelligence, Barclays Research

FIGURE 2. Seasonally adjusted tech export levels relative to trend: India and North Asia

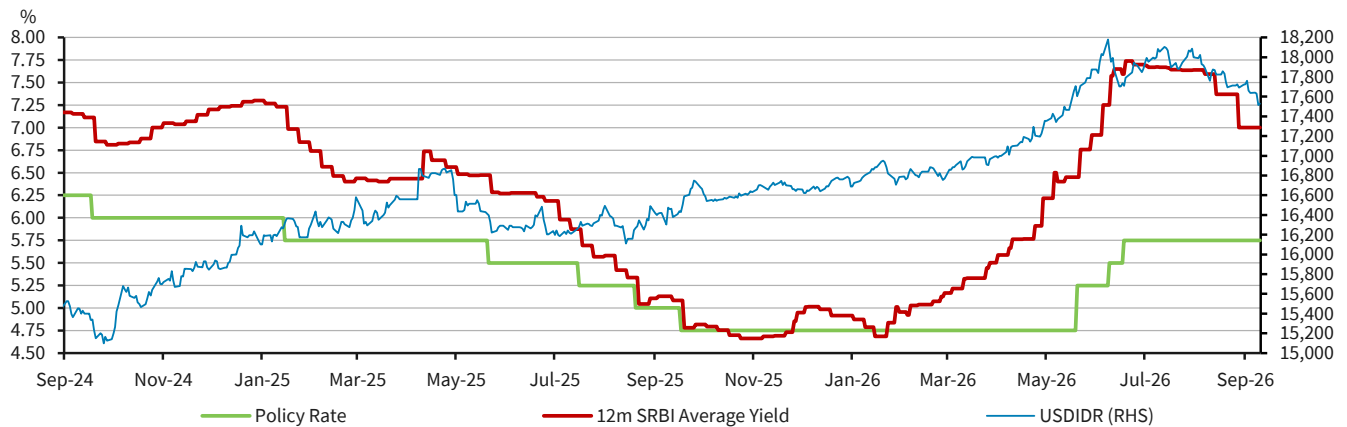
Source: CEIC, Haver Analytics, S&P Global Market Intelligence, Barclays Research

FIGURE 3. Seasonally adjusted tech export levels relative to trend: Asean

Note: Singapore is non-oil domestic exports.

Source: CEIC, Haver Analytics, S&P Global Market Intelligence, Barclays Research

At the same time, policymakers in the region are likely bracing themselves for a potential rate hike from the US Federal Reserve next week. Our US economists expect a 25bp rate hike in the September FOMC meeting, followed by another in December, before a pivot to rate cuts at the end of 2027. In EM Asia, the central bank that has historically been most attuned to external pressures is Bank Indonesia (BI). That said, BI's concern tends to be more on the effects of its rate differential with the US on the IDR, rather than the rate differential itself (unless convergence is a risk). With the IDR in fact strengthening visibly in recent weeks (possibly aided by central bank intervention), we doubt BI will follow the Fed in hiking rates near-term, especially as SRBI yields have fallen under the new BI Governor Destry Damayanti – in line, notably, with Finance Minister Purbaya Yudhi Sadewa's objective of supporting economic growth with looser liquidity conditions (see [Indonesia: August CPI, July trade – No reason to resume rate hikes](#), 1 September 2026).

FIGURE 4. Indonesia: Policy rate, SRBI yields and USDIDR

Source: Bloomberg, Barclays Research

Next week, we expect Taiwan's Central Bank of the Republic of China (CBC) to proceed with a 12.5bp policy rate hike on 17 September, to 2.125%, in contrast to consensus expectations for status quo. While CPI inflation did fall to a lower-than-expected 2.04% y/y in August from 2.54% in July, this is nonetheless the fourth consecutive month of inflation printing above 2% – and the Directorate General of Budget, Accounting and Statistics (DGBAS) has stated that inflation will likely rise in September, which would imply a fifth month of above-target prints. A 25bp hike in the Fed funds rate just prior to the CBC Board meeting, should it materialise as our US economists expect, would be supportive of our call for monetary policy tightening to finally commence in Taiwan. More importantly, we believe public attention on inflation is rising along with the resurgence in oil prices. The domestic macro backdrop also remains solid with strong retail sales and elevated consumer sentiment while the TWD (in trade-weighted terms) remains under depreciation pressure. Given the risk that the rising cost of living and inflation will become a political topic for the upcoming local elections, we believe the CBC will hike its policy rate on 17 September rather than remain on hold (see [Taiwan: August CPI – Above target inflation amid hawkish global policy backdrop](#), 8 September 2026).

AUSTRALIA & EMERGING ASIA DATA REVIEW & PREVIEW

Brian Tan, Barclays Bank, Singapore | Bum Ki Son, Barclays Bank, Singapore | Aastha Gudwani, BSIPL, India | Amruta Ghare, BSIPL, India

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
Thailand: CPI, % y/y	Aug	1.9	2.5	2.5	Renewed increase
Thailand: Core CPI, % y/y	Aug	1.3	1.4	1.4	
Korea: GDP 2nd release, sa, % q/q (y/y)	Q2	0.6 (3.7)	0.6 (3.7)	0.6 (3.7)	GDP growth steady
Taiwan: CPI, % y/y	Aug	2.5	2.3	2.0	Above target inflation amid hawkish global policy backdrop
Thailand: MPC meeting minutes	26-Aug	-	-	-	Rise in inflation unlikely to surprise
Korea: Unemployment rate, %	Aug	2.8	2.8	2.7	Unemployment rate dips
Malaysia: Industrial production, % y/y	Jul	6.5	5.2	4.7	Manufacturing activity holding up
Taiwan: Trade balance, USD bn	Aug	17.2	-	22.3	Higher growth
Taiwan: Exports, % y/y	Aug	32.9	31.6	41.0	
Taiwan: Imports, % y/y	Aug	37.4	-	44.3	

Preview of upcoming data

Monday, 14 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
-	Pakistan: Target rate, %	Sep	11.50	11.50	11.50	11.50	11.50
-	India: Trade balance, USD bn (to 16/09)	Aug	-28.0	-30.4	-32.0	-32.0	-32.1
-	India: Exports, % y/y (to 16/09)	Aug	18.6	15.5	19.6	18.3	-
14:30	India: WPI, % y/y	Aug	9.9	9.9	9.8	10.0	9.9
18:30	India: CPI, % y/y	Aug	3.9	4.4	4.4	4.9	4.9

Pakistan: The State Bank of Pakistan is likely to maintain the policy rate despite rising inflation, as pressure on the external account eased following new sovereign issuance

India: The trade deficit was likely unchanged at elevated levels in August as exports normalised and oil imports rose. Both CPI and WPI inflation are likely accelerated in August: CPI from rise in food and core inflation; WPI on account of fuel inflation

Tuesday, 15 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
-	Korea: BoK meeting minutes	27-Aug	-	-	-	-	-
-	Philippines: Remittances, % y/y	Jul	2.0	2.0	1.7	1.9	2.0

Thursday, 17 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
-	Taiwan: Benchmark interest rate, %	Sep	2.000	2.000	2.000	2.125	2.000
06:45	New Zealand: GDP, % q/q (y/y)	Q2	0.9 (1.1)	0.5 (1.5)	0.8 (1.5)	-	0.1 (2.2)
08:30	Singapore: Non-oil domestic exports, % y/y	Aug	38.4	20.8	24.2	35.0	35.2

Taiwan: We expect the CBC to raise its policy rate by 12.5bp at the September meeting, with our baseline also for Fed, ECB, and BoJ hikes in September. Along with external conditions, we see a hike being supported by domestic conditions around the private consumption recovery, above-target inflation, and expansion of the M2 growth. Local elections in November could be one factor that potentially delays tightening to December, but we believe domestic conditions are sufficient to absorb a hike.

Singapore: A favourable base effect likely kicked non-oil domestic export growth visibly higher in August from already robust levels in July.

Friday, 18 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
12:00	Malaysia: CPI, % y/y	Aug	2.0	1.9	1.8	1.8	1.8
12:00	Malaysia: Trade balance, MYR bn	Aug	39.9	15.8	22.5	24.1	27.2
12:00	Malaysia: Exports, % y/y	Aug	44.7	45.5	38.0	30.8	37.6
12:00	Malaysia: Imports, % y/y	Aug	14.4	43.1	36.4	27.9	32.0

Malaysia: CPI inflation likely remained broadly stable in August as a pickup in unsubsidised retail fuel prices was likely offset by core inflation falling to 1.6% y/y from 1.8% in July due to base effects. The merchandise trade surplus likely widened slightly in August.

Note: Bloomberg consensus forecasts and release dates are subject to change.

Source: Bloomberg, Barclays Research

INDIA SNAPSHOT

Aastha Gudwani BSIPL, India | Amruta Ghare BSIPL, India

	2025				2026				2027				Fiscal year average		
% change y/y	Q1	Q2	Q3	Q4	Q1E	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% y/y)	6.8	8.3	8.0	7.8	7.4	6.0	6.6	7.2	7.3	7.0	6.2	6.2	7.7	6.8	6.7
Private consumption (% y/y)	8.7	7.2	8.2	7.1	7.7	5.9	6.8	7.3	7.5	6.8	6.7	6.6	7.7	6.9	6.9
Public consumption (% y/y)	5.8	6.6	4.6	4.9	5.3	5.5	4.9	5.0	4.5	5.2	4.6	4.7	5.5	5.2	4.8
Fixed investment (% y/y)	4.9	8.4	8.2	10.8	5.5	4.7	5.2	6.1	5.5	5.6	4.5	4.9	8.2	5.4	5.1
CPI inflation (% y/y)	2.9	1.7	0.6	3.1	3.9	4.7	5.6	5.0	5.0	4.3	4.3	4.4	2.1	4.8	4.5
Current account (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-0.6	-1.7	-1.5
General government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-7.6	-7.7	-7.4
Gross public debt % GDP	...	...	...	...	...	...	...	...	...	...	...	...	81.0	80.0	78.0
Repo rate (period end, %)	5.50	5.50	5.25	5.25	5.25	5.25	5.25	5.50	5.75	5.75	5.75	5.75	5.25	5.50	5.75
Cash reserve ratio (period end, %)	4.00	3.75	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00

Note: All numbers expressed in y/y basis unless otherwise specified. 2024 = FY2024-25, and so on. India's fiscal year begins in April and ends in March.

Source: Haver Analytics, RBI, Barclays Research

KOREA SNAPSHOT

Bum Ki Son, CFA Barclays Bank, Singapore

	2025				2026				2027				Calendar year average		
% Change	Q1	Q2	Q3	Q4	Q1	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q, sa)	0.3	0.7	1.5	-0.2	1.7	0.6	0.2	-0.1	0.8	0.7	0.9	0.8	...	...	...
Real GDP (% q/q saar)	1.2	3.0	6.0	-0.8	7.1	2.5	0.9	-0.2	3.2	2.7	3.8	3.1	...	...	...
Real GDP (% y/y)	0.0	0.6	1.8	1.6	4.3	3.9	3.4	3.1	1.6	1.6	2.4	3.2	1.1	3.2	2.2
Real GDP per capita (% y/y)	...	...	...	...	...	...	...	...	...	...	...	...	...	...	...
Private consumption (% y/y)	1.0	1.6	2.3	2.5	2.8	2.5	1.6	1.4	1.3	1.3	1.6	1.8	1.9	2.0	1.5
Public consumption (% y/y)	2.1	2.5	3.0	3.6	3.1	2.2	1.4	1.0	2.1	2.6	3.0	3.4	2.8	1.9	2.8
GFCF (% y/y)	-4.0	-2.8	-2.0	-2.2	1.3	2.8	3.7	6.0	4.2	3.4	2.0	1.2	-2.8	3.5	2.6
Exports (% y/y)	3.2	5.8	8.7	6.8	11.8	9.0	7.1	9.1	4.6	4.7	5.2	5.7	6.1	9.2	5.1
Imports (% y/y)	3.5	4.9	5.2	4.8	8.5	6.3	7.8	10.0	7.7	7.7	4.8	3.2	4.6	8.2	5.8
Industrial production (% y/y)	2.4	3.2	7.7	-1.5	2.8	3.9	3.4	3.8	2.3	2.0	2.0	2.2	2.9	3.5	2.1
Unemployment rate (%)	2.8	2.8	2.7	2.9	2.9	2.7	2.7	2.7	2.7	2.8	2.8	2.8	2.8	2.7	2.8
CPI inflation (% y/y)	1.8	2.2	1.8	2.2	2.1	3.0	3.0	2.5	2.5	2.0	2.2	2.0	2.1	2.6	2.2
Current account (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	6.5	20.1	18.3
Consolidated fiscal balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-1.7	-1.5	-1.4
Consol. fiscal balance ex social security funds (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-3.9	-2.3	0.3
Key central bank rate (% EOP)	2.75	2.50	2.50	2.50	2.50	2.50	3.00	3.00	3.25	3.25	3.50	3.50	2.50	3.00	3.50

Note: All numbers expressed in y/y basis unless otherwise specified.

Source: Haver Analytics, Barclays Research

EEMEA Outlook

Cautious holds

The CBT and NBP kept rates unchanged, maintaining a cautious stance amid high energy prices. We expect a similarly cautious hold from the CNB next week, with policymakers likely to remain focused on energy-related inflation risks. We see risks to Senegal's debt rework programme.

US-Iran war: is the off-ramp narrowing?

Over the past week, the US-Iran war has once again escalated with reciprocal strikes protracting the effective closure of the Strait of Hormuz. Added to those concerns, the Houthis have ramped up their attacks on Saudi oil infrastructure, as well as capturing key sites along the coastline of the Strait of Bab el-Mandeb to tighten the grip on the trade route; Axios reported that Saudi Arabia's Crown Prince Mohammed bin Salman 'urged' President Trump to strike the Houthis directly to ease the chokehold, but it was ultimately declined by the US⁵. The Wall Street Journal reported that Iran has begun to replenish its stock of ballistic missiles⁶, something that the US had hoped to have put a stop to after 'Operation Epic Fury' and could inhibit diplomacy talks from the US side⁷.

In an effort to de-escalate, foreign ministers across the GCC are due to meet with their Iranian counterpart on Monday in Oman, as reported by the Financial Times this morning (11 September)⁸. Governments across the Gulf are keen to have the Strait of Hormuz re-open on a meaningful basis in order to transport their exports of oil, refined products and LNG, both for their economic output but crucially too for export receipts to their balance of payments and public finances. Q1 GDP data showed the largest contractions across the Gulf in Qatar (-7.0% y/y) and Kuwait (-4.6% y/y), highlighting them as the two most vulnerable states to the strait's prolonged closure. Similarly, as [Figure 1](#) shows, both economies rely heavily on hydrocarbon activity for their public finance revenues, which has put a significant dent in their budgets this year: for example, Qatar reported a H1 deficit of QAR31.5bn, already exceeding its full-year target of QAR21.8bn. The longer the war and consequent closure of maritime trade routes endure, the greater the pressure these economies' financial buffers will come under.

Monday's meeting appears to be the latest effort to bring Iran back to the table and at least try to revive some form of deal akin to the Memorandum of Understanding. This could pave the way

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⁵ Axios, 'Scoop: MBS urged Trump to strike Houthis amid Red Sea threat', 11 September 2026. Available here: <https://www.axios.com/2026/09/11/houthis-yemen-saudi-trump-mbs-strikes>

⁶ Wall Street Journal, 'Iran is producing ballistic missiles again', 10 September 2026. Available here: https://www.wsj.com/world/middle-east/iran-ballistic-missile-production-5538af12?reflink=desktopwebshare_permalink

⁷ The White House press release, 'President Trump's clear and unchanging objectives drive decisive success against Iranian regime', 1 April 2026. Available here: <https://www.whitehouse.gov/releases/2026/04/president-trumps-clear-and-unchanging-objectives-drive-decisive-success-against-iranian-regime/>

⁸ Financial Times, 'Iran and Gulf states to meet in push for Hormuz deal', 11 September 2026. Available here: <https://www.ft.com/content/df2d9bcc-59f9-4122-aa4d-2020bef77e0e?syn-25a6b1a6=1>

for the Strait of Hormuz to re-open to start with, but broader points of negotiation between the US, Iran, the Gulf and Israel are likely to be more protracted. Elements such as Iran's nuclear capacity, the disarmament of Hezbollah in Lebanon, and the removal of US-imposed sanctions are all far more complicated matters that will take time to negotiate. And as long as those negotiations persist, there will be the underlying risk of re-escalation if talks stall or fall apart.

FIGURE 1. Gulf Oil Vulnerability Heatmap

	Saudi Arabia	UAE	Qatar	Kuwait	Oman	Bahrain
Gen'l Govt Debt (% of GDP)	34	34	41	15	36	148
Gov't Hydroc. Revenues (% of Total Revs)	55	31	79	88	73	60
Hydrocarbon GDP (% of Nominal GDP)	22	20	35	41	33	14
FX Reserves (\$bn)	472	262	37	35	18	5
FX Reserves (% of GDP)	37	46	17	22	17	11
SWF Assets (\$bn)	925	2,388	600	1,072	58	18
SWF Assets (% of GDP)	72	418	271	679	55	37
SWF FX Assets (\$bn)	167	1,719	390	1,008	23	6
SWF FX Assets (% of GDP)	13	301	176	638	21	13
FX Assets (% of GDP)	50	347	193	660	39	24

Note data refer to end-2025,

Source: Sovereign Wealth Fund Institute, Haver Analytics, Barclays Research

CBT remained cautious given mounting pressures on Türkiye's external balance

The 12M total C/A deficit widened to \$40.7bn (2.4% of GDP) in July. We expect it to reach \$53bn in 2026, with persistently high energy prices likely to put further pressure on net reserves excluding swaps, potentially pushing them into negative territory by Q1 27 absent stronger foreign inflows. While net reserves excluding swaps remain an important indicator of external resilience, the CBT's capacity to conduct FX interventions ultimately depends on the level of gross reserves rather than net reserves ([Türkiye C/A Balance Higher energy prices likely to widen external imbalances](#), 11 September).

The CBT kept its policy rate unchanged at 37%, in line with our forecast and the unanimous Bloomberg consensus expectation. The bank noted that the underlying disinflation trend continues to improve despite short-term monthly volatility and the limited pass-through from higher energy prices to CPI reflects weak domestic demand conditions. However, it also emphasised that elevated energy prices remain an upside risk to the inflation outlook. We continue to expect two 100bp rate cuts at the final two MPC meetings of the year, on 22 October and 10 December, which would bring the policy rate down to 35% by YE26, compared with our YE26 inflation forecast of 30.0% y/y. This outlook assumes some moderation in energy prices and an easing of geopolitical risks. If Brent prices remain around current levels, we would expect the CBT to stay pat at 37% in the remainder of this year ([Türkiye CBT Review Holding pattern, for now](#), 9 September).

NBP maintained its policy rate but with a more balanced communication

The NBP kept its policy rate unchanged at 3.75%, in line with our forecast and the Bloomberg consensus. In its statement, the bank highlighted the slowdown in economic growth in Q226 and the decline in employment in the enterprise sector. It also noted that core inflation likely increased in August, while attributing the rise in headline inflation mainly to higher fuel prices. At the regular press conference the following day, Governor Glapinski struck a more balanced

tone compared with his previously dovish bias, suggesting that, based on the current data, interest rates are likely to remain unchanged until mid-2027 in his baseline view.

CNB also likely to hold (at 3.75%) next week

Although August CPI stayed subdued at 1.9% y/y, we estimate that core inflation was unchanged at 3.0% y/y, at the upper bound of the CNB's tolerance band. Combined with elevated energy prices, this is likely to keep the CNB's hawkish bias intact and reinforce its focus on upside inflation risks. Recent comments⁹ from MPC members also suggest they plan to remain on hold this week, while keeping the door open for a potential hike in November.

UAE: resilience to shine through

The UAE's economy, unsurprisingly, has faced a testing first half of 2026 amid the US-Iran war and consequent closure of the Strait of Hormuz. GDP contracted by 4.5% q/q in Q1, though in year-on-year terms was still positive (easing from 8.5% y/y in Q4 25 to 3.0% y/y in Q1 26). But this only captured the first month of the war and other data points, such as Dubai International Airport traffic, road toll traffic and vehicle parking utilisation rates, suggest softer activity in the UAE's non-oil sector in Q2. All this will be compounded by the fall in oil output through April and May.

Amid these strains, the UAE has been forced to use some of its substantial economic buffers. Central bank (CBUAE) official reserve assets were drawn down by a record \$26bn in March and have cumulatively fallen by 15% since the start of the war. Even so, reserves remain at \$257bn (40% of GDP) and sovereign wealth fund assets total around \$2.4trn. These are far larger buffers relative to other Gulf states and should provide sufficient room to weather the storm.

As we outlined in our report earlier this week (see [UAE Macro & Credit: resilience to shine through, 8 September 2026](#)), we expect the UAE's economy to contract by 1.0% in 2026. But in our central scenario of some form of US-Iran de-escalation by 2027 and the Strait of Hormuz re-opening, we see the UAE's economy bouncing back strongly and possibly growing by 10.3% in 2027. This reflects our view that having left OPEC+, the UAE has already ramped up oil production above pre-war levels and could pursue its goals to raise crude oil output more quickly. Efforts to build greater pipeline capacity should also boost net exports of oil. At the same time, if security fears recede on a sustained basis, the tourism, transport and logistics and wholesale and retail trade sectors should rebound. In addition, the UAE's strong public finances balance sheet should permit fiscal policy to be loosened and support the economy.

An AI tug-of-war

Over the past 18 months, the Middle East has become an arena for the US and China to vie for influence through the deployment of AI and related technologies, with Egypt the most recent example.

The MENA region burst onto the AI scene in May 2025 amid US President Trump's trip to the Gulf. On the sidelines of his visits to Saudi Arabia, the UAE and Qatar, several major deals were reached with the likes of Nvidia, Qualcomm and AMD for AI-chip imports and for the construction of data centres and 'AI academies'^{10 11}. Saudi Arabia also launched its own state-owned AI company, Humain, following in the footsteps of the UAE's G42. The GCC's push for AI is the latest effort for economic diversification away from oil, and with access to larger energy

⁹ Reuters: Eva Zamrazilová: There is currently no strong reason to change interest rates, but inflationary risks remain tilted to the upside, 9 September

¹⁰ Financial Times, 'Donald Trump lauds Saudi Arabia as he unveils AI and defence deals', 13 May 2025. Available here: <https://www.ft.com/content/5302d5d2-d375-4327-905c-7b1ad5173105?syn-25a6b1a6=1>

¹¹ Reuters, 'Trump wraps up Gulf tour with AI and energy deals in UAE', 16 May 2025. Available here: <https://www.reuters.com/world/china/uae-us-agree-path-abu-dhabi-buy-most-advanced-ai-chips-trump-says-2025-05-16/>

reserves and lower costs of production to utilise them, the Gulf does have a comparative advantage for AI technology. Arguably, the UAE has positioned itself as the front-runner in the Gulf having been reclassified into the 'A5' country grouping by the US in July¹² giving the UAE access to the US's highest level of technology exports – something other GCC states do not yet have.

Over the past few weeks, Egypt has also become an AI story. Bloomberg reported in late August that Chinese company Huawei had bid to build AI data centres in Egypt and that this had "drawn alarm in Washington" leading it to push for US-based counteroffers¹³. The bid coincided with China's President Xi meeting President el-Sisi in Cairo. Fast forward to this week, and Egypt's Minister of Communications and Technology announced that Nvidia had won the bid to build Egypt's first large-scale AI data centre to the tune of \$1bn.

Developments in Egypt highlight how the interplay between AI, security and geopolitics could come down to aligning with either the US or China. The US announced the Pax-Silica framework, which seeks a more secure AI and semiconductor supply chain, as well as broader digital infrastructure. Similarly, China followed up with its World Artificial Intelligence Cooperation Organisation. With the former, Qatar is the only official GCC joiner, but the UAE's AI company, G42, has reportedly pledged to divest from its relationship with Chinese technology in its supply chain¹⁴. For the region, an overarching theme seems to be that the Middle East's relationship with the US is shifting from trading energy for security, to providing investment into AI in return for security. For example, Qatar was the subject of a US Executive Order in September 2025 to assure the US's security of Qatar from all attacks¹⁵ last year and Saudi Arabia agreed a new security pact with the US in December 2025 that included the potential purchase of F35 fighter jets and paved the way for the US to sign the 2026 Saudi-US 123 Agreement earlier this year to partner in the Kingdom's civilian nuclear programme (at the expense of Chinese nuclear energy firms). Even so, Saudi has diversified its security network in recent months with the signing of a tripartite security pact with Pakistan and Türkiye, as well as the founding of the Multinational Maritime Defense Coalition with 13 other regional members.

Outside of geopolitics, for the macroeconomic story in Egypt, the ability to attract foreign investment in a new sector and partner with a leading company like Nvidia highlights the positive economic outlook and adds to our view that GDP growth should strengthen over the coming years.

South Africa's current account swings to deficit on record income flows

South Africa's 2Q 26 current account balance printed at a -2.5% of GDP deficit, which was much wider than our forecast of -1.5% and double the Bloomberg consensus expectation of -1.3%. Details show that the main source of the overshoot was outward income flows in the net invisible balance, with net service payments at a record high -R258bn, from -R156bn in 1Q 26 and -R165bn a year ago. The previous high (-R254bn) was reported in the immediate aftermath of COVID-19, in Q2 22, when a number of FDI firms in South Africa took out a record dividend amount of R190bn to help support failing subsidiaries elsewhere. Details of the underlying

¹² US Federal Register, 'Enhanced Favourable Treatment for the United Arab Emirates Under the Export Administration Regulations', 14 July 2026. See here: <https://www.federalregister.gov/documents/2026/07/14/2026-14132/enhanced-favorable-treatment-for-the-united-arab-emirates-under-the-export-administration>

¹³ Bloomberg, 'Huawei AI data center bid in Egypt spurs US to mull counter', 26 August 2026. Available here: <https://www.bloomberg.com/news/articles/2026-08-26/huawei-egypt-ai-ascend-chips-test-us-tech-diplomacy-nvidia-amd-microsoft>

¹⁴ Reuters, 'Microsoft-G42 deal positive because it cut Huawei ties, White House official says', 24 June 2024. Available here: <https://www.reuters.com/technology/microsoft-g42-deal-positive-because-it-cut-huawei-ties-white-house-official-says-2024-06-24/>

¹⁵ The White House - Presidential Actions Release: Executive Orders, 'Assuring the security of the State of Qatar', 29 September 2025. Available here: <https://www.whitehouse.gov/presidential-actions/2025/09/assuring-the-security-of-the-state-of-qatar/>

source of outflows this time around will only be published at month-end (29 September) when the SARB releases its September 2026 Quarterly Bulletin. However, we suspect that this is a combination of dividend outflows related to the solid commodity prices that we mentioned in our 4 September [EEMEA Outlook](#), together with coupon payments on domestic bonds held by foreigners – although data published by the National Treasury show that the latter would have played less of a role, given interest payments this year were lower than in the second quarters of recent years, and foreign ownership has also broadly declined. Income receipts also fell to their lowest since March 2023. Elsewhere, other components of the net invisibles, such as service payments (-R60bn vs -R61bn expected) and transfers (-R34bn vs -R34bn expected), were in line with our forecasts, as was the visible trade balance (R146bn vs R144bn expected). Looking ahead, with commodity prices remaining relatively solid, these outflows may be somewhat sticky. However, a likely correction in income receipts should help offset the negative impact. For the year as a whole, we now expect the current account to print around -0.7% of GDP, from -0.1% previously, and we see 2027 at -2% (-1.7% previously).

Senegal's IMF programme has risks

Prime Minister Aminou Lo delivered his General Policy Statement on 8 September, as expected. Two things stood out for us: first, the PM disclosed that Senegal's arrears had reached CFA1,956bn (about 9% of GDP, on our estimates) as at March 2025. This is much higher than the CFA300bn (about 1.4% of GDP) that Finance Minister Diba indicated would be cleared over the remainder of this year, and will have significant implications for the country's debt sustainability analysis, as it appears the starting point may now come in closer to 140% of GDP instead of the 132% of GDP that the IMF had estimated in its latest iteration in April 2026. Minister Lo also stressed that the country is not going into a debt restructuring but instead a debt rescheduling with its external investors that should help release resources for expenditure on arrears clearance, capital outlays, and the provision of a social safety net, among others. Even more surprisingly, the authorities indicated that they had already processed a 13 September 2026 coupon payment on the 2048 eurobond that would settle in the coming days. The zeal to continue spending while at the same time calling for a debt treatment under the G-20 common framework – which would ordinarily begin with the declaration of a moratorium on all external debt servicing followed by an unquestionable commitment to the pursuit of deep fiscal frugality to help rectify the fiscal imbalances – appears inconsistent and somewhat confusing. Under the IMF's LIC debt sustainability framework, the present value of Senegal's debt-to-GDP ratio would need to decline to 70% to place the country back on a sustainable path. We struggle to see how savings from a light debt rescheduling/coupon reduction exercise being deployed towards the immediate dismantling of arrears and the provision of social safety nets (as presented by the minister of finance and the prime minister) could help bring down the country's debt to sustainable levels. With domestic debt excluded from the restructuring perimeter, and multilateral lenders accounting for some two-fifths of external creditors also likely to be excluded, this leaves a disproportionately large burden to fall on bilateral and other commercial lenders. To that end, Eurobond holders engaged the services of a legal advisor this week¹⁶. The first investor engagement to be held by the fiscal authorities in the coming week(s) will be key in understanding the presumably credible plan that was proposed to the IMF to help get the country over the staff agreement line.

In Ghana, for context, final discussions that led to a staff level agreement began on 1 December 2022, and the authorities fully capitulated within three days of the discussions, announcing a domestic debt restructuring on 4 December 2022. The Staff Level Agreement was signed on 12 December 2022, without any commitment to restructure external debt. Yet within a week thereafter, it became clear that a domestic debt restructuring alone would not move the needle, and external restructuring was announced on 19 December 2022.

¹⁶ 'Senegal Bondholders Name White&Case Legal Adviser for Debt Talks', Bloomberg, 11 September, 2026

Second, we continue to highlight the potential political risks that lie ahead. For example, the prime minister must have been caught off guard when the speaker of parliament disclosed in his closing comments that he had used his global connections to access a copy of the memorandum of economic policies to which the country had committed with the IMF and was at pains to stress that the measures therein had never been discussed with the Council of Ministers. While that may have come across as a passing statement to most, Article 86 of the Constitution of Senegal states that ‘The Prime Minister may, after deliberation with the Council of Ministers, engage the responsibility of the Government before the National Assembly on the vote of a bill of law of finance.’ In our opinion, there is a fairly decent probability that the legality of the Memorandum of Economic and Financial Policies is challenged when the National Assembly re-convenes to debate and pass the Amended 2026 budget law in the first fortnight of October. Specifically, the Speaker of Parliament indicated that ‘discussions have been held, and agreements are being finalised, yet ultimately, the final decision rests with our National Assembly’.

FIGURE 2. Inflation and policy rate forecasts

CPI, % y/y	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27	Jun-27	Jul-27	Aug-27	Sep-27	Oct-27	Nov-27	Dec-27
Poland	3.0	3.4	3.4	3.5	3.6	3.9	3.6	3.6	2.8	2.7	2.9	3.6	2.9	2.7	2.7	2.7	2.6	2.6
Hungary	1.2	1.3	1.8	2.1	2.2	2.2	2.5	2.6	2.3	2.4	2.7	2.7	3.0	2.9	2.8	2.8	2.7	2.6
Czechia	1.7	1.9	2.1	2.0	2.3	2.6	2.8	3.0	2.6	2.3	2.6	3.0	2.8	2.4	2.3	2.4	2.4	2.5
Romania	8.2	6.2	6.1	6.2	6.1	6.2	6.1	6.0	5.7	5.4	5.1	4.9	4.5	4.4	4.4	4.5	4.3	4.4
Türkiye	31.8	31.5	30.2	29.5	29.9	29.7	27.8	26.5	26.3	24.0	23.6	23.7	23.6	23.3	23.3	23.0	22.5	23.0
Israel	1.5	1.6	1.8	1.6	1.7	1.8	2.0	2.0	2.1	1.8	1.9	1.9	1.9	1.7	1.7	1.8	1.7	1.6
Russia	6.0	5.7	5.7	5.8	5.8	5.7	5.9	5.6	5.2	5.2	4.9	4.2	4.6	4.5	4.3	4.2	4.2	4.1
South Africa	4.3	4.5	4.8	5.3	5.6	5.6	5.7	5.8	5.6	4.7	4.2	3.8	4.1	4.1	3.7	3.4	3.2	3.0
Egypt	14.9	14.5	15.2	13.1	11.5	11.4	12.0	10.7	8.7	7.5	7.2	8.3	8.8	9.1	8.0	8.8	9.9	10.0

Policy rate, %	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27	Jun-27	Jul-27	Aug-27	Sep-27	Oct-27	Nov-27	Dec-27
Poland	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.50	3.50	3.50	3.50	3.50
Hungary	5.75	5.50	5.25	5.00	5.00	5.00	5.00	5.00	5.00	4.75	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.25
Czechia	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.50	3.50	3.50	3.50	3.50
Romania	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.25	6.00	5.75	5.50	5.50	5.50	5.50	5.50	5.50	5.50
Turkey	37.00	37.00	37.00	36.00	36.00	35.00	34.00	34.00	33.00	33.00	32.00	31.00	30.00	30.00	29.00	29.00	29.00	29.00
Israel	3.50	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
Russia	14.00	14.00	14.00	13.75	13.75	13.50	13.50	13.25	12.75	12.25	12.25	12.25	11.75	11.25	11.25	10.75	10.75	10.25
South Africa	7.00	7.00	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.25	7.00	7.00	6.75	6.75	6.75	6.75
Egypt	19.00	19.00	19.00	19.00	19.00	19.00	19.00	18.00	18.00	17.00	16.00	16.00	15.00	14.00	13.00	12.00	12.00	11.00

Ex-Post Real Policy Rate, %	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27	Jun-27	Jul-27	Aug-27	Sep-27	Oct-27	Nov-27	Dec-27
Poland	0.8	0.4	0.4	0.3	0.2	-0.2	0.2	0.2	1.0	1.1	0.9	-0.1	0.6	0.8	0.8	0.8	0.9	0.9
Hungary	4.6	4.2	3.4	2.9	2.8	2.8	2.5	2.4	2.7	2.3	1.8	1.8	1.5	1.6	1.7	1.7	1.8	1.6
Czechia	2.1	1.9	1.7	1.8	1.5	1.2	0.9	0.7	1.1	1.4	1.1	0.5	0.7	1.1	1.2	1.1	1.1	1.0
Romania	-1.7	0.3	0.4	0.3	0.4	0.3	0.4	0.5	0.5	0.6	0.7	0.6	1.0	1.1	1.1	1.0	1.2	1.1
Turkey	5.2	5.5	6.8	6.5	6.1	5.3	6.2	7.5	6.7	9.0	8.4	7.3	6.4	6.7	5.7	6.0	6.5	6.0
Israel	2.0	1.9	1.5	1.6	1.5	1.5	1.2	1.2	1.1	1.2	1.1	1.1	1.1	1.3	1.3	1.2	1.3	1.4
Russia	8.0	8.3	8.3	7.9	8.0	7.8	7.6	7.6	7.5	7.1	7.4	8.1	7.1	6.7	6.9	6.5	6.5	6.1
South Africa	2.7	2.5	2.4	1.9	1.7	1.6	1.6	1.5	1.7	2.5	3.0	3.5	2.9	2.9	3.0	3.4	3.5	3.7
Egypt	4.1	4.5	3.8	5.9	7.5	7.6	7.0	7.3	9.3	9.5	8.8	7.7	6.2	4.9	5.0	3.2	2.1	1.0

Source: Haver Analytics, Barclays Research

EMERGING EUROPE, MIDDLE EAST & AFRICA DATA REVIEW & PREVIEW

Zalina Alborova, Barclays, UK | Ercan Erguzel, Barclays, UK | Michael Kafe, Barclays, UK | James Swanston, Barclays, UK

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
Russia: Budget level YTD, RUB bn	Aug	-6454.8	-	-5795.0	2.5% of GDP.
Angola: CPI, % y/y	Aug	9.3	9.5	8.8	Decelerating food and stable FX.
Hungary: Industrial production, wda, % y/y	Jul	4.1	-	4.7	Gradual recovery continues.
Czechia: Trade balance, € bn	Jul	13.4 R	-	-8.5	Deterioration in part due to terms of trade.
Russia: Official reserve assets, \$ bn	Aug	720.3	-	769.0	Revaluation effects.
Hungary: CPI, % y/y	Aug	1.2	-	1.3	Core CPI remains stable around 2% y/y.
South Africa: GDP, % q/q	Q2	0.4 R	-0.3	-0.2	Growth contracted on weaker mining, manufacturing and retail. This was partially offset by positive surprises in construction, transport and govt services.
South Africa: GDP, % y/y	Q2	1.9	0.9	0.9	
Poland: Repo rate, %	Sep	3.75	3.75	3.75	The NBP published a balanced statement.
Ghana: GDP, % y/y	Q2	6.4	5.6	6.0	Decelerating, but services remain strong.
Ukraine: Final GDP constant prices, % y/y	Q2	0.6	-	0.4	Revised to the downside amid additional incoming statistics on local budgets, current account and communications sector.
Ukraine: CPI, % y/y	Aug	7.7	-	8.1	Slowed by 0.2pp to 0.1% m/m.
Egypt: CPI, % y/y	Aug	14.9	16.3	14.5	Inflation surprised to the downside again, but remains above target range. Rates on hold for now.
Czechia: Final CPI, %y/y	Aug	1.9	-	1.9	Core CPI remains high at 3.0% y/y.
Turkiye: Industrial production, wda, % y/y	Jul	-1.3 R	-	-0.3	Some slowdown in July after a strong Q2.
South Africa: Current account, % GDP	Q2	2.3 R	-1.5	-2.6	Large dividend and coupon interest outflows.
South Africa: Mining output, sa, % m/m	Jul	0.1 R	0.2	-1.9	Sharp contraction in gold, platinum, and diamonds.
South Africa: Manufacturing production, sa, % m/m	Jul	0.8 R	0.4	2.2	Strong jump in food (mostly beverages), textiles, basic iron and steel.
Turkiye: One-week repo rate, %	Sep	37.00	37.00	37.00	CBT maintained its cautious tone.
Romania: Headline CPI, % y/y	Aug	8.2	-	6.2	Driven by base effects due to last year's tax hikes.
Turkiye: Current account, \$ bn	Jul	-4.3 R	-	0.0	High energy prices are likely to widen external imbalances.
Russia: One week auction rate, %	Sep	14.00	14.00	14.00	Pause in easing cycle amid increased inflation pressure and risks.
Russia: Trade balance, \$ bn	Jul	12.5	-	13.6	19.7% y/y (4% m/m) growth in exports vs 21.4% y/y (1.6% m/m) growth in imports.

Preview of upcoming data

Monday, 14 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
09:00	Czechia: Current account, € bn	Jul	1.2	-38.3	-80.5	-	-35.0
13:00	Poland: Current account, € bn	Jul	-1.5	-1.1	-2.2	-	-2.5
13:00	Poland: Trade balance, € bn	Jul	-2.0	-1.2	-1.5	-	-1.7
Tuesday, 15 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
-	Saudi Arabia: CPI, % y/y	Aug	1.8	1.8	1.8	1.9	-
-	Nigeria: CPI, % y/y	Aug	15.9	15.9	15.4	15.3	-
08:30	Poland: Final CPI, % y/y	Aug	2.5	3.0	3.4	3.4	3.4

11:00	Israel: Unemployment rate, %	Aug	2.9	2.9	3.1	-	-
15:00	Angola: Benchmark interest rate, %	Sep	17.00	15.75	15.75	15.25	-
16:30	Israel: CPI, % y/y	Aug	1.9	1.6	1.6	1.6	1.6

Saudi Arabia: We estimate that both food and energy inflation rose in August, though think that core price pressures were broadly unchanged. All told, we forecast that Saudi CPI edged up to 1.9% y/y in August.

Israel: We expect August CPI to remain below the mid-point of the 1-3% target range, with the September print likely to carry greater significance for the BoI as it will be released just days before both the October MPC meeting and the elections. Our base case remains that the BoI stays on hold until next year. That said, the situation remains highly fluid. Should polls begin to point to an opposition victory and the shekel resume its appreciation trend, the case for a rate cut this year would strengthen materially. Overall, the elections remain the key focal point for both the Israeli economy and the BoI.

Angola: With inflation now firmly in single digits, we expect the MPC to deliver a cautious 50bp cut

Wednesday, 16 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
-	Uzbekistan: Key rate, %	Sep	14.00	14.00	14.00	-	-
07:30	Hungary: Average gross wages, % y/y	Jul	9.0	8.7	7.1	-	7.7
11:00	Israel: Preliminary GDP, % saar q/q	Q2	2.9	-2.2	15.4	-	-
11:00	Israel: Current account, \$ bn	Q2	0.8	3.8	-0.1	-	-
12:00	South Africa: Retail sales constant, sa, % m/m	Jul	0.8	0.0	-0.6	0.4	0.7
13:00	Poland: CPI core, % y/y	Aug	3.1	3.0	3.1	3.2	3.3
17:00	Russia: PPI, % y/y	Aug	9.4	10.5	6.6	-	-

Thursday, 17 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
09:00	South Africa: BER consumer confidence index	Q3	-9.0	-7.0	-19.0	-10.0	-
12:00	Ukraine: Key rate, %	Sep	15.00	15.50	15.50	-	-
13:30	Czechia: Policy rate, %	Sep	3.75	3.75	3.75	3.75	3.75

Czechia: We expect the CNB to remain on hold at 3.75%. Although August CPI stayed subdued at 1.9% y/y, core CPI remained high at 3.0% y/y, at the upper bound of the CNB's tolerance band. Combined with elevated energy prices, this is likely to keep the CNB's hawkish bias intact and reinforce its focus on upside inflation risks. Speaking to Reuters, Deputy Governor Zamrazilova said she sees little reason to raise rates at the September meeting, although she left the door open for a hike in November, depending on incoming data.

Friday, 18 September		Period	Prev 2	Prev 1	Latest	Forecast	Consensus
8:30	Poland: Sold industrial output, % y/y	Aug	4.1	7.4	5	-	7.1

Note: All times reported are BST. Consensus figures are taken from Bloomberg.
Source: Bloomberg, Haver Analytics, Barclays Research

Latin America Outlook

A perilous boy

El Niño is expected to have an inflationary effect across most of the region mainly through food and electricity prices. Idiosyncratic factors will determine whether this shock will require a reaction from central banks.

- Inflation has moderated in **Brazil** recently, though in part thanks to some favorable seasonality in food prices and a temporary discount to electricity bills. We expect some of these factors to be reversed in the coming months, but for now maintain our IPCA forecast of 4.9% for 2026 and 4.0% for 2027, with upside risks. We have already incorporated some 20bp of upward pressure into our 2026 IPCA headline forecast, due to higher food prices in Q4 caused by El Niño, but this estimate could quickly double depending on the severity of the disruptions. We expect the BCB to reduce the Selic rate 25bp for a fifth consecutive meeting on Wednesday (16 September), to 13.75%, as economic data continue to point toward moderation in growth.
- In **Mexico**, we expect inflation is likely to face upward pressure in the coming months from at least three sources: El Niño in Q4 2026 and Q1 2027, a potential double-digit increase in the minimum wage for a tenth consecutive year, and lagged effects from the tariffs the Mexican government imposed on imports from non-FTA countries. We continue to expect headline inflation to increase towards 4.10% for YE26 (2027: 3.80%) and Banxico to keep the reference rate on hold for the foreseeable future.
- In **Colombia**, August inflation surprised to the upside driven mainly by food. Additional pressures came from energy prices, which may be already reflecting the effects of El Niño, as power generators anticipate lower rainfall levels affecting the country's hydroelectric-dominated power system. Even if the pressures in the headline print could maintain the risk of one additional hike by Banrep, core has stabilized, which could support the pause of the hiking cycle.
- In **Argentina**, the August inflation print was the lowest since June 2025. We expect the 1.5% threshold to be difficult to pierce, as the literature suggests inertia becomes the primary determinant of inflation around those levels and part of higher global oil prices will likely be passed down to the local economy. We don't expect disinflation to boost Milei's popularity in this context, and see activity and labor market dynamics as a more binding political constraint
- In **Chile**, August inflation surprised to the upside due to high food inflation. Core services are running above 4%, the oil shock will add further pressures from volatiles if persistent, and El Niño introduces risks stemming from food prices. Economic activity has been weak and likely needs to improve for the BCC to shift to a more hawkish communication. That is in our baseline; we expect 25bp hikes in December and March. **Peru** is the most vulnerable country in the region to El Niño and its effects are starting to be seen, challenging the BCRP's capacity to maintain its current policy stance. The bank still seems comfortable with the current

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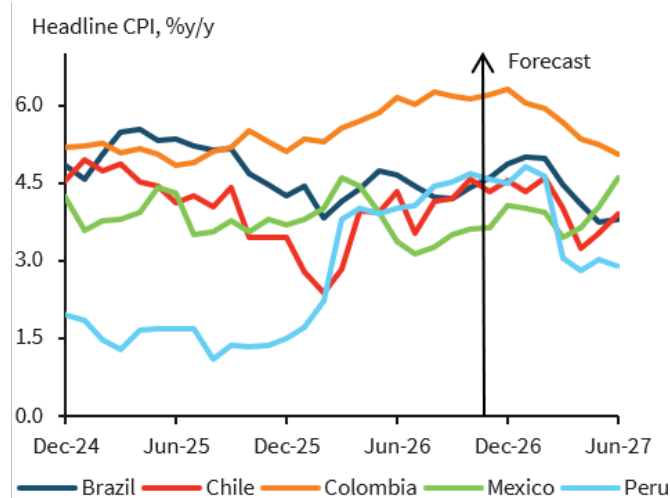
monetary stance even with headline inflation deviating further from the target, but some hawkish hints in the latest BCRP post-meeting release suggest space for hikes down the road.

The El Niño-Southern Oscillation is a recurring climate cycle driven by changes in sea surface temperatures across the tropical Pacific Ocean. El Niño represents the warm phase, while La Niña is the cool phase. These events typically develop in the spring, peak during the winter months,¹⁷ and occur every two to seven years.

During El Niño, warmer-than-normal waters in the eastern Pacific alter atmospheric pressure patterns, increasing rainfall in countries such as Peru and Ecuador while raising the risk of drought in Indonesia, India, and northern Australia. La Niña generally produces the opposite effects. The influence of El Niño and La Niña extends far beyond the Pacific Basin, affecting weather patterns, agriculture, water resources, and economic activity around the world.

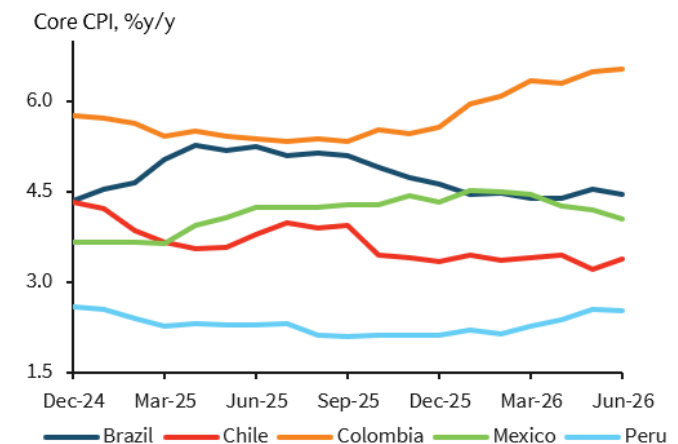
Scientists monitor these events using indicators such as the Oceanic Niño Index (ONI) and forecasting models developed by institutions including Columbia University's International Research Institute for Climate and Society. Research suggests that climate change may be increasing both the frequency and severity of this cycle, making the phenomenon an increasingly important factor for governments, businesses, and financial markets. We analyze recent inflation dynamics in the region and take a look at the different effects El Niño could have in each country.

FIGURE 1. Headline inflation has risen substantially across the region amid the oil shock



Source: National Statistics Institutes, Barclays Research

FIGURE 2. The effect in core prices has been milder for now



Source: National Statistics Institutes, Barclays Research

Inflation has moderated in **Brazil** in recent weeks, in part thanks to some favorable seasonality in food prices and a temporary discount on electricity bills, which resulted in a [monthly deflation of 0.32% m/m in August](#). We expect some of these factors to be reversed in the coming months, but for now maintain our IPCA forecast of 4.9% for 2026 and 4.0% for 2027. We see potential upside risks to both figures due to disruptions from what is widely expected to be a very strong El Niño later this year, which could be aggravated by the possibility of shortages and/or price spikes in fertilizers as the beginning of the main planting season approaches (September-October), considering that import volumes are trailing recent historical data, which could affect the productivity of important crops into 2027 (see [Middle East conflict's impact on](#)

¹⁷ Of the northern hemisphere

[LatAm crop yields](#), 21 May 2026). The increasing probability of a very strong El Niño in the coming months could lead to disruptive weather conditions that could affect food and electricity prices. In Brazil, the phenomenon typically causes increased rain in the south and drought conditions in the north, which could initially affect shorter-cycle crops of perishables in Q4 26 and potentially lead to additional losses in 2027 if grains are also affected (possibly corn more than soy, which would eventually affect protein prices as well, due to higher animal feed costs). The most recent very strong El Niño occurred in 2015-16, which caused food-at-home prices in Brazil to accelerate significantly in Q4 15 and Q1 16, rising a cumulative 11.4% over those six months (though significant BRL weakness at the time due to a political crisis likely exacerbated those movements, making it harder to disentangle each individual factor). We have already incorporated some 20bp of upward pressure into our 2026 IPCA headline forecast, due to higher food prices in Q4, but, depending on the severity of the disruptions, this estimate could quickly double.

Separately, we expect the BCB to reduce the Selic rate 25bp for a fifth consecutive meeting on Wednesday (16 September), to 13.75%. Economic data continue to point toward moderation in growth, some loss of momentum in the labor market and relatively benign inflation figures in the short term, notwithstanding the presence of relevant upside risks to prices in the coming quarters. Since the previous meeting, in early August, inflation expectations are broadly unchanged, as is the average BRL, but average oil prices rose about 5%. This could add some modest pressure to the BCB's inflation forecast for the relevant horizon for monetary policy (Q1 28), last reported at 3.2%, potentially causing it to depart further from the 3% target; however, it is possible that such pressure could be offset with a reassessment of the output gap following the latest GDP release. As in previous meetings, we do not expect any specific guidance from the board with regard to its future steps, considering the fluidity of the external and domestic scenarios. We believe the board is unlikely to explicitly close the door to another reduction in November, but also find it unlikely that it would plainly indicate that another cut is forthcoming at this point. Following weaker-than-expected Q2 GDP data, as well as relatively benign core inflation readings in the short term, we see growing chances that additional 25bp cuts could materialize in upcoming meetings, which thus poses downside risks to our year-end Selic forecast of 13.75%. In any case, presidential elections are being held in October, and the lack of clarity on the outcome, as well as on any plans for fiscal consolidation in the next administration, reduce our visibility at the moment.

In **Mexico**, consumer prices, released by INEGI during the week, posted a monthly increase of 0.20% in August. This was below consensus for a rise of 0.26%, but closer to our own projection of 0.22%. Core inflation came in at 0.16% m/m, also below consensus for a rise of 0.20% (Barclays: 0.18%). These monthly prints yielded a 12-month headline inflation of 3.26% in August, above last month's 3.12%. Core inflation slightly declined to 3.88%, from 3.95% before. In our view, the only issue worth highlighting from this inflation print, besides headline inflation remaining close to the central bank's target, is that agricultural prices continued to gradually rebound, particularly for onions and eggs. This is in line with our view that inflation is likely to face upward pressure in the coming months from at least three sources: (1) El Niño in Q4 2026 and Q1 2027, the effects of which could be amplified by fresh fruit and vegetable prices currently running below their mean-reverting path; (2) a potential double-digit increase in the minimum wage for a tenth consecutive year; and (3) lagged effects from the tariffs the Mexican government imposed on imports from non-FTA countries at the beginning of the year. In this context, we continue to expect headline inflation to increase towards 4.10% for YE26 (2027: 3.80%), and core to trend upwards to 4.00% at the end of 2026 (2027: 3.60%). In our view, this is consistent with Banxico's decision to push back the convergence of inflation to target to Q4 2027 from Q2 2027 previously, and board members' repeated emphasis that the policy rate is currently at an appropriate level. As a result, we continue to believe Banxico will keep the reference rate on hold for the foreseeable future.

On the specific effects of El Niño on Mexico's CPI, [Arellano, et al \(2023\)](#) mention that temperature shocks affect Mexican vegetable prices in a crop-specific way, and the paper shows that cool-weather crops — lettuce/cabbage (CPI weight: ~0.14%) and cucumber (~0.1%) — are especially vulnerable to heat, experiencing sharp yield losses and strong price increases when temperatures rise above their optimal range. In contrast, warm-weather crops such as onion (~0.24%) and potato (~0.32%) are more sensitive to cold spells, so heat shocks generate comparatively smaller price effects for these items. This asymmetry reflects biological thresholds: crops adapted to cooler climates suffer acute stress under heat waves, while warm-weather crops tolerate high temperatures better but are damaged when temperatures drop. During El Niño, Mexico typically experiences temperature anomalies of about +1 to +2 standard deviations, enough to push several vegetables' growing conditions into damaging temperatures. The authors quantify these effects using a 2-standard-deviation heat shock, which is consistent with the upper range of anomalies observed during strong El Niño episodes in northern Mexico (especially December–March, when El Niño brings warmer-than-normal conditions to Sinaloa, Sonora, Baja California, and Chihuahua). The immediate price response is strongest for zucchini (CPI weight: ~0.15%): +3.7%, chili peppers (~0.23%): +3.3%, and husk tomatoes (~0.15%): +3.2%, all of which are grown extensively in northern states during the winter growing season (November–March). For tomato (~0.8%), the effect unfolds with lags: prices rise +5.6% one month after the shock, +2.5% after two months, and +9.2% after three months, reflecting heat stress during early growth stages in December–February, when El Niño's warm anomalies peak. Other vegetables — cucumber, lettuce/cabbage, and potato — also exhibit significant lagged increases over the first three months following the shock, especially when heat anomalies occur during January–March, their critical cool-season growth window.

August inflation in **Colombia** was 0.39% m/m, exceeding the consensus expectation (0.29%) and our forecast (0.18%), with a mix of factors pointing in opposite directions. The upside deviation from forecasts was driven mainly by food, which increased 0.71% m/m. Part of this increase may reflect supply disruptions related to the earthquake that affected the country last month and could revert in the coming months. Additional pressures came from energy prices, which increased 0.74% m/m and may be beginning to reflect the effects of El Niño, as power generators anticipate lower rainfall levels that could affect Colombia's hydroelectric-dominated power system. Other sources of pressure included entertainment, particularly tourism packages, which increased 1.01% m/m, and air transportation, which increased 4.88% m/m, but this might be seasonal. In contrast, the COP remains strong, which has continued to contain price pressures, which is reflected in a decline in the durable goods component of 0.37% m/m.

CPI excluding the volatile food component increased 0.32% m/m, broadly in line with expectations (0.30%). Excluding energy, it was even lower (0.27%). As a result, although headline inflation rebounded to 6.25% y/y in August, core inflation excluding food and energy stood at 6.56% y/y and has remained broadly stable over the past four months. Therefore, even if the pressures in the headline print could maintain the risk of one additional hike by Banrep, the stabilization of the core could be an argument in favor of the majority of the bank board that has decided to pause the hiking cycle (See [Colombia: A hawkish headline, a dovish core](#)).

In **Argentina**, the August inflation print was the lowest since June 2025. We expect the 1.5% threshold to be difficult to pierce, as the literature suggests inertia becomes the primary determinant of inflation around those levels. We don't expect disinflation to boost Milei's popularity in this context, and see activity and labor market dynamics as a more binding political constraint (more details on the latter in [this](#) piece we published today).

August inflation came at 1.7% m/m, taking annual inflation slightly down to 33.5% from 33.8%. Core was at 1.8% m/m and the 3m annualized gauge is running at 23%, the lowest since early 2018. What we're seeing now is the reversal of the process that took place between April and

October of last year, when the REER weakened 25%, adding pressures to inflation from the tradable side. Since the midterms, FX has been better behaved and has strengthened around 15% in real terms, which is driving inflation down. Goods (which track tradables more closely) rose 1.4% m/m in August, with services a higher 2.0%. This category was running at a 3m annualized pace of 38% in March 2026. Now, it is at a much lower 19%. Services, that anchor to past inflation, have also come off to 37% from 56% in March.

However, space for the currency to appreciate further is limited, in our view. On the contrary, the BCRA is selling hedges and decelerating the pace of USD purchases to contain upward FX pressures. El Niño typically does not have a relevant inflation effect in Argentina, as it increases rains in the Pampas, with a favorable effect on agricultural productivity. An extreme event could have an inflationary effect if it produces severe floods but this is not our baseline. A factor that does pose an additional challenge for inflation dynamics is oil prices. Currently, local prices are well below parity, with Brent at 104 and crack spreads at high levels. This implies pipeline pressures as YPF is likely to pass down part of the gap. In this context, we don't see clear drivers for a strong disinflation in the coming months and expect prints to oscillate between 1.5% and 2% through the end of the year, as inertia becomes the main determinant left.

In **Chile**, August inflation surprised to the upside due to high food inflation. Core services are running above 4%, the oil shock will add further pressures from volatiles if persistent, and El Niño introduces risks stemming from food prices. Economic activity has been weak and that likely needs to improve for the BCCh to shift to a more hawkish communication. That is in our baseline; we expect 25bp hikes in December and March.

Headline CPI was above expectations in August, with monthly inflation at 0.6% and annual inflation rising to 4.1% from 3.8%. We adjusted our year-end inflation forecast to 4.3%, from 4.0%. Food rose 1.4% m/m and contributed 32bp to the monthly headline print, affected by heavy rains that compromised productivity. Transport added 20bp to headline inflation, as renewed tensions in the Middle East led to higher domestic fuel prices. Services inflation remained high. Core inflation came in at a lower 0.1% m/m, helped again by core goods (-0.1% m/m). The annual print rose slightly to 3.3%, from 3.2%. Core services inflation remains high, unchanged at 4.3% in August. For reference, core services averaged 3.7% in 2016-19, when headline averaged 3.0%. Empirical [estimates](#) suggest that stronger El Niño episodes are associated with an increase in headline inflation, particularly through climate-sensitive food categories such as fruits and vegetables. Sequential shocks to headline are likely to keep core services high as wage contracts incorporate past inflation. Core goods are import-intensive, so the CLP strengthening that took place into the presidential election (from 970 in September to 850 in February) contributed to lower core inflation even as core services remained high. Since March, the CLP has been volatile alongside Hormuz news and is now back at 930. This will likely mean less help from core goods in the coming quarters.

Inflation dynamics, coupled with policy rates close to BCCh's neutral estimate, point to hikes on the horizon, but the timing would be determined by economic activity. News on this front has been negative over the past few months. In Q2, all components of internal demand have been weak. Consumption decelerated to 1.2% y/y (from 2.5%), gross fixed investment was flat (construction contracted 2.4% y/y, while machinery & equipment expanded 3.7%) and public consumption decelerated to 1.8%, from 3.2%. The July GDP proxy did not show clues of improvement, with the non-mining Imacec contracting 1% y/y. We continue to expect two 25bp hikes, in December and March, but an improvement in economic activity will likely be needed for the BCCh's communication to turn more hawkish. Why is this our base case? Real wages have been growing at a rather strong 3% over the last five months, while terms of trade remain at record levels (at odds with below-potential growth). Public spending execution has been low, but the latest fiscal numbers suggest space to increase spending while keeping the deficit close

to 2% of GDP. The approval of the Reconstruction law should liberate some withheld investment projects and the stimulus to residential investment should translate to better performance at the margin.

Peru is the most vulnerable country in the region to El Niño and its effects are starting to be seen, challenging the BCRP's capacity to maintain its current policy stance. Inflation has continued to move away from the target range (2.0% +/-1pp) in August, reaching 4.44%. Nonetheless, the BCRP kept its policy rate unchanged at 4.25% at its September 10 meeting, in line with consensus and our expectations. Despite the inflation pressures, the bank still seems to remain comfortable with its current monetary stance as it continues to see these pressures as transitory, mainly explained by higher fuel prices, and their pass-through to transportation costs earlier this year. Nonetheless, the statement could be seen as slightly hawkish. While BCRP maintains its view that inflation will converge back to target in the policy horizon, it highlighted the recent increase in headline inflation, slightly higher inflation expectations, and potential inflationary risks from El Niño and geopolitical developments. In our view these are factors, together with the possibility of a rate hike by the Fed, that could push the bank to make a 25bp hike of the policy rate before the end of the year and another one in Q1-27. For now, the bank's guidance remains data dependent.

LATIN AMERICA DATA REVIEW & PREVIEW

Gabriel Casillas BCI, US | Alejandro Arreaza BCI, US | Nestor Rodriguez BCI, US |
Roberto Secemski BCI, US | Ivan Stambulsky BCI, US

Review of last week's data releases

Main indicators	Period	Previous	Barclays	Actual	Comments
Colombia: CPI inflation, % m/m (y/y)	Aug	0.16 (6.02)	0.18 (6.02)	0.39 (6.24)	August inflation was 0.39% m/m, exceeding the consensus (0.29%), driven mainly by food prices. However, the stabilization of core inflation (ex-food and energy) and the expectation of fiscal tightening could keep Banrep on hold. August CPI came above expectations due to high food inflation. Food added 32bp to the headline print. Core inflation was lower at 0.1% m/m, but the annual print went up slightly to 3.3% from 3.2%. Non-tradables, more reflective of underlying inflation dynamics in our view, also accelerated. The monthly print came at 0.6% m/m, taking the annual metric to 4.7%, from 4.3% (for reference: in 2016-19 it averaged 3.4%). The main takeaway of this print is that inflation remains uncomfortably high, with sequential supply shocks adding to already high starting-point services inflation. We don't expect the BCCh to shift to a more hawkish communication yet, as activity economic activity is weak, but we keep our baseline of hikes in December and March as we expect a rebound to take place.
Chile: CPI inflation, % m/m (y/y)	Aug	0.10 (3.50)	0.30 (3.80)	0.60 (4.10)	Weak early activity indicators for July confirm there's no firm rebound in economic activity underway. Construction contracted 4.5% y/y. It's 1.7% above 2025 for Jan-July and 23% below 2023. Manufacturing contracted 4.9% y/y, 2.6% in Jan-July and is 12% below 2023. The main reason behind poor non-primary economic activity performance is an overvalued REER in our view. Part of the contraction in manufacturing is explained by trade liberalization (like textiles), but decently competitive manufacturing sectors (like food production) are contracting or flat as well. Depressed construction is clear marker, as construction should be expanding in a normalizing environment.
Argentina: Industrial production, % y/y	Jul	2.0	-	-4.9	The BCCh stayed on hold, as widely expected. The release reflected that the board is comfortable with rates on hold for now. On the activity front, the release underscores an underwhelming performance but still-favorable prospects. On the inflation side, the release mentions that risks have moved alongside the Hormuz news and that recent developments have intensified them. On balance, inflation risks are relevant, but economic activity is weak and could remain weak, a backdrop that warrants a hold from the board's perspective. Our base case is that economic activity will indeed pick up in 2H while inflation remains high, so we maintain our call for hikes in December and March.
Chile: Overnight rate target, %	Sep	4.50	4.50	4.50	Inflation came in slightly below expectations but confirmed a rebound in annual headline inflation as agricultural prices normalize while core inflation remains relatively stable. We expect further pressures from El Niño, wages and tariffs and expect headline inflation to increase towards 4.10% for YE26 (2027: 3.80%), and core to trend upwards to 4.00% at the end of 2026 (2027: 3.60%). This supports a prolonged Banxico pause at 6.50%.
Mexico: CPI inflation, % m/m (y/y)	Aug	0.03 (3.12)	0.22 (3.28)	0.20 (3.26)	

Main indicators	Period	Previous	Barclays	Actual	Comments
Mexico: CPI core inflation, % m/m (y/y)	Aug	0.23 (3.95)	0.18 (3.91)	0.16 (3.88)	
Ecuador: Trade balance, USD mn	Jul	195.0	-	504.4	
Brazil: Services sector indicator, % y/y	Jul	2.2	-	0.9	Services were flat (0.0% m/m) in July, from +0.1% in June, with the relevant household segment rising 0.5% m/m after falling 1.4% the prior month. The carryover for Q3 26 stands at 0.0% q/q, from 0.4% in Q2.
Argentina: CPI inflation, % m/m (y/y)	Aug	2.11 (33.83)	1.7 (33.6)	1.7 (33.5)	What we're seeing now is the reversal of the process that took place between April and October of last year, when the REER weakened 25%, adding pressures to inflation from the tradable side. Since the midterms, the FX has been better behaved and has strengthened around 15% in real terms, which is driving inflation down (goods, which track tradables more closely, rose 1.4% m/m in August, with services a higher 2.0%). Going forward, we expect the 1.5% threshold to be difficult to pierce, as the literature suggests inertia becomes the primary determinant of inflation around those levels. We don't expect disinflation to boost Milei's popularity in this context, and see activity and labor market dynamics as more binding political constraints. Lower inflation should support real wages and consumption at the margin, but we do not expect a forceful recovery.
Peru: Reference rate, %	Sep	4.25	4.25	4.25	
Brazil: IPCA inflation, % m/m (y/y)	Aug	0.07 (4.44)	-0.31 (4.23)	-0.32 (4.22)	The IPCA monthly deflation was helped by a temporary discount to electricity, which will be reversed in September. Core measures generally continued to improve, though still at high levels. We expect another 25bp Selic cut next week, with rising chances for the "calibration" to continue after that.
Mexico: Industrial production, % m/m (y/y)	Jul	0.2 (1.7)	0.1 (1.8)	0.5 (2.7)	The increase was mainly driven by a 0.9% expansion in construction and a 0.7% rise in manufacturing activity. In our view, construction has been supported primarily by a rebound in investment while resilient consumer demand in the US and the significant rebound in the global manufacturing cycle have continued to provide an important boost to Mexico's manufacturing activity. Overall, these figures are consistent with our above-consensus growth forecast of 1.5% for this year (consensus: 1.3%).

Preview of upcoming data

Tuesday 15 Sep		Period	Prev-3	Prev-2	Prev-1	Forecast	Consensus
-	Uruguay: GDP, % y/y	Q2	1.0	0.1	0.9	-	-
08:00	Brazil: Retail sales, % y/y	Jul	1.0	0.4	2.9	-	-
11:00	Peru: Unemployment rate, %	Aug	5.0	4.9	4.7	-	-
11:00	Peru: Economic activity index, % y/y	Jul	3.8	2.2	1.8	2.9	1.8
Wednesday 16 Sep		Period	Prev-3	Prev-2	Prev-1	Forecast	Consensus
07:30	Chile: Central Bank Meeting minutes	Sep	-	-	-	-	-
08:00	Brazil: BCB's Economic activity, % m/m (y/y)	Jul	1.2 (0.3)	0.9 (0)	2.4 (-0.6)	-	-
11:00	Colombia: Manufacturing production, % y/y	Jul	1.7	-0.4	4.1	0.5	-
11:00	Colombia: Retail sales, % y/y	Jul	14.9	11.7	14.7	6.9	-
17:30	Brazil: Selic overnight rate, %	Sep	14.50	14.25	14.00	13.75	13.75

Chile - Central Bank Meeting minutes: We expect the minutes to reaffirm the messages condensed in the Sep IPoM. The board is comfortable with rates on hold under current conditions. A last cut to neutral is in practice off the table as inflation risks have increased with the re-escalation of the US-Iran conflict, but weak economic activity prevents a proactive hawkish reaction.

Brazil - Selic overnight rate: We expect the BCB to reduce the Selic rate 25bp for a fifth consecutive meeting, to 13.75%. Economic data continue to point toward moderation in growth, some loss of momentum in the labor market and relatively benign inflation figures in the short term, notwithstanding the presence of relevant upside risks to prices in the coming quarters. Since the previous meeting in early August, inflation expectations are broadly unchanged, as is the average BRL, but average oil prices rose about 5%. This could add some modest pressure to the BCB's inflation forecast for the relevant horizon for monetary policy (Q1 2028), last reported at 3.2%, potentially causing it to depart further from the 3% target; however, it is possible that such pressure could be offset with a reassessment of the output gap following the latest GDP release. As in previous meetings, we do not expect any specific guidance from the board with regard to its future steps, considering the fluidity of the external and domestic scenarios. We believe the board is unlikely to explicitly close the door to another reduction in November, but also find it unlikely that it would plainly indicate that another cut is forthcoming at this point. Following weaker-than-expected Q2 GDP data, as well as relatively benign core inflation readings in the short term, we see growing chances that additional 25bp cuts could materialize in upcoming meetings, which thus poses downside risks to our year-end Selic forecast of 13.75%. In any case, presidential elections will be held in October and the lack of clarity on the outcome, as well as on any plans for fiscal consolidation in the next administration, reduce our visibility at the moment.

Thursday 17 Sep		Period	Prev-3	Prev-2	Prev-1	Forecast	Consensus
15:00	Argentina: GDP, % y/y	Q2	3.2	2.2	2.3	-	-
Friday 18 Sep		Period	Prev-3	Prev-2	Prev-1	Forecast	Consensus
-	Argentina: Budget balance, ARS bn	Aug	930.3	632.8	2960.3	-	-
08:00	Mexico: Aggregate supply & demand, % y/y	Q2	1.4	4.6	5.0		-
11:00	Colombia: Economic activity, %y/y	Jul	1.3	3.9	3.5	2.0	-
15:00	Argentina: Trade balance, USD mn	Aug	3.4	2.2	2.1	-	-

Source: Bloomberg, Barclays Research

BRAZIL SNAPSHOT

Roberto Secemski BCI, US

	2025				2026				2027				Calendar year average		
% change q/q saar	Q1	Q2	Q3	Q4	Q1	Q2	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q saar)	5.1	1.4	0.4	1.0	4.4	1.9	1.0	-0.4	2.9	0.3	1.4	1.4	2.3	2.0	1.4
Private consumption	1.0	3.2	-0.2	0.4	3.4	-1.8	2.0	0.6	1.1	1.3	1.4	1.4	1.3	1.7	1.0
Investment	9.1	-7.2	3.0	-14.4	14.4	4.9	2.0	0.8	-1.6	-1.2	1.2	2.8	2.9	1.5	0.9
Net exports (contr, % y/y)	...	...	...	...	...	...	...	...	...	...	...	...	0.2	0.0	0.1
Industrial output (% q/q saar, pa)	-0.7	0.0	1.6	-2.6	5.6	1.4	-2.4	1.0	1.6	1.4	0.5	1.7	0.8	1.1	0.8
CPI inflation (% y/y, EOP)	5.5	5.4	5.2	4.3	4.1	4.6	4.3	4.9	4.5	3.9	4.4	4.0	4.3	4.9	4.0
CPI inflation (% y/y)	5.0	5.4	5.2	4.5	4.1	4.6	4.3	4.7	4.9	3.9	4.3	4.2	5.0	4.4	4.3
Unemployment rate (%)	6.3	5.9	5.8	5.4	5.4	5.5	5.6	5.8	6.2	6.4	6.5	6.6	5.8	5.6	6.4
Key central bank rate (% EOP)	14.25	15.00	15.00	15.00	14.75	14.25	13.75	13.75	13.75	13.00	12.00	12.00	15.00	13.75	12.00
Current account (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-2.9	-2.1	-2.0
Government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-8.3	-8.9	-8.5
Gross public debt % GDP	...	...	...	...	...	...	...	...	...	...	...	...	78.6	82.7	86.6
Gross external debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	33.6	29.8	28.7

Note: FY End

Source: IBGE, BCB, National Treasury, Barclays Research

MEXICO SNAPSHOT

Gabriel Casillas BCI, US

	2025				2026				2027				Calendar year average		
% change q/q saar	Q1	Q2	Q3	Q4	Q1E	Q2E	Q3E	Q4E	Q1E	Q2E	Q3E	Q4E	2025	2026E	2027E
Real GDP (% q/q saar)	3.1	-0.1	-0.4	3.8	-1.4	5.8	0.4	1.6	2.5	1.2	1.7	3.2	...	...	...
Real GDP (% y/y)	0.6	-0.1	-0.2	1.7	0.2	2.1	2.1	1.6	2.6	1.4	1.7	2.1	0.5	1.5	2.0
Private consumption	2.1	5.1	4.0	3.9	-3.1	5.8	5.8	4.0	2.6	4.1	3.2	4.9	1.2	2.8	4.0
Public consumption	-0.8	1.9	0.6	4.1	6.6	-0.5	-1.9	-1.6	4.1	0.4	3.7	5.8	1.3	2.2	1.3
Investment	-11.9	-1.5	-3.9	1.2	-7.5	-2.2	19.1	12.7	6.3	3.4	1.1	9.1	-6.3	0.2	7.3
Net exports (contr, % y/y)	...	...	...	...	...	...	...	...	...	...	...	...	0.9	0.0	7.6
Industrial production (% y/y)	-1.2	-0.5	-2.5	0.3	-0.8	0.9	2.0	1.1	2.0	0.8	1.0	1.1	-1.0	0.8	1.2
CPI inflation (% y/y, EOP)	3.8	4.3	3.8	3.7	4.6	3.4	3.5	4.1	3.4	4.6	4.7	3.8	3.7	4.1	3.8
CPI inflation (% y/y)	3.7	4.2	3.6	3.7	4.1	3.9	3.3	3.8	3.8	4.1	4.8	4.2	3.8	3.8	4.2
Unemployment rate (%)	2.6	2.7	2.6	2.6	2.6	2.8	3.2	3.4	3.4	3.6	3.5	3.5	2.6	3.0	3.5
Key central bank rate (% EOP)	9.00	8.00	7.50	7.00	6.75	6.50	6.50	6.50	6.50	6.50	6.50	6.50	7.00	6.50	6.50
Current account (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-0.5	-0.5	-0.3
Government balance (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	-4.3	-4.3	-3.9
Gross public debt % GDP	...	...	...	...	...	...	...	...	...	...	...	...	52.6	54.6	55.5
Gross external debt (% GDP)	...	...	...	...	...	...	...	...	...	...	...	...	34.7	29.3	30.5

Note: Government balance is Public sector borrowing requirements (PSBR) and for Public debt is the historical balance of PSBR.

Source: INEGI, Banxico, SHCP, Barclays Research

Global Economics Weekly

Key Global Data

A summary of forthcoming data releases and market-moving events, including Barclays forecasts.

- [Global Rates and Inflation](#)
- [Global Weekly Calendar](#)
- [Global Key Events](#)

Global Rates and Inflation

Central Bank Rates

	Start of cycle				Next move expected	Forecasts			
	Current	Date	Level#	Last move		Q3 26	Q4 26	Q1 27	Q2 27
Advanced									
Fed funds rate	3.50-3.75	Easing: 18 Sep 24	5.25-5.50	Dec 25 (-25)	Sep 26 (+25)	3.75-4.00	4.00-4.25	4.00-4.25	4.00-4.25
BoJ: Uncollateralized overnight call rate	1.00	Tightening: 19 Mar 24	-0.10	Jun26 (+25)	Sep 26 (+25)	1.25	1.25	1.50	1.50
ECB main refinancing rate	2.65	Tightening: 11 Jun 26	2.15	Sep 26 (+25)	Dec 26 (+25)	2.65	2.90	2.90	2.90
ECB deposit facility rate	2.50	Tightening: 11 Jun 26	2.00	Sep 26 (+25)	Dec 26 (+25)	2.50	2.75	2.75	2.75
BOE bank rate	3.75	Easing: 01 Aug 24	5.25	Dec 25 (-25)	Beyond 2027	3.75	3.75	3.75	3.75
RBA cash rate	4.35	Tightening: 03 Feb 26	3.60	May 26 (+25)	Sep 26 (+25)	4.60	4.60	4.60	4.60
RBNZ cash rate	2.75	Tightening: 08 Jul 26	2.25	Sep 26 (+25)	Oct 26 (+25)	2.75	3.00	3.00	3.00
Swiss National Bank: Policy rate	0.00	Easing: 21 Mar 24	1.75	Jun 25 (-25)	Beyond 2027	0.00	0.00	0.00	0.00
Norges Bank: Deposit rate	4.25	Tightening: 07 May 26	4.00	May 26 (+25)	Sep 26 (+25)	4.50	4.50	4.50	4.50
Riksbank: Repo rate	1.75	Easing: 08 May 24	4.00	Sep 25 (-25)	Dec 26 (+25)	1.75	2.00	2.00	2.00
Bank of Canada	2.25	Easing: 5 Jun 24	5.00	Oct 25 (-25)	Beyond 2027	2.25	2.25	2.25	2.25
Emerging									
China: 7d OMO rate	1.40	Easing: 18 Nov 19	2.55	May 25 (-10)	Beyond 2026	1.40	1.40	1.40	1.40
India: Repo rate	5.25	Easing: 07 Feb 25	6.50	Dec 25 (-25)	Feb 27 (+25)	5.25	5.25	5.50	5.75
Indonesia: BI-rate	5.75	Tightening: 20 May 26	4.75	Jun 26 (+50)	Beyond 2027	5.75	5.75	5.75	5.75
Korea: Base rate	3.00	Tightening: 16 Jul 26	2.50	Aug 26 (+25)	Feb 27 (+25)	3.00	3.00	3.25	3.25
Malaysia: O/N policy rate	2.75	Easing: 09 Jul 25	3.00	Jul 25 (-25)	Nov 26 (+25)	2.75	3.00	3.00	3.00
Philippines: O/N lending	5.00	Tightening: 23 Apr 26	4.25	Aug 26 (+25)	Jun 27 (-25)	5.00	5.00	5.00	4.75
Taiwan: Rediscount rate	2.000	Tightening: 17 Mar 22	1.125	Mar 24 (+12.5)	Sep26 (+12.5)	2.125	2.125	2.125	2.250
Thailand: O/N repo rate	1.00	Easing: 16 Oct 24	2.50	Feb 26 (-25)	Beyond 2027	1.00	1.00	1.00	1.00
Czechia: 2w repo rate	3.75	Tightening: 18 Jun 26	3.50	Jun 26 (+25)	Jun 27 (-25)	3.75	3.75	3.75	3.50
Hungary: Base rate	5.50	Easing: 24 Oct 23	13.00	Aug 26 (-25)	Sep 26 (-25)	5.25	5.00	5.00	4.50
Israel: Discount rate	3.25	Easing: 1 Jan 24	4.75	Sep 26 (-25)	Apr 27 (-25)	3.25	3.25	3.25	3.00
Poland: Reference rate	3.75	Easing: 6 Sep 23	6.75	Mar 26 (-25)	Jun 27 (-25)	3.75	3.75	3.75	3.50
Romania: Key policy rate	6.50	Easing: 5 Jul 24	7.00	Aug 24 (-25)	Feb 27 (-25)	6.50	6.50	6.25	5.50
Russia: One-week repo rate	14.00	Easing: 6 Jun 25	21.00	Jul 26 (-25)	Oct 26 (-25)	14.00	13.50	12.75	12.25
South Africa: Repo rate	7.00	Tightening: 28 May 26	6.75	May 26 (+25)	Sep 26 (+25)	7.25	7.25	7.25	7.25
Turkiye: One-week repo rate	37.00	Easing: 26 Dec 24	50.00	Jan 26 (-100)	Oct 26 (-100)	37.00	35.00	33.00	31.00
Egypt: O/N Deposit Rate	19.00	Easing: 17 Apr 25	27.25	Feb 26 (-100)	Feb 27 (-100)	19.00	19.00	18.00	16.00
Brazil: SELIC rate	14.00	Easing: 18 Mar 26	15.00	Aug 26 (-25)	Sep 26 (-25)	13.75	13.75	13.75	13.00
Chile: Monetary policy rate	4.50	Easing: 31 Jul 23	11.25	Dec 25 (-25)	Dec 26 (+25)	4.50	4.75	5.00	5.00
Colombia: Repo rate	12.00	Tightening: 30 Jan 26	9.25	Jun 26 (+75)	Q1 27 (-25)	12.00	12.00	11.75	11.50
Mexico: Overnight rate	6.50	Easing: 21 Mar 24	11.25	May 26 (-25)	Beyond 2027	6.50	6.50	6.50	6.50
Peru: Reference rate	4.25	Easing: 14 Sep 23	7.75	Sep 25 (-25)	Nov 26 (+25)	4.25	4.50	4.75	4.75

Note: Rates as of COB 11 Sep 2026 in % per annum (unless stated). #Level indicates the interest rate that was, at the beginning of a policy cycle.

Source: Barclays Research

Key CPI projections

	US			UK			Euro area			France		Japan	
	CPI		y/y	RPI		y/y	HICPx		HICP	CPI ex tobacco		CPI ex perishables	
	nsa	y/y		nsa	y/y		nsa	y/y		nsa	y/y	nsa	y/y
Jul-25	323.0	2.7		406.2	4.8	3.8	100.28	2.0	2.0	100.56	0.9	100.3	3.1
Aug-25	324.0	2.9		407.7	4.6	3.8	100.43	2.0	2.0	100.99	0.8	100.3	2.7
Sep-25	324.8	3.0		406.1	4.5	3.8	100.52	2.2	2.2	99.99	1.1	100.1	2.9
Oct-25	-	-		407.4	4.3	3.6	100.74	2.1	2.1	100.06	0.9	100.7	3.0
Nov-25	324.1	2.7		405.6	3.8	3.2	100.43	2.1	2.1	99.87	0.8	101.1	3.0
Dec-25	324.1	2.7		408.5	4.2	3.4	100.61	1.9	2.0	99.95	0.7	100.9	2.4
Jan-26	325.3	2.4		406.4	3.8	3.0	100.02	1.6	1.7	99.57	0.3	100.7	1.9
Feb-26	326.8	2.4		408.2	3.6	3.0	100.66	1.8	1.9	100.20	0.9	100.2	1.5
Mar-26	330.2	3.3		411.4	4.1	3.3	101.95	2.5	2.6	101.18	1.7	100.7	1.7
Apr-26	333.0	3.8		414.4	3.0	2.8	103.01	3.0	3.0	102.24	2.1	101.1	1.4
May-26	335.1	4.2		415.3	3.1	2.8	103.09	3.1	3.2	102.37	2.4	101.6	1.4
Jun-26	334.0	3.5		416.5	3.0	2.6	102.98	2.7	2.8	102.09	1.7	101.7	1.6
Jul-26	333.9	3.4		419.1	3.2	2.9	103.21	2.9	2.9	102.67	2.1	102.1	1.8
Aug-26	335.0	3.4		421.5	3.4	3.1	103.86	3.4	3.4	103.58	2.6	102.1	1.8
Sep-26	336.1	3.5		421.5	3.8	3.2	104.06	3.5	3.5	102.68	2.7	102.0	1.9
Oct-26	336.8	-		423.6	4.0	3.1	104.35	3.6	3.6	102.94	2.9	102.8	2.1
Nov-26	336.4	3.8		422.8	4.2	3.4	104.05	3.6	3.6	102.74	2.9	103.3	2.1
Dec-26	336.3	3.8		425.3	4.1	3.2	104.33	3.7	3.7	102.95	3.0	103.2	2.3
Jan-27	337.6	3.8		424.4	4.4	3.1	103.73	3.7	3.7	102.69	3.1	103.7	2.9
Feb-27	338.6	3.6		427.0	4.6	3.1	104.20	3.5	3.5	103.21	3.0	104.2	3.9
Mar-27	339.4	2.8		428.8	4.2	2.8	104.99	3.0	3.0	103.58	2.4	104.6	3.9
Apr-27	340.8	2.3		431.9	4.2	2.5	105.52	2.4	2.5	104.15	1.9	104.7	3.6
May-27	341.6	1.9		433.8	4.5	2.6	105.75	2.6	2.6	104.18	1.8	104.7	3.1
Jun-27	342.4	2.5		435.2	4.5	2.7	105.89	2.8	2.9	104.32	2.2	104.6	2.8
Jul-27	342.4	2.5		436.9	4.2	2.6	105.71	2.4	2.5	104.57	1.9	104.6	2.5
Aug-27	342.8	2.3		438.6	4.1	2.4	105.97	2.0	2.1	105.09	1.5	104.7	2.5
Sep-27	343.3	2.1		437.5	3.8	2.3	106.18	2.0	2.1	104.13	1.4	104.5	2.5
Oct-27	343.2	1.9		438.5	3.5	2.2	106.38	1.9	2.0	104.33	1.3	105.2	2.3
Nov-27	343.3	2.1		437.8	3.5	2.1	106.07	1.9	2.0	104.11	1.3	105.3	2.0
Dec-27	343.3	2.1		440.4	3.6	2.1	106.33	1.9	2.0	104.34	1.3	105.2	1.9
Q2-26		3.9			3.0	2.8			3.0				1.5
Q3-26		3.4			3.5	3.1			3.3				1.8
Q4-26		3.8			4.1	3.2			3.6				2.2
Q1-27		3.4			4.4	3.0			3.4				3.5
Q2-27		2.3			4.4	2.6			2.7				3.0
Q3-27		2.3			4.0	2.4			2.2				2.4
Q4-27		2.0			3.5	2.1			2.0				2.0
2025		2.7			4.1	3.4		2.0	2.1		0.9		3.1
2026		3.4			3.6	3.0		3.0	3.0		2.1		1.8
2027		2.5			4.1	2.5		2.5	2.6		1.9		2.8

Note: Shaded values indicate actual data

Source: Barclays Research

Global Weekly Calendar

Data as of 11 September 2026

Saturday 12 September		Period	Prev -3	Prev -2	Prev -1	Forecast	Consensus
09:00	EA21: ECB President Lagarde attends Fête de la Pomme in Épreville-en-Lieuvin, France						
Monday 14 September		Period	Prev -3	Prev -2	Prev -1	Forecast	Consensus
-	Pakistan: Target rate, %	Sep	11.50	11.50	11.50	11.50	11.50
-	EA21: ECB President Lagarde speaks at event "Hofburg im Dialog – Economy, Europe, Resilience" in Vienna, Austria						
10:15	EA21: ECB Executive Board Member Schnabel delivers keynote speech at the Federal Ministry for Economic Affairs and Energy (BMWE) Symposium on European Competitiveness in Berlin, Germany						
14:00	EA21: ECB Executive Board Member Cipollone speaks at an event at House of the Euro in Brussels, Belgium						
-	India: Trade balance, USD bn (to 16/09)	Aug	-28.0	-30.4	-32.0	-32.0	-32.0
-	India: Exports, % y/y (to 16/09)	Aug	18.6	15.5	19.6	18.3	-
06:00	Finland: "Final" HICP, % m/m (y/y)	Aug	-0.5 (2.7)	0.2 (2.6)	-0.4 (2.4) P	-	-
07:00	Sweden: "Final" CPI, % m/m (y/y)	Aug	0.4 (0.7)	-0.3 (0.2)	-0.3 (0.3) P	-	-0.3 (0.3)
07:00	Sweden: "Final" CPIX, % m/m (y/y)	Aug	0.3 (1.3)	-0.3 (0.7)	-0.3 (0.7) P	-	-0.3 (0.7)
07:00	Sweden: CPI, index level	Aug	125.1	125.6	125.2	-	124.8
07:30	India: WPI, % y/y	Aug	9.9	9.9	9.8	10.0	9.9
09:00	Czechia: Current account, € bn	Jul	1.2	-38.3	-80.5	-	-35.0
11:30	India: CPI, % y/y	Aug	3.9	4.4	4.4	4.9	4.9
13:00	Poland: Current account, € bn	Jul	-1.5	-1.1	-2.2	-	-2.5
13:00	Poland: Trade balance, € bn	Jul	-2.0	-1.2	-1.5	-	-1.7
13:30	Canada: CPI, % m/m (y/y)	Aug	1.0 (3.2)	-0.4 (2.8)	0.5 (3.0)	-	0.0 (3.0)
13:30	Canada: CPI Core - Trim, % y/y	Aug	2.0	1.9	1.9	-	1.9
13:30	Canada: CPI Core - Median, % y/y	Aug	2.1	1.9	2.0	-	2.0
13:30	Canada: CPI, nsa index	Aug	169.6	169.0	169.9	-	169.8
Tuesday 15 September		Period	Prev -3	Prev -2	Prev -1	Forecast	Consensus
-	Luxembourg: Banque centrale du Luxembourg Governor Reinesch speaks at OMFIF's European SSA Forum in Luxembourg City, Luxembourg						
-	Korea: BoK meeting minutes	27-Aug	-	-	-	-	-
15:00	EA21: ECB Executive Board Member Cipollone participates in panel discussion at conference organised by the Leibniz Institute for Financial Research SAFE and the Center for Advanced Studies on the Foundations of Law and Finance at Goethe University in Frankfurt, Germany						
15:00	Angola: Benchmark interest rate, %	Sep	17.00	15.75	15.75	15.25	-
-	Uruguay: GDP, % y/y	Q2	1.0	0.1	0.9	-	-
-	Saudi Arabia: CPI, % y/y	Aug	1.8	1.8	1.8	1.9	-
-	China: M2 growth, % y/y	Aug	8.6	8.0	7.7	7.7	7.6
-	China: Aggregate financing stock, CNY trn	Aug	458.8	462.1	463.3	465.4	-
-	China: New loans, CNY bn	Aug	520.0	1610.0	-340.0	400.0	-
-	Philippines: Remittances, % y/y	Jul	2.0	2.0	1.7	1.9	2.0
-	Nigeria: CPI, % y/y	Aug	15.9	15.9	15.4	15.3	-
03:00	China: Retail sales, % y/y	Aug	-0.6	1.0	0.6	0.8	0.8
03:00	China: Industrial production, % y/y	Aug	4.5	5.3	4.5	4.9	4.8
03:00	China: Fixed asset investments, YTD % y/y	Aug	-4.1	-5.7	-6.7	-7.2	-7.1
05:30	Japan: Index of tertiary industry activity, % m/m	Jul	0.8	0.8	-0.2	-	0.4
07:00	UK: Average weekly earnings, % 3m/y	Jul	4.4	4.4	4.1	4.0	3.9
07:00	UK: Regular average weekly earnings, % 3m/y	Jul	3.4	3.4	3.5	3.5	3.5
07:00	UK: Regular private sector average weekly earnings, % 3m/y	Jul	3.0	2.9	2.8	2.8	2.8
07:00	UK: ILO unemployment rate, %	Jul	4.9	4.9	4.9	5.0	5.0
07:00	UK: Change in HMRC payrolls, k	Aug	-2.4	-13.5	-12.9	-	-
07:00	UK: Jobless claims change, sa, k	Aug	1.3	-6.4	-11.0	-	-
07:00	UK: Headline job vacancies, % 3m moving average	Aug	710	711	707	-	-
07:45	France: "Final" CPI, % m/m (y/y)	Aug	-0.3 (1.8)	0.6 (2.1)	0.7 (2.4) P	-	0.7 (2.4)
07:45	France: "Final" HICP, % m/m (y/y)	Aug	-0.34 (2.02)	0.63 (2.37)	0.80 (2.69) P	0.80 (2.69)	0.80 (2.70)
07:45	France: CPI ex tobacco, index (2015 = 100)	Aug	102.37	102.09	102.67	103.58	-
08:00	Spain: "Final" CPI, % m/m (y/y)	Aug	0.6 (3.2)	0.2 (3.5)	0.7 (4.3) P	-	(4.3)
08:00	Spain: "Final" HICP, % m/m (y/y)	Aug	0.61 (3.57)	-0.02 (3.90)	0.60 (4.49) P	0.62 (4.52)	(4.50)

08:30	Poland: Final CPI, % y/y	Aug	2.5	3.0	3.4	3.4	-
09:30	Italy: General govt. debt, € bn	Jul	3154.5	3181.1	3207.2	-	-
10:00	Germany: ZEW Economic expectations, % bal	Sep	10.5	26.3	34.2	-	40.2
10:00	EA21: ZEW Economic sentiment, % bal	Sep	9.5	23.4	31.4	-	-
10:00	EA21: Trade balance sa, € bn	Jul	-0.1	-6.1	1.8	-	-
10:00	Canada: Existing home sales, % m/m	Aug	5.5	0.5	0.5	-	-
11:00	Israel: Unemployment rate, %	Aug	2.9	2.9	3.1	-	-
13:00	Brazil: Retail sales, % y/y	Jul	1.0	0.4	2.9	-	2.5
13:30	US: Empire State mfg. index	Sep	5.7	15.6	20.6	-	14.1
16:00	Peru: Unemployment rate, %	Aug	5.0	4.9	4.7	-	-
16:00	Peru: Economic activity index, % y/y	Jul	3.8	2.2	1.8	2.9	1.8
16:30	Israel: CPI, % y/y	Aug	1.9	1.6	1.6	1.6	1.6

Wednesday 16 September		Period	Prev -3	Prev -2	Prev -1	Forecast	Consensus
-	Uzbekistan: Key rate, %	Sep	14.00	14.00	14.00	-	-
12:30	Chile: Central Bank Meeting minutes	Sep					
13:15	EA21: ECB Vice President Vujčić chairs policy panel "Goeconomics and Trade: Risks, Resilience and Policy Responses" at ECB Annual Research Conference 2026 "Goeconomics and the International Trading System" in Frankfurt, Germany						
14:00	EA21: ECB Executive Board Member Elderson delivers opening keynote speech at Nature Finance and Resilience Day of Climate Finance Week Ireland in Dublin, Ireland						
18:00	EA21: ECB President Lagarde attends festive opening of Alte Oper season in Frankfurt, Germany						
19:00	US: FOMC rate decision, %	Sep-16	3.50 - 3.75	3.50 - 3.75	3.50 - 3.75	3.75 -4.00	3.50 -3.75
19:30	US: Press Conference by Fed Chair Warsh (FOMC voter)						
22:30	Brazil: Selic overnight rate, %	Sep	14.25	14.25	14.00	13.75	13.75
00:50	Japan: Core machinery orders, % m/m	Jul	8.7	-12.4	9.7	-2.6	-1.0
00:50	Japan: Trade balance, nsa / sa, JPY bn	Aug	-395 / -218	-412 / -927	-638 / -686	-1100 / -	-1053 / -984
07:00	Sweden: Unemployment rate (sa), %	Aug	8.8	8.9	8.6	-	-
07:00	UK: CPI, % m/m (y/y)	Aug	0.2 (2.8)	0.1 (2.6)	0.3 (2.9)	0.5 (3.1)	0.5 (3.1)
07:00	UK: Core CPI, % m/m (y/y)	Aug	0.3 (2.6)	0.3 (2.6)	0.2 (2.6)	0.3 (2.6)	(2.7)
07:00	UK: Services CPI, % y/y	Aug	3.7	3.6	3.4	3.5	3.6
07:00	UK: Retail price index	Aug	415.3	416.5	419.1	421.7	421.9
07:00	UK: RPI, % m/m (y/y)	Aug	0.2 (3.1)	0.3 (3.0)	0.6 (3.2)	0.6 (3.4)	0.7 (3.5)
07:30	Hungary: Average gross wages, % y/y	Jul	9.0	8.7	7.1	-	7.7
09:00	Italy: "Final" CPI, % m/m (y/y)	Aug	0.0 (3.0)	0.3 (2.9)	0.5 (3.3) P	-	-
09:00	Italy: "Final" HICP, % m/m (y/y)	Aug	0.00 (2.98)	-0.97 (2.91)	0.10 (3.22) P	0.10 (3.22)	0.10 (3.20)
10:00	EA21: Industrial production, % m/m (y/y)	Jul	0.3 (0.5)	0.3 (-0.2)	0.0 (0.1)	-0.3	-0.5 (-0.3)
11:00	Israel: Preliminary GDP, % saar q/q	Q2	2.9	-2.2	15.4	-	-
11:00	Israel: Current account, \$ bn	Q2	0.8	3.8	-0.1	-	-
12:00	South Africa: Retail sales constant, sa, % m/m	Jul	0.8	0.0	-0.6	0.4	0.7
13:00	Brazil: BCB's Economic activity index, % m/m (y/y)	Jul	1.2 (0.3)	0.9 (0.0)	2.4 (-0.6)	-	-
13:00	Poland: CPI core, % y/y	Aug	3.1	3.0	3.1	3.2	3.3
13:15	Canada: Housing starts, k saar	Aug	254.2	240.8	229.1	-	235.0
13:30	US: Import prices, % m/m (y/y)	Aug	1.7 (6.8)	-0.3 (6.7)	-0.4 (5.9)	0.9 (7.0)	-
13:30	US: Non-petroleum import prices, % m/m (y/y)	Aug	0.6 (3.9)	0.2 (4.3)	0.3 (4.5)	0.4 (4.8)	-
13:30	US: Retail sales, % m/m	Aug	0.9	0.2	-0.6	0.7	0.9
13:30	US: Retail sales ex autos, % m/m	Aug	0.9	-0.2	-0.3	0.6	0.5
13:30	US: Core retail sales, % m/m	Aug	0.6	0.4	-0.4	0.4	0.4
13:30	Canada: Building permits, % m/m	Jul	-4.0	-3.0	18.5	-	-
15:00	US: NAHB housing market index	Sep	36.0	34.0	35.0	-	34.0
15:00	US: Business inventories, % m/m	Jul	0.6	0.4	0.0	0.6	0.2
16:00	Colombia: Manufacturing production, % y/y	Jul	1.7	-0.4	4.1	0.5	-
16:00	Colombia: Retail sales, % y/y	Jul	14.9	11.7	14.7	6.9	-
17:00	Russia: PPI, % y/y	Aug	9.4	10.5	6.6	-	-
21:00	US: Net long-term TIC flows, \$ bn	Jul	105.3	231.2	172.7	-	-
23:45	New Zealand: GDP, % q/q (y/y)	Q2	0.9 (1.1)	0.5 (1.5)	0.8 (1.5)	-	0.1 (2.2)

Thursday 17 September		Period	Prev -3	Prev -2	Prev -1	Forecast	Consensus
-	Taiwan: Benchmark interest rate, %	Sep	2.000	2.000	2.000	2.125	2.000
08:00	EA21: ECB Chief Economist Lane chairs Jean Monnet lecture "Economic Size and Economic Power" delivered by Paul Krugman at ECB Annual Research Conference 2026 "Goeconomics and the International Trading System" in Frankfurt, Germany						

11:00	Finland: Bank of Finland Governor Rehn participates in discussion on the outlook for the European economy and monetary policy amid an evolving global landscape at OMFIF meeting held at Economic and Monetary Policy Institute in London, UK						
12:00	Ukraine: Key rate, %	Sep	15.00	15.50	15.50	-	-
12:00	UK: BoE bank rate decision, %	Sep	3.75	3.75	3.75	3.75	3.75
12:00	UK: BoE MPC meeting minutes	Sep					
12:00	UK: BoE MPC bank rate vote (+25/hold/-25, in bp)	Sep	1-8-0	2-7-0	3-6-0	3-6-0	-
13:30	Czechia: Policy rate, %	Sep	3.75	3.75	3.75	3.75	3.75
01:30	Singapore: Non-oil domestic exports, % y/y	Aug	38.4	20.8	24.2	35.0	35.2
05:00	Sweden: Unemployment rate (PES), %	Aug	3.4	3.6	3.8	-	-
08:00	Austria: "Final" HICP, % m/m (y/y)	Aug	-0.2 (3.2)	-0.4 (2.7)	0.5 (2.9) P	-	-
08:00	Slovakia: HICP, % m/m (y/y)	Aug	0.4 (4.0)	-0.2 (3.5)	0.1 (3.2)	-	-
09:00	South Africa: BER consumer confidence index	Q3	-9.0	-7.0	-19.0	-10.0	-
10:00	EA21: "Final" HICP, % m/m (y/y)	Aug	-0.11 (2.75)	0.21 (2.94)	0.45 (3.26) P	0.45 (3.26)	0.40 (3.30)
10:00	EA21: 'Eurostat' core (HICP x fd, alc, tob, ene), % m/m (y/y)	Aug	0.19 (2.36)	-0.03 (2.48)	0.22 (2.41) P	0.22 (2.41)	(2.40)
10:00	EA21: HICP ex tobacco, index (2015 = 100)	Aug	103.09	102.98	103.21	103.86	-
13:30	US: Philadelphia Fed mfg. index	Sep	10.3	41.4	47.4	25.0	28.6
13:30	US: Initial jobless claims, k (4wma)	12-Sep	204 (206)	207 (208)	206 (206)	210	-
13:30	US: Insured unemployment (continued claims), k	05-Sep	1771	1775	1774	-	-
13:30	US: Housing starts, k saar	Aug	1182	1415	1239	1300	1315
13:30	US: Building permits, k saar	Aug	1410	1374	1433	-	1410
13:30	Canada: Industrial product price, % m/m	Aug	1.4	-1.4	0.6	-	-
15:00	US: Pending home sales, % m/m	Aug	3.5	-4.8	-2.3	-	-
20:00	Argentina: GDP, % y/y	Q2	3.2	2.2	2.3	-	-

Friday 18 September		Period	Prev -3	Prev -2	Prev -1	Forecast	Consensus
-	EA21: Eurogroup meeting in Dublin, Ireland						
-	EU27: Informal ECOFIN meeting in Dublin, Ireland (to 19/09)						
-	Japan: BoJ MPM, results typically midday						
-	Japan: BoJ overnight call rate, %	Sep	1.00	1.00	1.00	1.25	1.25
-	EA21: ECB Pres. Lagarde and ECB Executive Board Member Cipollone participate in the Eurogroup and informal ECOFIN meetings in Dublin, Ireland						
11:30	EA21: ECB President Lagarde participates in the press conference following the Eurogroup and informal ECOFIN meetings in Dublin, Ireland						
-	Argentina: Budget balance, ARS bn	Aug	930.3	632.8	2960.3	-	-
00:01	UK: GfK consumer confidence, index	Sep	-23	-17	-14	-	-16
00:50	Japan: Nationwide CPI, % y/y	Aug	1.5	1.6	1.9	-	2.0
00:50	Japan: Nationwide CPI excl. perishables, % y/y	Aug	1.4	1.6	1.8	1.7	1.8
00:50	Japan: Nationwide CPI excl. food and energy, % y/y	Aug	1.8	1.7	1.9	-	2.0
05:00	Malaysia: CPI, % y/y	Aug	2.0	1.9	1.8	1.8	1.8
05:00	Malaysia: Trade balance, MYR bn	Aug	39.9	15.8	22.5	24.1	27.2
05:00	Malaysia: Exports, % y/y	Aug	44.7	45.5	38.0	30.8	37.6
05:00	Malaysia: Imports, % y/y	Aug	14.4	43.1	36.4	27.9	32.0
07:00	Germany: PPI, % m/m (y/y)	Aug	0.3 (2.2)	-0.3 (1.8)	1.1 (3.0)	-	0.4 (3.8)
07:00	UK: Retail sales, % m/m (y/y)	Aug	1.3 (3.4)	0.7 (3.8)	-0.5 (1.6)	-	-0.2 (1.9)
08:30	Poland: Sold industrial output, % y/y	Aug	4.1	7.4	5.0	-	7.1
09:00	EA21: ECB publishes Consumer Expectations Survey results	Aug	-	-	-	-	-
09:00	EA21: ECB 1 Yr. Inflation expectations, %	Aug	3.5	3.0	2.9	-	-
09:00	EA21: ECB 3 Yr. Inflation expectations, %	Aug	2.9	2.8	2.7	-	-
09:00	EA21: ECB Current account sa, € bn	Jul	17.5	25.8	35.1	-	-
10:00	EA21: Construction output, % m/m (y/y)	Jul	-0.1 (0.0)	0.2 (0.7)	-1.3 (-0.7)	-	-
13:00	Mexico: Aggregate supply & demand, % y/y	Q2	1.4	4.6	5.0	-	-
14:15	US: Industrial production, % m/m	Aug	0.0	0.3	0.2	0.2	0.3
14:15	US: IP: Manufacturing (SIC) production, % m/m	Aug	0.0	0.3	0.2	0.1	0.3
14:15	US: Capacity utilization, %	Aug	76.1	76.2	76.3	-	76.4
15:00	US: Conference Board leading economic index®, % m/m	Aug	0.2	-0.1	0.2	-	0.2
16:00	Colombia: Economic activity, % y/y	Jul	1.3	3.9	3.5	2.0	-
20:00	Argentina: Trade balance, USD mn	Aug	3.4	2.2	2.1	-	-

Note: All times reported in BST. Some data or events are boxed to indicate their importance to financial markets. Market events are highlighted in light blue.

Source: Reuters, Market News, Bloomberg, Barclays Research

Global Key Events

Global Key Events for 2026 and 2027

	2026				2027								
	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep
North America													
FOMC meeting	16	28	-	9	27	-	17	28	-	9	28	-	15
Summary of Economic Projections	16	-	-	9	-	-	17	-	-	9	-	-	15
FOMC minutes	-	7	18	30	-	17	-	7	19	30	-	18	-
Fed's Beige Book	2	14	25	-	...	...	...	...	...	...	...	...	...
Bank of Canada	2	28	-	9	27	-	3	28	-	2	21	-	8
Europe													
EU Summit	-	15	-	17	...	...	...	...	...	...	...	...	...
EU General Affairs Council	22	13	19,20	15	...	...	...	...	...	...	...	...	...
ECOFIN	18-19	9	9	11	...	...	...	...	...	...	...	...	...
Eurogroup	18	8	9	10	...	...	...	...	...	...	...	...	...
ECB "policy" meeting	10	29	-	17	...	...	...	...	...	...	...	...	...
ECB minutes	-	8	26	-	...	...	...	...	...	...	...	...	...
ECB economic bulletin	24	-	11	31	...	...	...	...	...	...	...	...	...
ECB "non-policy" meeting	30	-	18	-	...	...	...	...	...	...	...	...	...
BoE MPC policy meeting	17	-	5	17	-	4	-	29	-	-	29	-	-
BoE MPC Monetary Policy Report	-	-	5	-	-	4	-	29	-	-	29	-	-
BoE minutes	17	-	5	17	-	4	18	29	-	17	29	-	16
Riksbank	24	-	4	16	-	3	24	-	5	22	...	...	...
Swiss National Bank (SNB)	24	-	-	10	-	-	18	-	-	24	-	-	23
Norges Bank	24	-	5	17	21	...	18	...	5	17	...	19	23
Asia/Africa/RoW													
Bank of Japan (BoJ)	17-18	29-30	-	17-18	21-22	...	17-18	27-28	10-11	21-22	...	...	21-22
BoJ minutes	28	-	5	23	-	-	24	...	7	16	27	...	28
Reserve Bank of Australia (RBA)	29	-	3	8	-	9	23	-	4	22	-	10	21
Reserve Bank of New Zealand (RBNZ)	2	28	-	9	-	10	17	-	5	16	-	4	15
Reserve Bank of India (RBI)	-	5-7	-	2-4	-	3-5	...	...	...	...	...	...	...
Bank of Korea (BoK)	-	22	26	-	...	...	...	...	...	...	...	...	...
Brazilian Central Bank (BCB)	16	-	4	9	27	-	17	28	-	16	-	4	22
South African Reserve Bank (SARB)	23	-	19	-	...	...	...	...	...	...	...	...	...
National Bank of Poland (NBP)	1-2	6-7	3-4	1-2	...	...	...	...	...	...	...	...	...
Central Bank of the Republic of Türkiye (CBT)	10	22	-	10	21	-	18	22	-	10	-	-	-
Bank of Israel (BoI)	-	21	23	-	...	...	...	...	...	...	...	...	...
Central Bank of Egypt (CBE)	24	29	-	17	...	...	...	...	...	...	...	...	...
Key international meetings													
G20 Finance Minister and CB Gov. meeting	1	-	-	-	-	-	-	-	-	-	-	-	-
WBG-IMF, Spring and Annual meetings	-	12-18	-	-	-	-	-	-	-	-	-	-	-
Elections/Key political meetings													
US Mid term election	-	-	3	-	-	-	-	-	-	-	-	-	-
New Zealand general election	-	-	7	-	-	-	-	-	-	-	-	-	-
Brazil general election	-	4, 25	-	-	-	-	-	-	-	-	-	-	-
Israel general election	-	27	-	-	-	-	-	-	-	-	-	-	-

Note: (-) No event, (...) Event yet to be confirmed.

Source: Central banks, IMF, European Commission, Reuters, Bloomberg, Market News, Barclays Research

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